



City of Gallatin, Tennessee
Comprehensive Annual Financial Report
For the Fiscal Year Ended June 30, 2020

Prepared by the City of Gallatin Finance Director

City of Gallatin, Tennessee
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Introductory Section



December 28, 2020

Honorable Mayor, City Council, and Citizens of the City of Gallatin

State law requires that every general-purpose government publish within six months of the close of each fiscal year a complete set of audited financial statements. This report is published to fulfill that requirement for the fiscal year ended June 30, 2020. This report consists of management's representations concerning the finances of the City of Gallatin. Consequently, management assumes full responsibility for the completeness and reliability of all of the information presented in this report. To provide a reasonable basis for making these representations, management of the City of Gallatin has established a comprehensive internal control framework that is designed both to protect the city's assets from loss, theft, or misuse and to compile sufficient reliable information for the preparation of the City of Gallatin's financial statements in conformity with GAAP. Because the cost of internal controls should not outweigh their benefits, the City of Gallatin's comprehensive framework of internal controls has been designed to provide reasonable rather than absolute assurance that the financial statements will be free from material misstatement. As management, we assert that, to the best of our knowledge and belief, this financial report is complete and reliable in all material respects.

The City of Gallatin's financial statements have been audited by Blankenship CPA Group, PLLC, a firm of licensed certified public accountants. The goal of the independent audit was to provide reasonable assurance that the financial statements of the City of Gallatin, for the fiscal year ended June 30, 2020, are presented fairly in all material aspects. The independent audit involved examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements; assessing the accounting principles used and significant estimates made by management; and evaluating the overall financial statement presentation. The independent auditor concluded, based upon the audit, that there was a reasonable basis for rendering an unmodified opinion that the City of Gallatin's financial statements, for the fiscal year ended June 30, 2020, are fairly presented in all material aspects in conformity with GAAP. The independent auditor's report is presented as the first component of the financial section of this report. GAAP require that management provide a narrative introduction, overview, and analysis to accompany the basic financial statements in the form of Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The City of Gallatin's MD&A can be found beginning on page 3, immediately following the report of the independent auditors.

PROFILE OF THE CITY OF GALLATIN

The City of Gallatin, population of 42,918, is located in Sumner County, Tennessee and is the county seat for Sumner County. It is approximately 30 miles northeast of

downtown Nashville, and is served by numerous major highways including U.S. 31-E, State Route 386, State Route 109, and State Route 25. The City of Gallatin was founded in 1802, was incorporated in 1954 and operates under the City Mayor/City Council form of government. The Municipality's legislative body is a seven member City Council that is elected, one each for 5 council districts and two at-large members. Each Councilmember is elected to a four-year alternating term with elections conducted every two years. The Mayor is chief administrative officer of the Municipality and presides at meetings of the Council.

The City of Gallatin provides a wide range of services which include police and fire protection, the construction and maintenance of highways, streets, and other infrastructure, sanitation services, recreational and cultural services, planning and zoning, and general administrative services. Additionally, the City owns and operates its water and wastewater (15,799 customers), natural gas (13,350 customers), and electric (22,068 customers) systems. For very small, outlying populations, White House Utility District provides water service.

All of the City's Governmental funds are annually appropriated. The City Council is required to adopt a final budget by no later than the close of the fiscal year. This annual budget serves as the foundation for the City's financial planning and control. In February of each year, Department Heads submit their budget requests to the Mayor and Finance Director. The Mayor conducts departmental meetings in March of each year. The Finance Director makes revenue estimates for the upcoming year. The budget is submitted to City Council in April. First reading of the Budget is usually in May, second reading is usually in May/June but no later than June 30, the close of the City's fiscal year. The budget is prepared by fund (i.e. general) and department (i.e. police). Department heads are authorized to expend funds within total departmental appropriations. However, amendments to the budget that change departmental and/or total appropriations require the adoption of an ordinance by the City Council. Budget transfers between departments require approval of the City Council. Budget to actual comparisons are provided in this report for each governmental fund for which an appropriated annual budget has been adopted.

LOCAL ECONOMY

The City of Gallatin is a growing residential and business community reaping the benefits of being in close proximity to Nashville, Tennessee with lower tax rates and low utility fees. It is the 4th fastest growing city in the state. The local economy has been able to sustain stability and growth thus far through the 2020 COVID pandemic, as evidenced by this financial report. Commercial and residential construction is strong. The population of the City of Gallatin has experienced growth to an estimated 42,918 in 2020, per the U.S. Department of Census estimates. The population has increased nearly 42% since 2010 census and nearly 85% since 2000 census. Though the Tennessee Department of Labor and Workforce Development does not report unemployment rates for Gallatin, TN, the area continues to see below average unemployment rates.

The City of Gallatin through the City Mayor, the Economic Development Agency and various other boards works continually to improve the economic outlook for the future of Gallatin and its citizens. The City of Gallatin adopted a strategic plan in 2017 aiming future recruitment efforts towards technology and corporate/back office companies. Since that time, the city has had strong success in those areas, along with consistent growth of existing industries. In the past year, seven companies have relocated to Gallatin. Wood, a heavy construction company, brought 200 jobs. Power Consulting Associates moved their headquarters to Gallatin bringing 200 jobs. Regenesys, a California company specializing in groundwater reclamation expanded to Gallatin bringing 45 jobs. Appalachian Pipeline brought their corporate headquarters to Gallatin along with 20 engineering jobs. D & S Industries, an industrial textile manufacturer that supplies NASA, the airline industry and medical fields began construction on an 81,000 square foot facility. Archer Datacenters broke ground on Phase 1 of an eventual 280,000 square foot co-location data center. Boise Cascade purchased an existing facility to bring their Middle Tennessee operations from Nashville. Gap, Inc. announced an investment of \$65 million and the hiring of an additional 500 workers to bolster on-line distribution at their 2.4 million square foot facility in Gallatin. Most recently, Facebook announced that they are building an \$800 million data center in Gallatin. Construction is underway on the 984,000 square foot facility, bringing 1,100 construction workers that are expected to stay for six years. Additionally, the City of Gallatin participates in partnerships within the region. The Mayor has leadership roles in GNRC (Greater Nashville Regional Council) and MPO (Metropolitan Planning Organization), two very important players in the regional economy which play significant roles in planning for entire region—i.e. some of the largest transportation projects are in Sumner County/Gallatin.

LONG-TERM FINANCIAL PLANNING

In 2018, the City began developing a comprehensive long range plan, *Plan Gallatin*, for future growth and development of the city. Initial phases of the plan are already approved and in place, while other phases of the plan continue to be developed. Until the plan is completed in totality, the City of Gallatin will continue with its practice of annually reviewing anticipated 5-year capital needs as defined by each department. These requests are then used to plan for long-term capital funding, whether it be pay-go or debt issues.

The City has numerous capital projects currently funded and under construction. Included are various infrastructure projects city-wide, roads, streets, sidewalks, greenways, water lines, sewer lines, gas lines. Many of these projects are being funded wholly or in part by Federal and State grants, including the Albert Gallatin Avenue extension. This project is the largest locally managed TDOT project, with a price tag of \$36 million. Other capital projects underway include: land purchases for future park and greenspace throughout the city; signal grant for synchronized signalization along major thoroughfares; two sidewalk grants, a safe-route-to-schools grant; purchase of a new fire engine; construction of a miracle park facility with funding from grants, donations, and city funds; purchase of heavy equipment for Streets and Stormwater departments;

miscellaneous roadway and drainage projects; new utility line installation in recently annexed areas of the city.

A 2020/2021 series bond will be issued to fund the following projects: a police and fire training facility; a joint-venture with the Sumner County government for a downtown parking structure; a joint venture with the Army Corp of Engineers for Town Creek flood improvements; City Hall renovations; park land improvements; golf course irrigation system replacement; and roadway, greenway, and drainage improvements city-wide.

FINANCIAL POLICIES

The City is committed to protecting its taxpayers' funds. Management continues to take a very conservative approach to budgeting and spending in order to lessen the chance of a revenue shortage and mid-year program cuts. This approach will help finance contingencies and unforeseen budget amendments. The City of Gallatin recognizes the importance of a diversified revenue system, and strives to not rely too heavily on one source. Currently the city general fund revenue sources are approximately one-third sales tax, one-third property tax, and one-third all other revenues. The City routinely reviews its various rates and fees and considers inflation and current market rates. The City Council has formally adopted a Fund Balance Policy which indicates that it will maintain a minimum unassigned fund balance in the General Fund of 20% of operating expenditures. Since the adoption of this policy, the City has consistently exceeded this goal. The City has a formally adopted Purchasing Policy, Internal Financial Controls Policy and a Debt Management Policy, which serve to further strengthen its overall fiduciary duties to the citizens of Gallatin.

AWARDS AND ACKNOWLEDGEMENTS

The preparation of this report on a timely basis could not have been accomplished without the dedicated services of the Finance department staff of the City of Gallatin. Credit must also be given to the City Mayor and City Council for their support of excellence in financial reporting and fiscal integrity. Also, the City is grateful to the staff of Blankenship CPA Group, PLLC for their invaluable guidance and assistance.

Respectfully Submitted,

Rachel Nichols

Rachel Nichols

Director of Finance

City of Gallatin | 132 West Main Street | Gallatin, TN 37066 | 615.451.5963

City of Gallatin, Tennessee

Directory

June 30, 2020

ELECTED OFFICIALS

Paige Brown, Mayor
Lynda Love, Council Member
William C. Hayes, Council Member
Steve Fann, Council Member
John D. Alexander, Council Member
James W. Overton, Council Member, Vice Mayor
Steve C. Camp, Council Member
Shawn Fennell, Council Member
Connie Kittrell, Recorder

MANAGEMENT TEAM

Rachel Nichols, Director of Finance, CMFO
Zack Wilkinson, Director of Public Works
David Gregory, Superintendent of Public Utilities
Donald Bandy, Chief of Police
Victor Williams, Fire Chief
Charles Stuart, Director of Codes
William McCord, Director of Planning
David Brown, Director of Leisure Services
Connie Flood, Director of Human Resources
James Fenton, Director of Economic Development
Nick Tuttle, City Engineer
Mark Kimbell, Electric Department Manager
Lori Smiley, Director of Information Technology

COUNSEL

Susan High-McAuley, City Attorney
Gallatin, Tennessee

Financial Section



Independent Auditor's Report

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We did not audit the financial statements of the Electric Department which is both a major fund and represents 22 percent, 22 percent, and 70 percent, respectively, of the assets, net position, and revenues of the business-type activities. Those statements were audited by other auditors whose report has been furnished to us, and our opinions, insofar as they relate to the amounts included for the Electric Department, are based solely on the report of the other auditors. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, based on our audit and the report of the other auditor, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City as of June 30, 2020, and the respective changes in financial position and, where applicable, cash flows thereof and the respective budgetary comparison for the general fund for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters***Required Supplementary Information***

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 3 through 8 and the required supplementary information as listed in the table of contents on pages 59 through 63 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The introductory section, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), the supplementary schedules as noted in the supplementary and other information section in the table of contents including the schedule of expenditures of federal awards as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the Uniform Guidance), and the statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules including the schedule of expenditures of federal awards, except the schedule of unaccounted for water, are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America by us and the other auditor. In our opinion, based on our audit, the procedures performed as described above, and the report of the other auditor, the combining and individual nonmajor fund financial statements and schedules (budgetary comparisons), and the supplementary schedules including the schedule of expenditures of federal awards, except the schedule of unaccounted for water, are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The introductory section, the schedule of unaccounted for water, and the statistical section have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 28, 2020 on our consideration of the City of Gallatin's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the City of Gallatin's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the City of Gallatin's internal control over financial reporting and compliance.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 28, 2020

City of Gallatin, Tennessee
Management's Discussion and Analysis
June 30, 2020

As management of the City of Gallatin, Tennessee, we offer readers of the City's financial statements this narrative overview and analysis of the financial activities of the City for the fiscal year ended June 30, 2020. The analysis focuses on significant financial position, budget changes, and specific issues related to funds and economic factors affecting the City. It also focuses on current year activities and the resulting changes.

FINANCIAL HIGHLIGHTS

- The assets and deferred outflows of resources of the City exceed its liabilities and deferred inflows of resources at the close of the fiscal year by \$323.62 million as compared to \$282.47 million in the prior year. Of the amounts, \$71.05 million (unrestricted net position) as compared to \$54.66 million in the prior year may be used to meet the City's ongoing obligations to citizens and creditors.
- The government's total net position increased by \$41.15 million in 2020, compared to an increase of \$25.06 million in 2019.
- As of the close of the current fiscal year, the City's governmental funds reported ending fund balances of \$25.84 million, an increase of \$30 thousand from the prior year. Approximately \$18.83 million of that total is available for spending at the government's discretion.
- At the end of the current fiscal year, unassigned fund balance of the General Fund was \$18.83 million, or 48.21% of the total general fund expenditures as compared to \$16.29 million the prior year.
- The City's total debt obligations decreased by \$1.47 million during the current fiscal year.

OVERVIEW OF THE FINANCIAL STATEMENTS

This discussion and analysis is intended to serve as an introduction to the City's basic financial statements. The City's basic financial statements are comprised of the following components:

1. Government-wide financial statements,
2. Fund financial statements, and
3. Notes to the financial statements.
4. This report also contains required supplementary information, and supplementary and other information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide readers with a broad overview of the City's finances, in a manner similar to a private-sector business.

- The Statement of Net Position presents information on all of the City's assets, liabilities and deferred inflows/outflows of resources, with the net difference reported as net position. Over time, increases or decreases in net position may serve as a useful indicator of whether the financial position of the City is improving or deteriorating.
- The Statement of Activities presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement for some items that will only result in cash flows in future fiscal periods (e.g., uncollected taxes, compensated absences, etc.).

Both of the government-wide financial statements distinguish functions of the City that are principally supported by taxes and intergovernmental revenues (governmental activities) from other functions that are intended to recover all or a significant portion of their costs through user fees and charges (business-type activities). The governmental activities of the City include general government, public safety, highways and streets, sanitation, economic development, and cultural and recreation. The business-type activities of the City are made up of Water and Sewer, Natural Gas, and Electric Power services. The government-wide financial statements can be found on pages 9 to 11 of this report.

City of Gallatin, Tennessee
Management's Discussion and Analysis – Continued
June 30, 2020

Fund Financial Statements

A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific activities or objectives. The City, like other state and local governments, uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories – governmental funds and proprietary funds.

Governmental Funds

Governmental funds are used to account for essentially the same functions reported as governmental activities in the government-wide financial statements. However, unlike the government-wide financial statements, the focus is on near-term inflows and outflows of spendable resources, as well as on balances of spendable resources at the end of the fiscal year. Such information may be useful in evaluating the government's near-term financing requirements.

Because the focus of governmental funds is narrower than that of government-wide financial statements, it is useful to compare the information presented for governmental funds with similar information presented for governmental activities in the government-wide financial statements. By doing so, readers may better understand the long-term impact of the City's near-term financing decisions. Both the Balance Sheet – Governmental Funds and the Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds provide a reconciliation to facilitate this comparison between governmental funds and governmental activities. The governmental fund financial statements and reconciliations can be found on pages 12 to 15 of this report.

The City maintains nine governmental funds. Information is presented separately in the Balance Sheet – Governmental Funds and in the Statement of Revenues, Expenditures, and Changes in Fund Balances – Governmental Funds for the General Fund and Capital Projects Fund, which are considered to be major funds. Data from the other seven governmental funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements beginning on page 64.

The City adopts an annual appropriated budget for the General Fund and the special revenue funds. Budgetary comparison statements have been provided on pages 21 to 27 and pages 66 to 68 of this report.

Proprietary Funds

There are two different types of proprietary funds:

- *Enterprise funds* are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Board of Public Utilities Electric, Water and Sewer, and Gas Funds.
- *Internal service funds* are an accounting device used to accumulate and allocate costs internally among a government's various functions. The City currently has no internal service funds.

Proprietary funds provide the same type of information as the government-wide financial statements, only in more detail. The proprietary fund financial statements provide separate information for the Electric Power, Water and Sewer, and Natural Gas operations which are considered to be major funds of the City. The basic proprietary fund financial statements can be found on pages 16 to 20 of this report.

Fiduciary Funds

Fiduciary funds are used to account for resources held for the benefit of parties outside the City. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City of Gallatin's own programs. The Fiduciary fund reported is for the Electric Department Pension Trust Fund. The accounting used for fiduciary funds is much like that used for proprietary funds. Individual fund data for the fiduciary funds is provided in the form of combining statements which can be found on pages 28 to 29 of this report.

Notes to the Financial Statements

The notes provide additional information that is essential to a full understanding of the data provided in the government-wide and fund financial statements. The notes to the financial statements can be found on pages 30 to 58 of this report.

City of Gallatin, Tennessee
Management's Discussion and Analysis – Continued
June 30, 2020

Other Information

In addition to the basic financial statements and accompanying notes, this report also presents certain required supplementary information concerning the City's and Utilities' schedules of funding progress for their respective pension plans and other post-employment benefits.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

As noted earlier, net position may serve over time as a useful indicator of a government's financial condition. The assets and deferred outflows of resources of the City exceeded liabilities and deferred inflows of resources by \$323.62 million at the close of the most recent fiscal year, as compared to \$282.47 million at the close of the previous year.

By far the largest portion of the City's net position (77.58%) reflects its net investment in capital assets (e.g., land, buildings, machinery, equipment, and infrastructure). The City uses these capital assets to provide services to citizens; consequently, these assets are not available for future spending. Although the City's investment in its capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the capital assets themselves cannot be used to liquidate these liabilities.

An additional portion of the City's net position \$1.52 million (0.47%) represents resources that are subject to external restrictions on how they may be used. The remaining balance of net position representing unrestricted net position of \$71.05 million (21.95%) may be used to meet the City's ongoing obligations to citizens and creditors. At the end of the current fiscal year, the City is able to report positive balances in all three categories of net position, both for the City as a whole, as well as for its total governmental and total business-type activities.

Comparisons with the prior year data are presented below.

	Primary Government					
	Governmental		Business-Type		Total	
	Activities		Activities			
	2020	2019	2020	2019	2020	2019
Assets						
Current and other assets	\$ 44,821,803	\$ 44,063,413	\$ 60,655,614	\$ 54,771,202	\$ 105,477,417	\$ 98,834,615
Capital assets	130,293,226	106,465,962	181,889,640	177,692,387	312,182,866	284,158,349
Total Assets	175,115,029	150,529,375	242,545,254	232,463,589	417,660,283	382,992,964
Deferred Outflows of Resources						
Deferred outflows	451,781	531,850	3,764,813	3,826,811	4,216,594	4,358,661
Liabilities						
Other liabilities	5,935,664	5,984,292	15,362,263	18,433,047	21,297,927	24,417,339
Long-term liabilities	22,484,314	24,097,597	40,560,179	43,672,529	63,044,493	67,770,126
Total Liabilities	28,419,978	30,081,889	55,922,442	62,105,576	84,342,420	92,187,465
Deferred Inflows of Resources						
Deferred inflows	12,754,934	12,158,928	458,869	533,179	13,213,803	12,692,107
Net Position						
Net Investment in						
capital assets	108,846,455	89,932,089	142,206,982	136,551,453	251,053,437	226,483,542
Restricted	1,512,468	1,325,054	7,729	7,702	1,520,197	1,332,756
Unrestricted	24,032,975	17,563,265	47,714,045	37,092,490	71,747,020	54,655,755
Total Net Position	\$ 134,391,898	\$ 108,820,408	\$ 189,928,756	\$ 173,651,645	\$ 324,320,654	\$ 282,472,053

The government's total assets increased significantly due to the capital projects that were completed and in progress during the current fiscal year. Long-term liabilities decreased due to payments being made on these projects during the current fiscal year.

City of Gallatin, Tennessee
Management's Discussion and Analysis - Continued
June 30, 2020

Statement of Activities

Expenses in the governmental activities exceeded program revenues by \$6.75 million. In the business-type activities program, revenues exceed expenses by \$17.67 million. General government revenues and transfers of \$31.71 million offset the governmental activities deficit, resulting in a positive change of net position of \$24.96 million. Other business-type revenues of \$329 thousand and transfers of (\$1.81) million reduced income in the business type activities leaving a positive change in net position of \$16.19 million.

	Primary Government					
	Governmental		Business-Type		Total	
	Activities		Activities			
	2020	2019	2020	2019	2020	2019
Program Revenues						
Charges for services	\$ 8,977,852	\$ 8,356,873	\$ 96,304,597	\$ 104,274,429	\$ 105,282,449	\$ 112,631,302
Operating grants and contributions	2,923,203	2,616,883	-	-	2,923,203	2,616,883
Capital grants and contributions	20,335,480	12,308,868	10,898,190	4,907,752	31,233,670	17,216,620
General Revenues						
Property taxes	12,215,190	11,906,890	-	-	12,215,190	11,906,890
Other taxes	17,130,129	15,775,114	-	-	17,130,129	15,775,114
Other sources	690,409	1,653,185	328,769	229,021	1,019,178	1,882,206
Total Revenues	62,272,263	52,617,813	107,531,556	109,411,202	169,803,819	162,029,015
Expenses						
General Government	12,362,858	10,194,485	-	-	12,362,858	10,194,485
Public Safety	15,280,509	15,685,627	-	-	15,280,509	15,685,627
Engineering	622,525	2,300,750	-	-	622,525	2,300,750
Environmental Services	2,796,681	2,194,040	-	-	2,796,681	2,194,040
Public Works	674,693	585,600	-	-	674,693	585,600
Highways and Streets	1,136,264	1,252,628	-	-	1,136,264	1,252,628
Vehicle Maintenance	617,315	612,519	-	-	617,315	612,519
Parks and Recreation	3,787,643	4,286,418	-	-	3,787,643	4,286,418
Economic Development	572,306	816,593	-	-	572,306	816,593
Tourism	57,039	123,052	-	-	57,039	123,052
Interest on long-term debt	598,364	702,384	-	-	598,364	702,384
Electric	-	-	64,715,592	70,565,030	64,715,592	70,565,030
Water and Sewer	-	-	14,208,176	13,321,850	14,208,176	13,321,850
Gas	-	-	10,525,253	13,612,534	10,525,253	13,612,534
Total Expenses	38,506,197	38,754,096	89,449,021	97,499,414	127,955,218	136,253,510
Increase (Decrease) in net position before transfers	23,766,066	13,863,717	18,082,535	11,911,788	41,848,601	25,775,505
Transfers	1,805,424	1,610,234	(1,805,424)	(1,610,234)	-	-
Increase (Decrease) in net position	25,571,490	15,473,951	16,277,111	10,301,554	41,848,601	25,775,505
Net Position - Beginning	108,820,408	93,346,457	173,651,645	163,350,091	282,472,053	256,696,548
Net Position - Ending	\$ 134,391,898	\$ 108,820,408	\$ 189,928,756	\$ 173,651,645	\$ 324,320,654	\$ 282,472,053

In governmental activities, charges for services increased \$620 thousand in 2020. Operating grants and contributions decreased by \$175 thousand. Capital grants and contributions increased \$8.03 million. In the business-type activities, charges for services decreased by \$8.04 million and costs of sales and service decreased by \$8.04 million due to a mild winter and decreased sales during the year.

Governmental policy continues to recognize that local revenue sources must be the foundation for providing basic public services rather than depending on uncertain Federal and State sources. To this end, it is vital to continue efforts to seek balanced diversity, equity, and efficiency in local revenue systems to better accommodate future change.

City of Gallatin, Tennessee
Management's Discussion and Analysis – Continued
June 30, 2020

Overall expenses for 2020 were less than expenses in 2019 in the governmental activities by \$248 thousand. For departments with increases, the increases were mainly due to capital projects and grant activities. All departments worked diligently to keep operational and capital spending to a minimum beginning in March 2020 and thereafter when the pandemic spread into Tennessee and had negative economic impacts.

FINANCIAL ANALYSIS OF THE GOVERNMENT'S FUNDS

Governmental Funds

The focus of the City's governmental funds is to provide information on near-term inflows, outflows, and balances of spendable resources. Such information is useful in assessing the City's financing requirements. In particular, unassigned fund balance may serve as a useful measure of a government's net resources available for spending at the end of the fiscal year. Based on the statements and discussion, the overall financial position of the City has improved during the period.

The General Fund is the chief operation fund of the City. At the end of the current fiscal year, the unassigned fund balance of the general fund was \$18.83 million while total fund balance was \$18.88 million. As a measure of the general fund's liquidity, it may be useful to compare both unassigned fund balance and total fund balance to total fund expenditures. Unassigned fund balance represents 48.21% of the total general fund expenditures in 2020 as compared to 42.29% in 2019.

The fund balance of the City's general fund increased by \$2.59 million during the current fiscal year. A key factor in this increase was the significant decrease of spending during the last quarter of the current fiscal year.

Proprietary Funds

The City's proprietary funds provide the same type of information found in the government-wide financial statements, but in more detail. Proprietary funds are considered business-type activities and are operated similarly. Net position of the proprietary funds increased by \$16.19 million in 2020 as compared to \$10.30 million in 2019.

Unrestricted net position of the proprietary funds amounted to \$47.63 million as compared to \$37.09 million in the prior year. The changes in net position of the individual proprietary funds were as follows:

- Water and Sewer Fund – \$11.05 million in 2020 compared to \$5.68 million in 2019
- Natural Gas Fund – \$1.98 million in 2020 compared to \$2.33 million in 2019
- Electric Fund – \$3.16 million in 2020 compared to \$2.29 million in 2019

General Fund Budgetary Highlights

The City made revisions to the original appropriations approved by the City Council. Overall these changes resulted in an \$11.15 million increase in budgeted expenditures and transfers out from the original budget. The increase of approximately 28.57% was mainly for capital expenditures (\$10.71 million of the \$11.15 million).

Actual revenues and other financing sources were exceeded by budgeted amounts by \$1.91 million. The largest variances were related to other federal grants.

Actual expenditures and transfers out were under budget by \$7.19 million, which was partially due to department heads holding spending and partially due to large projects that were budgeted for this year that will continue into next year.

CAPITAL ASSETS AND DEBT ADMINISTRATION

Capital Assets

At the end of Fiscal Year 2020 the City had invested \$312.18 million net of accumulated depreciation in land, buildings, improvements, machinery and equipment, park facilities, roads, highways, bridges, and utility systems. The total increase in the City's investment in capital assets for the current fiscal year was 9.87%. Additional information on the City's capital assets can be found in Note 10 beginning on page 51 of this report.

City of Gallatin, Tennessee
Management's Discussion and Analysis – Continued
June 30, 2020

Long-Term Debt

At the end of the current fiscal year, the City had total long-term debt outstanding of \$58.7 million as compared to \$56.65 million at the end of the prior fiscal year. Of this amount, \$20.91 million represents debt backed by the full faith and credit of the City. The remainder of the City's debt represents bonds secured by specific revenue sources (i.e. revenue and tax bonds) of the various enterprise funds. Information on the City's long-term debt can be found in Note 12 beginning on page 54 of this report.

The City of Gallatin maintains a "AA+" rating from Standards and Poors for general obligation debt. Also, the City rating from Moody's has been recalibrated to "Aa2".

ECONOMIC FACTORS AND NEXT YEAR'S BUDGET

General Fund Revenue

Property tax and sales tax revenues grew moderately for the year. Most other general revenue sources showed modest-to-moderate growth. Capital grants and contributions grew.

General Fund Expenditures and Capital Outlay

Departments were encouraged to be prudent and frugal with spending, even more so once the pandemic spread. Most capital funding was to complete existing, ongoing projects or for grant funded projects.

General Fund Balance

At the end of the current fiscal year, unassigned fund balance in the general fund was \$18.83 million. The increase from the previous year was mainly related to better than anticipated revenue collections and delayed capital expenditures.

Next Year's Budget and Rates

The City has no plans to increase the property tax rate paid by citizens in the next fiscal year. While preparing the next budget in the midst of the pandemic, management took a very conservative approach to revenue projections and held spending to necessities only. The City will continue to watch the national and world economic factors that could influence the local economy and will make any necessary mid-year adjustments to operate within available revenues.

REQUESTS FOR INFORMATION

This financial report is designed to provide a general overview of the City of Gallatin's finances for citizens, taxpayers, customers, investors, creditors, and all others with an interest in the City's finances. Questions concerning any of the information provided in this report or requests for additional financial information should be addressed to the Department of Finance, City of Gallatin, 132 West Main Street, Gallatin, TN, 37066.

Basic Financial Statements

City of Gallatin, Tennessee

Statement of Net Position

June 30, 2020

	Governmental Activities	Business-type Activities	Total
Assets			
Cash and Cash Equivalents	\$ 18,758,061	\$ 43,208,190	\$ 61,966,251
Certificates of Deposit	1,919,414	4,630,578	6,549,992
Investments	21,025	-	21,025
Receivables			
Interest	342,385	-	342,385
Taxes (net of allowance)	13,060,510	-	13,060,510
Accounts (net of allowance)	658,308	8,547,890	9,206,198
Fines (net of allowance)	29,902	-	29,902
Grants	2,533,291	-	2,533,291
Intergovernmental	3,095,217	-	3,095,217
Prepayments and Other Current Assets	10,929	60,258	71,187
Materials and Supplies	71,248	3,911,271	3,982,519
Net Pension Assets	5,704	1,399	7,103
Restricted Assets			
Cash and Cash Equivalents	3,986,205	37,474	4,023,679
Amounts Accumulated for Pension Benefits	329,604	82,400	412,004
Other Receivables	-	95,535	95,535
TVA Contracts Receivable - Home Weatherization	-	38,379	38,379
Acquisition Adjustments	-	42,240	42,240
Subtotal Assets	<u>44,821,803</u>	<u>60,655,614</u>	<u>105,477,417</u>
Capital assets, not being depreciated			
Land	16,582,038	4,043,750	20,625,788
Construction in Progress	44,711	1,918,582	1,963,293
Capital assets, net of accumulated depreciation			
Transmission Plant	-	458,352	458,352
Distribution Plant	-	145,077,940	145,077,940
General Plant	-	1,896,014	1,896,014
Buildings	14,619,805	26,903,034	41,522,839
Improvements other than buildings	93,097,714	-	93,097,714
Equipment	1,748,788	825,643	2,574,431
Rolling Stock	3,950,291	723,242	4,673,533
Office furniture and equipment	249,879	43,083	292,962
Total Capital Assets	<u>130,293,226</u>	<u>181,889,640</u>	<u>312,182,866</u>
Total Assets	<u>175,115,029</u>	<u>242,545,254</u>	<u>417,660,283</u>
Deferred Outflows of Resources			
Contributions to Pension/OPEB Funds			
Subsequent to the Measurement Date	451,781	1,103,784	1,555,565
Differenced Between Expected and Actual			
Experience - Pensions	-	880,210	880,210
Loss on Bond Refunding	<u>-</u>	<u>1,780,819</u>	<u>1,780,819</u>
Total Deferred Outflows of Resources	<u>451,781</u>	<u>3,764,813</u>	<u>4,216,594</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Net Position - Continued
June 30, 2020

	Governmental Activities	Business-Type Activities	Total
Liabilities			
Accounts Payable	\$ 2,514,687	\$ 9,348,352	\$ 11,863,039
Accrued Expenses	116,264	208,359	324,623
Accrued Interest	-	724,531	724,531
Customer Deposits	-	4,779,949	4,779,949
Unearned Revenue	55,830	-	55,830
Unearned Evidence Funds	68,972	-	68,972
Compensated absences	662,475	301,072	963,547
Performance Deposits	2,517,436	-	2,517,436
Long-term Liabilities:			
Due within one year	1,737,025	2,036,899	3,773,924
Due in excess of one year	19,709,746	37,065,903	56,775,649
Noncurrent Liabilities Due in More than One Year:			
Compensated absences	1,037,543	528,910	1,566,453
OPEB Liability	-	503,327	503,327
Net Pension Liability	-	425,140	425,140
 Total Liabilities	 <u>28,419,978</u>	 <u>55,922,442</u>	 <u>84,342,420</u>
Deferred Inflows of Resources			
Deferred Property Tax Revenue	12,754,671	-	12,754,671
Deferred Inflows - Pension and OPEB	263	458,869	459,132
 Total Deferred Inflows of Resources	 <u>12,754,934</u>	 <u>458,869</u>	 <u>13,213,803</u>
Net Position			
Net Investment in Capital Assets	108,846,455	142,206,982	251,053,437
Restricted for:			
Workers' Compensation Adjustment	-	7,729	7,729
Funds Held in Trust	435,996	-	435,996
Environmental Services	478,943	-	478,943
Drug Enforcement	177,429	-	177,429
Economic Development	148,010	-	148,010
Stormwater	272,090	-	272,090
Unrestricted	24,032,975	47,714,045	71,747,020
Total Net Position	<u>\$ 134,391,898</u>	<u>\$ 189,928,756</u>	<u>\$ 324,320,654</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Activities
For the Year Ended June 30, 2020

Functions/Programs	Expenses	Program Revenues			Net (Expense) Revenue and Changes in Net Position		
		Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities	Business-Type Activities	Total
Governmental Activities							
General Government	\$ 12,362,858	\$ 4,624,692	\$ 1,618,437	\$ 20,335,480	\$ 14,215,751	\$ -	\$ 14,215,751
Public Safety	15,280,509	692,888	-	-	(14,587,621)	-	(14,587,621)
Engineering	622,525	-	11,204	-	(611,321)	-	(611,321)
Environmental Services	2,796,681	2,156,984	-	-	(639,697)	-	(639,697)
Public Works	674,693	-	-	-	(674,693)	-	(674,693)
Highways and Streets	1,136,264	-	1,293,562	-	157,298	-	157,298
Vehicle Maintenance	617,315	242,361	-	-	(374,954)	-	(374,954)
Parks and Recreation	3,787,643	1,260,927	-	-	(2,526,716)	-	(2,526,716)
Economic Development	572,306	-	-	-	(572,306)	-	(572,306)
Tourism	57,039	-	-	-	(57,039)	-	(57,039)
Debt Service	598,364	-	-	-	(598,364)	-	(598,364)
Total Governmental Activities	38,506,197	8,977,852	2,923,203	20,335,480	(6,269,662)	-	(6,269,662)
Business-Type Activities							
Electric	64,715,592	66,958,912	-	1,693,909	-	3,937,229	3,937,229
Water & Sewer	14,208,176	16,328,551	-	9,204,281	-	11,324,656	11,324,656
Gas	10,525,253	13,017,134	-	-	-	2,491,881	2,491,881
Total Business-Type Activities	89,449,021	96,304,597	-	10,898,190	-	17,753,766	17,753,766
Total	\$ 127,955,218	\$ 105,282,449	\$ 2,923,203	\$ 31,233,670	\$ (6,269,662)	\$ 17,753,766	\$ 11,484,104
General Revenues							
Property Taxes - Levied for General Government					\$ 12,215,190	\$ -	\$ 12,215,190
In Lieu of Taxes - Other Governments					677,165	-	677,165
Sales Taxes					12,826,752	-	12,826,752
Franchise Taxes					465,305	-	465,305
Alcoholic Beverage Taxes					1,766,980	-	1,766,980
Business Taxes					1,127,484	-	1,127,484
Income Taxes					266,443	-	266,443
Other Sources					269,877	-	269,877
Sale of Capital Assets					106,564	-	106,564
Unrestricted Interest Income					313,968	328,769	642,737
Transfers, Net					1,805,424	(1,805,424)	-
Total General Revenues and Transfers					31,841,152	(1,476,655)	30,364,497
Change in Net Position					25,571,490	16,277,111	41,848,601
Net Position - July 1, 2019					108,820,408	173,651,645	282,472,053
Net Position - June 30, 2020					\$ 134,391,898	\$ 189,928,756	\$ 324,320,654

See notes to the financial statements.

City of Gallatin, Tennessee

Balance Sheet Governmental Funds June 30, 2020

	General Fund	Capital Projects Fund	Other Governmental Funds	Total Governmental Funds
Assets				
Cash and Cash Equivalents	\$ 14,254,030	\$ -	\$ 4,504,031	\$ 18,758,061
Restricted Cash and Cash Equivalents	-	3,986,205	-	3,986,205
Certificates of Deposit	1,919,414	-	-	1,919,414
Investments	-	-	21,025	21,025
Receivables				
Interest	341,787	-	598	342,385
Taxes (net of allowance of \$323,137)	12,737,373	-	-	12,737,373
Accounts (net of allowance of \$16,700)	253,348	-	404,960	658,308
Fines (net of allowance of \$2,067,525)	29,902	-	-	29,902
Grants	462,668	2,070,623	-	2,533,291
Intergovernmental	3,095,217	-	-	3,095,217
Inventories	49,072	-	22,176	71,248
Prepaid Expense	-	-	10,929	10,929
Total Assets	<u>\$ 33,142,811</u>	<u>\$ 6,056,828</u>	<u>\$ 4,963,719</u>	<u>\$ 44,163,358</u>
Liabilities, Deferred Inflows of Resources and Fund Balances				
Liabilities				
Accounts Payable	1,049,720	1,270,738	194,229	\$ 2,514,687
Accrued Expenses	116,102	100	62	116,264
Unearned Revenue	55,830	-	-	55,830
Unearned Evidence Funds	-	-	68,972	68,972
Performance Deposits	-	-	2,517,436	2,517,436
Total Liabilities	<u>1,221,652</u>	<u>1,270,838</u>	<u>2,780,699</u>	<u>5,273,189</u>
Deferred Inflows of Resources				
Unavailable Property Taxes	13,015,914	-	-	13,015,914
Unavailable Court Fines	29,902	-	-	29,902
Total Deferred Inflows of Resources	<u>13,045,816</u>	<u>-</u>	<u>-</u>	<u>13,045,816</u>
Fund Balances (Deficit)				
Nonspendable:				
Prepaid Items	-	-	10,929	10,929
Funds Held in Trust	-	-	36,025	36,025
Inventories	49,072	-	22,176	71,248
Restricted For:				
Street Aid	-	-	-	-
Funds Held in Trust	-	-	410,067	410,067
Environmental Services	-	-	768,026	768,026
Drug Enforcement	-	-	177,429	177,429
Economic Development	-	-	131,750	131,750
Stormwater	-	-	588,931	588,931
Committed To:				
Economic Development	103,873	-	-	103,873
Assigned To:				
Capital Projects	-	4,785,990	-	4,785,990
Police Special Projects	-	-	24,339	24,339
Cemetery	-	-	13,348	13,348
Unassigned	<u>18,722,398</u>	<u>-</u>	<u>-</u>	<u>18,722,398</u>
Total Fund Balances	<u>18,875,343</u>	<u>4,785,990</u>	<u>2,183,020</u>	<u>25,844,353</u>
Total Liabilities, Deferred Inflows, of Resources and Fund Balances	<u>\$ 33,142,811</u>	<u>\$ 6,056,828</u>	<u>\$ 4,963,719</u>	<u>\$ 44,163,358</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Reconciliation of Balance Sheet - Governmental Funds
to the Statement of Net Position
June 30, 2020

Amounts reported for the governmental activities in the statement of net position (pages 9 and 10) are different because:

Fund balance - total governmental funds (page 12)	\$ 25,844,353
Capital assets used in governmental activities are not financial resources and, therefore, are not reported in the funds.	130,293,226
Receivables are not available to pay for current expenditures and, therefore, are deferred in funds.	614,282
Net pension assets and liabilities are not due in the current period and, therefore, are not reported in the funds.	335,308
Long-term liabilities, including notes and bonds, leases payable, and other long term liabilities are not due in the current period and, therefore, are not reported in the funds.	
Bonds Payable	(21,104,746)
Compensated Absences	(1,700,018)
Deferred outflows of resources, specifically deferred loss on refunding and pension contributions are not due in the current period and, therefore, are not reported in the funds.	451,518
Payables such as accrued interest payable, are not due and payable in the current period, and, therefore, are not reported in the funds.	<u>(342,025)</u>
Net position - governmental activities (page 10)	<u><u>\$ 134,391,898</u></u>

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Governmental Funds

For the Year Ended June 30, 2020

	<u>General Fund</u>	<u>Capital Projects</u>	<u>Non-major Governmental Funds</u>	<u>Total Governmental Funds</u>
Revenues				
Local Taxes	\$ 24,907,697	\$ -	\$ -	\$ 24,907,697
Licenses and Permits	2,279,208	-	-	2,279,208
Intergovernmental Revenues	7,229,662	7,207,600	-	14,437,262
Charges for Services	2,026,427	-	3,979,329	6,005,756
Fines	543,714	-	147,827	691,541
Other	2,391,430	43,042	248,832	2,683,304
Total Revenues	<u>39,378,138</u>	<u>7,250,642</u>	<u>4,375,988</u>	<u>51,004,768</u>
Expenditures				
Current:				
General Government	7,687,304	-	25	7,687,329
Public Safety	15,375,310	-	64,266	15,439,576
Engineering	621,511	-	-	621,511
Environmental Services	-	-	2,783,382	2,783,382
Public Works	670,407	-	-	670,407
Highways and Streets	1,137,622	-	-	1,137,622
Vehicle Maintenance	614,540	-	-	614,540
Parks and Recreation	3,786,654	-	-	3,786,654
Economic Development	433,528	-	124,198	557,726
Tourism	57,039	-	-	57,039
Debt Service:				
Principal	1,355,000	-	-	1,355,000
Interest	738,250	-	-	738,250
Other Debt Service Expense	600	-	-	600
Capital Outlay	6,676,828	10,075,843	571,573	17,324,244
Total Expenditures	<u>39,154,593</u>	<u>10,075,843</u>	<u>3,543,444</u>	<u>52,773,880</u>
Excess of Revenues Over (Under) Expenditures	<u>223,545</u>	<u>(2,825,201)</u>	<u>832,544</u>	<u>(1,769,112)</u>
Other Financing Sources				
Transfers In - In Lieu of Taxes	1,805,919	-	-	1,805,919
Total Other Financing Sources	<u>1,805,919</u>	<u>-</u>	<u>-</u>	<u>1,805,919</u>
Net Change in Fund Balances	2,029,464	(2,825,201)	832,544	36,807
Fund Balance - July 1, 2019	<u>16,845,879</u>	<u>7,611,191</u>	<u>1,350,476</u>	<u>25,807,546</u>
Fund Balance - June 30, 2020	<u>\$ 18,875,343</u>	<u>\$ 4,785,990</u>	<u>\$ 2,183,020</u>	<u>\$ 25,844,353</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Reconciliation of the Statement of Revenues, Expenditures, and Changes
in Fund Balances to the Statement of Activities
For the Year Ended June 30, 2020

Amounts reported for governmental activities in the statement of activities (Page 11) are different because:

Net change in fund balances - total governmental funds (Page 14)	\$ 36,807
Governmental funds report capital outlays as expenditures; however, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period. This is the amount by which capital outlays exceeded depreciation in the current period.	12,584,126
The payment of pension contributions consumes current financial resources in the governmental funds. These transactions do not have any effect on the net position, but are considered deferred outflows of resources, while pension expense has no effect on the fund statements but does effect net position. Contributions Subsequent to the Measurement Date - Pension	254,976
The donation of capital assets does not provide current financial resources and are not reported as revenues in the funds.	11,243,138
Revenues in the statement of activities that do not provide current financial resources are not reported as revenues in the funds.	132,510
The repayment of the principal of long-term debt consumes the current financial resources of governmental funds. These transactions do not have any effect on net position.	1,355,000
Some expenses reported in the statement of activities, such as accrued leave and accrued interest, do not require the use of current financial resources and, therefore, are not reported as expenditures in the governmental funds.	<u>(35,067)</u>
Change in net position of governmental activities (Page 11)	<u><u>\$ 25,571,490</u></u>

City of Gallatin, Tennessee
Statement of Fund Net Position
Proprietary Funds
June 30, 2020

	Electric Division	Water & Sewer Division	Gas Division	Totals
Assets				
Current Assets				
Cash and Cash Equivalents - General	\$ 7,592,634	\$ 23,226,774	\$ 12,388,782	\$ 43,208,190
Cash and Cash Equivalents - Restricted	7,729	29,745	-	37,474
Certificates of Deposit	4,630,578	-	-	4,630,578
Accounts Receivable - Trade (Net of Allowance for Uncollectibles)	6,007,258	1,270,180	1,270,452	8,547,890
Prepayments and Other Current Assets	30,132	-	30,126	60,258
Materials and Supplies	1,525,123	876,008	1,510,140	3,911,271
Portion of Non-Current Receivables Due Within One Year	18,720	-	-	18,720
Total Current Assets	19,812,174	25,402,707	15,199,500	60,414,381
Noncurrent Assets				
Other Assets				
Other Receivables	76,815	-	-	76,815
Amounts Accumulated for Pension Benefits	-	61,800	20,600	82,400
TVA Contracts Receivable - Home Weatherization	38,379	-	-	38,379
Net Pension Asset	-	1,049	350	1,399
Acquisition Adjustments	42,240	-	-	42,240
Total Other Assets	157,434	62,849	20,950	241,233
Capital Assets				
Land	2,062,301	1,750,002	231,447	4,043,750
Construction in Progress	1,092,122	826,460	-	1,918,582
Other Capital Assets, Net of Depreciation				
Transmission Plant	458,352	-	-	458,352
Distribution Plant	28,368,731	80,233,938	36,475,271	145,077,940
General Plant	1,896,014	-	-	1,896,014
Buildings	-	26,270,783	632,251	26,903,034
Operating Equipment	-	679,162	146,481	825,643
Rolling Stock	-	534,507	188,735	723,242
Office furniture and equipment	-	3,555	39,528	43,083
Total Capital Assets	33,877,520	110,298,407	37,713,713	181,889,640
Total Noncurrent Assets	34,034,954	110,361,256	37,734,663	182,130,873
Total Assets	53,847,128	135,763,963	52,934,163	242,545,254
Deferred Outflows of Resources				
Loss on Bond Refunding	-	1,780,819	-	1,780,819
Deferred Outflows - Pension	880,210	-	-	880,210
Contributions to Pension Fund	1,070,354	24,667	8,763	1,103,784
Total Deferred Outflows of Resources	1,950,564	1,805,486	8,763	3,764,813

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Fund Net Position - Continued
Proprietary Funds
June 30, 2020

	Electric Division	Water & Sewer Division	Gas Division	Totals
Liabilities				
Accounts Payable	\$ 8,253,696	\$ 364,278	\$ 730,378	\$ 9,348,352
Other Accrued Expenses	207,509	364	486	208,359
Accrued Interest	19,319	605,043	100,169	724,531
Customers' Deposits	4,287,558	268,808	223,583	4,779,949
Accrued Leave	179,011	91,546	30,515	301,072
Current maturities of long-term debt	21,899	1,825,000	190,000	2,036,899
Total Current Liabilities	<u>12,968,992</u>	<u>3,155,039</u>	<u>1,275,131</u>	<u>17,399,162</u>
Long-term Liabilities				
Bonds Payable (less current maturities)	-	28,625,000	5,140,000	33,765,000
Accrued Leave	70,234	263,109	195,567	528,910
TVA Contracts Payable - Home Weatherization	19,659	-	-	19,659
Net Pension Liability	425,140	-	-	425,140
OPEB Liability	503,327	-	-	503,327
Bond Premiums	-	2,835,756	403,930	3,239,686
Advances from Tennessee Valley				
Authority - Home Institution Program	41,558	-	-	41,558
Total Long-term Liabilities	<u>1,059,918</u>	<u>31,723,865</u>	<u>5,739,497</u>	<u>38,523,280</u>
Total Liabilities	<u>14,028,910</u>	<u>34,878,904</u>	<u>7,014,628</u>	<u>55,922,442</u>
Deferred Inflows of Resources				
Deferred Inflows - Pension and OPEB	458,805	48	16	458,869
Total Deferred Inflows of Resources	<u>458,805</u>	<u>48</u>	<u>16</u>	<u>458,869</u>
Net Position				
Net Investment in Capital Assets	33,919,760	76,407,608	31,879,614	142,206,982
Restricted - Workers' Compensation Adjustment	7,729	-	-	7,729
Unrestricted	7,382,488	26,282,889	14,048,668	47,714,045
Total Net Position	<u>\$ 41,309,977</u>	<u>\$ 102,690,497</u>	<u>\$ 45,928,282</u>	<u>\$ 189,928,756</u>

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenses, and Changes in Fund Net Position

Proprietary Funds

For the Year Ended June 30, 2020

	Electric Division	Water & Sewer Division	Gas Division	Totals
Operating Revenues				
Charges for Sales and Service	\$ 66,040,055	15,818,259	12,655,603	\$ 94,513,917
Fines and Forfeitures	227,000	97,336	-	324,336
Other Operating Revenue	691,857	412,956	361,531	1,466,344
Total Operating Revenues	66,958,912	16,328,551	13,017,134	96,304,597
Operating Expenses				
Cost of Sales and Service	56,168,805	-	7,154,872	63,323,677
Water Treatment and Pumping	-	1,713,192	-	1,713,192
Transmission and Distribution	2,964,832	1,206,549	1,237,780	5,409,161
Customer Service and Collection	796,820	708,148	696,572	2,201,540
General Administration	1,687,266	1,250,697	443,380	3,381,343
Sewer Collection	-	1,135,727	-	1,135,727
Sewer System Rehab	-	346,337	-	346,337
Sewer Treatment and Disposal	-	1,871,321	-	1,871,321
Sewer Pretreatment	-	88,906	-	88,906
Maintenance	1,131,952	-	-	1,131,952
Customer Deposit Interest	19,162	-	-	19,162
Amortization - Acquisition Adjustment	46,397	-	-	46,397
Provision for Depreciation	1,900,358	4,327,394	1,176,314	7,404,066
Total Operating Expenses	64,715,592	12,648,271	10,708,918	88,072,781
Operating Income	2,243,320	3,680,280	2,308,216	8,231,816
Non-Operating Revenues (Expenses)				
Interest and Other Income	159,879	39,062	129,828	328,769
Tap Fees	-	804,281	-	804,281
Amortization of bond premiums	-	173,626	-	173,626
Interest and Other Expense	-	(1,504,806)	(228,725)	(1,733,531)
Other Gains and Losses	-	-	183,665	183,665
Total Non-Operating Revenues (Expenses)	159,879	(487,837)	84,768	(243,190)
Income before Contributions and Transfers	2,403,199	3,192,443	2,392,984	7,988,626
Capital Contributions	1,693,909	8,400,000	-	10,093,909
Transfers Out - In Lieu of Taxes	(932,412)	(482,961)	(390,051)	(1,805,424)
Increase in Net Position	3,164,696	11,109,482	2,002,933	16,277,111
Net Position - July 1, 2019	38,145,281	91,581,015	43,925,349	173,651,645
Net Position - June 30, 2020	\$ 41,309,977	\$ 102,690,497	\$ 45,928,282	\$ 189,928,756

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Cash Flows
Proprietary Funds
For the Year Ended June 30, 2020

	Electric Division	Water & Sewer Division	Gas Division	Totals
Cash Flows from Operating Activities:				
Cash Received from Customers	\$ 67,886,750	\$ 16,652,287	\$ 12,610,372	\$ 97,149,409
Cash Payments to Suppliers for Goods and Services	(63,440,994)	(3,596,678)	(7,930,310)	(74,967,982)
Cash Payments to Employees for Services	(3,084,464)	(4,398,006)	(1,575,825)	(9,058,295)
Interest Payments on Customer Deposits	(19,162)	-	-	(19,162)
Net Decrease in TVA Loan Funds Receivable	26,999	-	-	26,999
Net Decrease in TVA Loan Funds Payable	(28,677)	-	-	(28,677)
Net Change in Customer Deposits	277,342	53,891	(8,889)	322,344
Payments in Lieu of Tax	(932,412)	(482,961)	(390,051)	(1,805,424)
Net Cash Provided by Operating Activities	<u>685,382</u>	<u>8,228,533</u>	<u>2,705,297</u>	<u>11,619,212</u>
Cash Flows from Capital and Related Financing Activities:				
Capital Contributions by Customers and Grants	1,693,909	8,400,000	-	10,093,909
Principal Paid on Debt	-	(1,775,000)	(240,000)	(2,015,000)
Interest Paid on Bonds, Notes, and Leases	-	(1,504,805)	(249,985)	(1,754,790)
Construction and Acquisition of Plant	(2,663,174)	(5,541,942)	(3,393,536)	(11,598,652)
Received on Sale of Assets	34,264	-	-	34,264
Plant Removal Cost	(117,709)	-	-	(117,709)
Net Cash Used by Capital and Related Financing Activities	<u>(1,052,710)</u>	<u>(421,747)</u>	<u>(3,883,521)</u>	<u>(5,357,978)</u>
Cash Flows from Investing Activities:				
Purchase of Certificates of Deposit	(20,490)	-	-	(20,490)
Interest and Other Income	157,908	39,062	129,828	326,798
Net Cash Provided by Investing Activities	<u>137,418</u>	<u>39,062</u>	<u>129,828</u>	<u>306,308</u>
Net Increase (Decrease) in Cash	(229,910)	7,845,848	(1,048,396)	6,567,542
Cash at Beginning of Year	<u>7,830,273</u>	<u>15,410,671</u>	<u>13,437,178</u>	<u>36,678,122</u>
Cash at End of Year	<u>\$ 7,600,363</u>	<u>\$ 23,256,519</u>	<u>\$ 12,388,782</u>	<u>\$ 43,245,664</u>
Cash and Cash Equivalents				
Unrestricted Cash and Cash Equivalents on Deposit	\$ 7,592,634	\$ 23,226,774	\$ 12,388,782	\$ 43,208,190
Restricted Cash and Cash Equivalents on Deposit	7,729	29,745	-	37,474
Total Cash and Cash Equivalents	<u>\$ 7,600,363</u>	<u>\$ 23,256,519</u>	<u>\$ 12,388,782</u>	<u>\$ 43,245,664</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Cash Flows - Continued
Proprietary Funds
For the Year Ended June 30, 2020

	<u>Electric Division</u>	<u>Water & Sewer Division</u>	<u>Gas Division</u>	<u>Totals</u>
Reconciliation of Operating Income to Net Cash Provided				
by Operating Activities:				
Operating Income	\$ 2,243,320	\$ 3,680,280	\$ 2,308,216	\$ 8,231,816
Adjustments to Reconcile Operating Income to Net Cash				
Provided by Operating Activities:				
Depreciation and Amortization of Acquisition Costs	2,057,280	4,327,394	1,176,314	7,560,988
Payments in Lieu of Tax	(932,412)	(482,961)	(390,051)	(1,805,424)
Tap Fees	-	804,281	-	804,281
Insurance Recoveries	-	-	183,665	183,665
Pension Related Changes	(31,727)	(48,288)	(16,096)	(96,111)
(Increase) Decrease in:				
Accounts Receivable	1,205,180	323,736	(406,762)	1,122,154
Materials and Supplies	(222,223)	(179,934)	(24,724)	(426,881)
Prepayments and Other Current Assets	(3,422)	-	24,143	20,721
TVA Contracts Receivable - Home Weatherization	26,999	-	-	26,999
Increase (Decrease) in:				
Accounts Payable	(3,224,633)	(265,979)	(265,855)	(3,756,467)
Other Accrued Expenses	16,297	324	(1,423)	15,198
Accrued Interest	(11,877)	(29,412)	100,169	58,880
Customers' Deposits	277,342	53,891	(8,889)	322,344
Accrued Leave	(22,085)	45,201	26,590	49,706
TVA Contracts Payable - Home Weatherization	(28,677)	-	-	(28,677)
OPEB	(663,980)	-	-	(663,980)
Net Cash Provided by Operating Activities	<u>\$ 685,382</u>	<u>\$ 8,228,533</u>	<u>\$ 2,705,297</u>	<u>\$ 11,619,212</u>
Supplemental Disclosure of Noncash Capital and Related				
Financing Activities:				
Utility Plant Additions Financed by Accounts Payable	<u>\$ -</u>	<u>\$ 29,745</u>	<u>\$ -</u>	<u>\$ 29,745</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Revenues, Expenditures, and Changes in Fund Balances
Budget and Actual
General Fund
For the Year Ended June 30, 2020

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Revenues				
Local Taxes:				
Property Taxes - Current	\$ 11,600,000	\$ 11,600,000	\$ 11,849,541	\$ 249,541
Property Taxes - Delinquent	250,000	250,000	176,037	(73,963)
Property Taxes - Penalty and Interest	100,000	100,000	58,449	(41,551)
Local Sales Taxes	9,500,000	9,500,000	9,669,782	169,782
Local Beer Taxes	1,100,000	1,100,000	1,100,981	981
Local Liquor Taxes	350,000	350,000	460,118	110,118
Business Taxes	900,000	900,000	988,230	88,230
Privilege Taxes	30,000	30,000	25,820	(4,180)
Cable Taxes	480,000	480,000	465,305	(14,695)
Occupancy Taxes	130,000	130,000	111,360	(18,640)
Special Assessments	10,000	10,000	2,074	(7,926)
Licenses and Permits:				
Beer Licenses	2,000	2,000	7,140	5,140
Building Permits	840,000	840,000	684,598	(155,402)
Plumbing Permits	190,000	190,000	190,929	929
Planning Fees	205,000	205,000	302,404	97,404
Other Mechanical Permits	220,000	220,000	227,500	7,500
Other Permits	741,950	741,950	866,637	124,687
Fines:				
Fines and Forfeitures	364,250	364,250	404,462	40,212
A.C.E.S. Red Light Revenue	180,000	180,000	126,781	(53,219)
Property Taxes Penalty and Interest	17,500	17,500	12,471	(5,029)
Intergovernmental Revenues:				
In Lieu of Tax - Housing Authority	3,400	3,400	3,550	150
In Lieu of Tax - Industry	93,700	93,700	161,940	68,240
State - Sales Tax	3,050,000	3,050,000	3,156,970	106,970
State - Income Tax	-	-	148,676	148,676
State - Beer Tax	20,000	20,000	16,148	(3,852)
State - Mixed Drink Tax	180,000	180,000	189,733	9,733
State - Gas and Motor Fuel Tax	1,325,000	1,325,000	1,225,122	(99,878)
State - Petroleum Special	75,000	75,000	68,440	(6,560)
State - Telecomm	26,000	26,000	2,440	(23,560)
State - TVA in Lieu of Tax	510,000	510,000	511,675	1,675
State - Excise Tax	75,000	75,000	115,327	40,327
State Salary Supplements	-	129,600	129,600	-
Other Federal Grants	612,050	612,050	1,101,777	489,727
Sidewalk Grant	960,000	1,999,145	18,685	(1,980,460)
Government Highway Safety Grant	-	-	11,204	11,204
Other State Grants	10,000	3,012,543	368,375	(2,644,168)
Charges for Services:				
Admin and Management Services	172,050	172,050	184,695	12,645
Accounting and Management Services	111,117	111,117	95,766	(15,351)
Personnel Services	36,803	36,803	50,629	13,826
Other Legal Services	85,073	85,073	108,361	23,288
Miscellaneous	37,500	37,500	48,193	10,693
Vehicle Maintenance Charges	220,000	220,000	242,361	22,361
Rent	34,875	34,875	35,495	620
Golf Course Revenue	762,000	762,000	595,612	(166,388)
Civic Center Revenue	1,063,200	1,063,200	665,315	(397,885)
Miscellaneous Revenues:				
Miscellaneous	5,000	5,000	40,024	35,024
Sale of Land	-	-	59,105	59,105
Sale of Cemetery Lots	15,000	15,000	10,150	(4,850)
Sale of Materials	2,000	2,000	5,137	3,137
Sale of Equipment	40,000	60,270	85,752	25,482
Donations	85,000	266,000	1,826,361	1,560,361

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

	Budgeted Amounts			Variance with Final Budget Over (Under)
	Original	Final	Actual	
Revenues				
Miscellaneous Revenues (cont.):				
Insurance Recoveries	\$ -	\$ 14,304	\$ 50,961	\$ 36,657
Interest	250,000	250,000	313,940	63,940
Total Revenues	37,070,468	41,457,330	39,378,138	(2,079,192)
Expenditures				
Current:				
General Government - Mayor's Office:				
Salaries	259,115	259,115	258,392	(723)
Employee Benefits and Taxes	65,334	65,334	64,393	(941)
Official Fees	48,650	48,650	37,190	(11,460)
Printing and Publications	7,350	7,350	6,774	(576)
Membership Fees	45,900	45,900	42,321	(3,579)
Utilities	3,000	3,000	1,587	(1,413)
Other Professional Services	90,000	93,000	80,796	(12,204)
Travel and Meals	16,500	16,500	5,002	(11,498)
Mayor's Expenses	5,000	5,000	2,463	(2,537)
Council Expenses	14,000	14,000	10,668	(3,332)
Office Supplies	6,000	6,851	4,013	(2,838)
Payments In Lieu of Tax	160,000	160,000	186,482	26,482
County Portion of Liquor Tax	100,000	100,000	118,928	18,928
Discounts on Taxes	15,000	15,000	9,989	(5,011)
Grants and Donations	3,000	13,000	3,652	(9,348)
RTA program	55,597	55,597	55,597	-
Prizes and Awards	16,000	16,000	13,103	(2,897)
Miscellaneous	55,300	55,300	22,965	(32,335)
General Government - Finance Department:				
Salaries	473,244	463,939	430,303	(33,636)
Employee Benefits and Taxes	136,045	136,045	108,628	(27,417)
Postage	5,500	5,500	5,925	425
Printing and Publications	3,000	3,000	2,418	(582)
Membership Fees	510	510	1,347	837
Utilities	1,685	1,685	954	(731)
Accounting Services	69,275	69,275	65,275	(4,000)
Repairs and Maintenance	1,250	1,250	-	(1,250)
Training	2,000	2,000	2,900	900
Operating Supplies	5,000	5,000	6,952	1,952
Miscellaneous	3,600	3,600	(1,737)	(5,337)
General Government - City Recorder:				
Salaries	308,251	308,251	263,678	(44,573)
Employee Benefits and Taxes	117,562	117,562	85,346	(32,216)
Postage	14,000	14,000	11,020	(2,980)
Printing and Publications	1,000	1,000	355	(645)
Membership Fees	2,500	2,500	805	(1,695)
Utilities	300	300	93	(207)
Data Processing Services	22,000	22,000	19,231	(2,769)
Other Professional Services	3,500	3,500	2,288	(1,212)
Travel	2,500	2,500	1,028	(1,472)
Other Contractual Services	11,000	21,109	915	(20,194)
Office Supplies	5,000	5,000	2,650	(2,350)
Miscellaneous	6,000	6,000	8,965	2,965
General Government - Risk Management:				
HRA Expense	130,000	130,000	113,136	(16,864)
Workers Compensation	340,000	340,000	310,661	(29,339)
ADA Transition Plan	509,000	509,000	128,842	(380,158)
Building Insurance	75,000	75,000	72,462	(2,538)
General Liability	325,000	325,000	299,329	(25,671)

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Expenditures (cont.)				
General Government - Attorney:				
Salaries	\$ 330,271	\$ 330,271	\$ 335,489	\$ 5,218
Employee Benefits and Taxes	92,302	92,302	82,928	(9,374)
Printing and Publications	3,250	3,250	2,823	(427)
Licenses	1,300	1,300	-	(1,300)
Tax Law and Other Publications	12,500	12,500	10,717	(1,783)
Membership Fees	4,500	4,500	3,342	(1,158)
Utilities	1,800	1,800	1,272	(528)
Legal Services	25,000	25,000	25,155	155
Other Professional Services	10,000	10,000	3,000	(7,000)
Travel and Meals	4,250	4,250	2,827	(1,423)
Training	3,500	3,500	2,840	(660)
Office Supplies	650	2,369	2,067	(302)
Educational Supplies	24,975	24,975	(6,222)	(31,197)
Miscellaneous	12,700	64,075	5,287	(58,788)
General Government - Information Technology:				
Salaries	466,954	466,954	430,987	(35,967)
Employee Benefits and Taxes	159,731	159,731	127,256	(32,475)
Copier Expense	250	250	377	127
Membership Fees	500	500	72	(428)
Utilities	7,000	7,000	5,972	(1,028)
Other Professional Services	111,080	122,637	87,293	(35,344)
Other Contractual Services	630,736	653,736	615,426	(38,310)
Office Supplies	2,500	2,740	917	(1,823)
Operating Supplies	8,000	8,000	7,239	(761)
Miscellaneous	3,700	3,700	887	(2,813)
General Government - Personnel:				
Salaries	202,419	207,599	215,101	7,502
Employee Benefits and Taxes	56,440	56,440	51,292	(5,148)
Printing and Publications	1,500	1,500	1,509	9
Utilities	625	625	581	(44)
Physicals	9,500	9,500	567	(8,933)
Professional Services	2,500	6,625	7,555	930
Training	4,000	4,000	335	(3,665)
Office Supplies	900	900	1,506	606
Operating Supplies	3,300	3,300	1,224	(2,076)
Miscellaneous	7,800	7,800	2,610	(5,190)
General Government - City Planner:				
Salaries	503,972	503,972	495,189	(8,783)
Employee Benefits and Taxes	162,711	162,711	149,972	(12,739)
Planning Commission	19,775	19,775	15,371	(4,404)
Postage	2,000	2,000	1,163	(837)
Printing and Publications	3,700	3,700	3,728	28
Membership Fees	2,840	2,840	2,404	(436)
Utilities	4,400	4,400	4,016	(384)
Repairs and Maintenance	1,000	1,000	34	(966)
Office Supplies	4,000	4,378	3,724	(654)
Gas, Oil, Diesel, Etc.	1,300	1,300	415	(885)
Miscellaneous	24,980	24,980	14,609	(10,371)
General Government - Buildings:				
Salaries	225,716	225,716	215,171	(10,545)
Employee Benefits and Taxes	81,781	81,781	77,211	(4,570)
Utilities	87,100	87,100	65,470	(21,630)
Repairs and Maintenance	41,000	36,000	29,694	(6,306)
Other Contractual Services	25,000	25,000	19,780	(5,220)
Small Equipment	2,000	2,000	1,557	(443)
Operating Supplies	3,500	3,500	2,897	(603)
Janitorial Supplies	8,500	8,500	9,552	1,052

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

	Budgeted Amounts			Variance with
	Original	Final	Actual	Final Budget Over (Under)
Expenditures (cont.)				
General Government - Buildings (cont.):				
Gas, Oil, Diesel, Etc.	\$ 6,000	\$ 6,000	\$ 3,258	\$ (2,742)
Miscellaneous	5,600	5,600	3,491	(2,109)
General Government - Codes:				
Salaries	881,355	902,720	872,901	(29,819)
Employee Benefits and Taxes	309,747	322,847	277,040	(45,807)
Postage	720	720	498	(222)
Printing and Publications	13,600	13,600	5,659	(7,941)
Membership Fees	4,500	4,500	1,949	(2,551)
Utilities	20,250	20,250	14,081	(6,169)
Repairs and Maintenance	4,500	4,500	1,203	(3,297)
Other Professional Services	170,000	170,000	161,795	(8,205)
Office Supplies	5,000	5,000	4,079	(921)
Gas, Oil, Diesel, Etc.	12,000	12,000	10,553	(1,447)
Miscellaneous	33,200	33,200	41,800	8,600
General Government - Community Services:				
July 4th Celebration	28,925	37,850	18,925	(18,925)
Appropriations to Non-Profits	262,800	267,800	259,800	(8,000)
Public Safety - Police:				
Salaries	5,480,428	5,537,228	5,282,729	(254,499)
Employee Benefits and Taxes	2,209,848	2,209,848	1,877,469	(332,379)
Postage	3,000	3,000	3,313	313
Printing and Publications	29,400	29,400	30,755	1,355
Membership Fees	3,500	3,500	6,107	2,607
Public Relations	1,500	1,500	-	(1,500)
Utilities	86,455	86,455	98,438	11,983
Physicals	8,000	8,000	9,741	1,741
Data Processing Services	30,000	30,000	19,917	(10,083)
Repairs and Maintenance	86,850	86,850	144,797	57,947
Travel	9,000	9,000	11,278	2,278
Other Contractual Services	40,000	40,000	35,771	(4,229)
Inmate Crew Expense	1,500	1,500	675	(825)
Reserve Officers Expense	10,000	10,000	10,167	167
Office Supplies	5,100	5,100	4,024	(1,076)
Small Office Equipment	3,000	3,000	1,376	(1,624)
Operating Supplies	35,000	35,000	30,959	(4,041)
Janitorial Supplies	5,000	5,000	7,313	2,313
Clothing and Uniforms	45,000	45,000	43,353	(1,647)
Fire Arm Supplies	20,000	20,000	18,328	(1,672)
Other Operating Supplies	3,000	3,000	4,754	1,754
Gas, Oil, Diesel, Etc.	150,500	150,500	165,778	15,278
Other Supplies	3,000	3,000	2,240	(760)
Traffic Light Camera Expense	110,000	110,000	77,116	(32,884)
Other Grants and Donations	890,970	890,970	494,077	(396,893)
Public Safety - Fire:				
Salaries	4,848,239	4,909,039	4,742,986	(166,053)
Employee Benefits and Taxes	2,073,086	2,073,086	1,668,578	(404,508)
Printing and Publications	1,200	1,200	1,558	358
Membership Fees	10,000	10,000	7,490	(2,510)
Utilities	62,305	62,305	61,421	(884)
Physicals	12,000	12,000	6,696	(5,304)
Repairs and Maintenance	185,000	199,304	219,297	19,993
Travel	10,000	10,000	5,190	(4,810)
Other Contractual Services	20,000	20,000	24,472	4,472
Training	50,000	62,000	54,208	(7,792)
Office Supplies	3,000	3,000	1,353	(1,647)
Small Office Equipment	2,000	2,000	-	(2,000)
Operating Supplies	25,000	25,000	23,210	(1,790)

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Expenditures (cont.)				
Public Safety - Fire (cont.):				
Janitorial Supplies	\$ 12,000	\$ 12,000	\$ 11,117	\$ (883)
Clothing and Uniforms	40,000	40,000	37,468	(2,532)
Fire Prevention Supplies	8,000	8,000	6,081	(1,919)
Gas, Oil, Diesel, Etc.	80,000	80,000	80,489	489
Miscellaneous	46,800	47,112	43,221	(3,891)
Public Safety - Engineering:				
Salaries	451,350	412,461	421,758	9,297
Employee Benefits and Taxes	162,120	138,045	130,600	(7,445)
Printing	3,500	3,500	2,461	(1,039)
Licenses	1,540	1,540	1,310	(230)
Membership Fees	1,925	1,925	705	(1,220)
Utilities	10,558	10,558	8,987	(1,571)
Street Light	315,000	-	-	-
Professional Services	60,000	60,000	34,776	(25,224)
Repairs and Maintenance	2,500	2,000	6,045	4,045
Other Contractual Services	25,000	-	-	-
Office Supplies	2,000	2,000	1,186	(814)
Operating Supplies	27,300	27,000	10,824	(16,176)
Gas, Oil, Diesel, Etc.	3,700	2,700	2,214	(486)
Miscellaneous	3,700	3,700	645	(3,055)
Public Works:				
Salaries	220,253	259,142	242,403	(16,739)
Employee Benefits and Taxes	65,415	89,490	71,118	(18,372)
Utilities	800	800	1,495	695
Repairs and Maintenance	6,750	7,250	11,603	4,353
Gas, Oil, Diesel, Etc.	8,200	9,200	7,788	(1,412)
Miscellaneous	13,900	451,379	336,000	(115,379)
Highways and Streets:				
Salaries	762,946	762,946	663,056	(99,890)
Employee Benefits and Taxes	323,435	323,435	229,917	(93,518)
Utilities	13,000	13,000	9,390	(3,610)
Physicals	1,000	1,000	3,040	2,040
Repairs and Maintenance	164,000	165,907	137,973	(27,934)
Travel	1,000	1,000	728	(272)
Other Contractual Services	17,000	17,000	3,684	(13,316)
Operating Supplies	2,560	2,560	3,146	586
Agricultural and Horticultural Supplies	5,000	5,000	2,944	(2,056)
Janitorial Supplies	500	500	1,062	562
Clothing and Uniforms	7,500	7,500	6,481	(1,019)
Other Operating Supplies	1,500	1,500	3,365	1,865
Gas, Oil, Diesel, Etc.	63,000	63,000	37,184	(25,816)
Consumable Tools	3,500	3,500	1,880	(1,620)
Sign Parts and Supplies	12,000	12,000	14,108	2,108
Demolition and Mowing	20,000	20,000	6,732	(13,268)
Other Supplies	1,500	1,500	1,341	(159)
Salt	10,000	30,000	-	(30,000)
Inmate Crew Expense	13,000	13,000	5,768	(7,232)
Miscellaneous	20,900	20,900	5,823	(15,077)
Vehicle Maintenance:				
Salaries	266,886	266,886	262,275	(4,611)
Employee Benefits and Taxes	97,466	97,466	85,328	(12,138)
Utilities	12,600	12,600	10,644	(1,956)
Repairs and Maintenance	231,750	239,055	251,523	12,468
Operating Supplies	1,500	1,500	996	(504)
Clothing and Uniforms	1,400	1,400	893	(507)
Maintenance Supplies	750	750	-	(750)
Gas, Oil, Diesel, Etc.	5,500	5,500	2,627	(2,873)
Miscellaneous	5,600	5,600	254	(5,346)

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

Expenditures (cont.)	Budgeted Amounts		Actual	Variance with
	Original	Final		Final Budget Over (Under)
Parks and Recreation - Civic Center:				
Salaries	\$ 823,907	\$ 823,907	\$ 728,796	\$ (95,111)
Employee Benefits and Taxes	186,571	186,571	176,882	(9,689)
Postage	2,100	2,100	1,058	(1,042)
Printing and Publications	4,500	4,500	2,928	(1,572)
Utilities	205,100	205,100	165,102	(39,998)
Employee Physicals	1,000	1,000	4,484	3,484
Repairs and Maintenance	33,000	33,000	36,500	3,500
Other Contractual Services	100,000	100,000	87,125	(12,875)
Operating Supplies	70,000	70,000	45,830	(24,170)
Food	50,000	50,000	42,930	(7,070)
Janitorial Supplies	15,000	15,000	14,240	(760)
Miscellaneous	21,500	21,500	18,269	(3,231)
Parks and Recreation - Golf Course:				
Salaries	478,433	478,433	466,156	(12,277)
Employee Benefits and Taxes	154,923	154,923	122,528	(32,395)
Printing and Publications	150	150	112	(38)
Membership Fees	1,600	1,600	1,340	(260)
Utilities	43,700	43,700	34,593	(9,107)
Physicals	200	200	255	55
Repairs and Maintenance	11,500	11,500	5,939	(5,561)
Other Contractual Services	15,000	15,000	6,452	(8,548)
Items for Resale	15,000	15,000	10,948	(4,052)
Operating Supplies	20,000	20,000	26,638	6,638
Agricultural and Horticultural Supplies	60,000	60,000	48,104	(11,896)
Food	30,000	30,000	20,976	(9,024)
Clothing and Uniforms	2,000	2,000	3,491	1,491
Gas, Oil, Diesel, Etc.	15,000	15,000	16,409	1,409
Other Equipment Parts	30,000	30,000	38,089	8,089
Repair Parts for Water/Sewer Lines	4,000	4,000	2,065	(1,935)
Beer for Resale	15,000	15,000	11,203	(3,797)
Discount Credit Card	16,000	16,000	15,996	(4)
Miscellaneous	1,550	1,550	498	(1,052)
Parks and Recreation - Parks:				
Salaries	790,300	790,300	789,536	(764)
Employee Benefits and Taxes	623,900	623,900	429,652	(194,248)
Printing and Publications	2,000	2,000	1,858	(142)
Memberships	3,000	3,000	2,919	(81)
Public Relations	19,500	19,500	9,535	(9,965)
Utilities	135,000	135,000	129,310	(5,690)
Repairs and Maintenance	63,000	63,000	68,220	5,220
Travel	3,000	3,000	3,582	582
Other Contractual Services	55,000	55,000	69,183	14,183
Inmate Crew Meals	8,000	8,000	6,074	(1,926)
Small Equipment	9,100	9,100	4,441	(4,659)
Operating Supplies	75,000	75,000	48,816	(26,184)
Agricultural and Horticultural Supplies	18,000	18,000	19,541	1,541
Gas, Oil, Diesel, Etc.	55,000	55,000	46,039	(8,961)
Miscellaneous	10,100	10,100	2,012	(8,088)
Economic Development Agency:				
Salaries	225,564	225,564	224,756	(808)
Employee Benefits and Taxes	78,401	78,401	67,319	(11,082)
Printing and Publications	5,500	5,500	6,067	567
Membership Fees	13,000	13,000	15,498	2,498
Public Relations	33,000	35,500	33,340	(2,160)
Utilities	1,800	1,800	1,837	37
Repairs and Maintenance	1,000	1,000	24	(976)
Professional Services	10,000	10,000	26,225	16,225
Travel	6,000	6,000	5,130	(870)

See notes to the financial statements.

City of Gallatin, Tennessee

Statement of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual - Continued

General Fund

For the Year Ended June 30, 2020

	Budgeted Amounts		Actual	Variance with Final Budget Over (Under)
	Original	Final		
Expenditures (cont.)				
Economic Development Agency (cont.):				
Office Supplies	\$ 2,000	\$ 2,000	\$ 3,573	\$ 1,573
Gas, Oil, Diesel, Etc.	1,250	1,250	770	(480)
Miscellaneous	45,600	55,929	23,008	(32,921)
Economic Development Utility:				
Professional Services	30,000	30,000	25,981	(4,019)
Repairs and Maintenance	15,000	15,000	-	(15,000)
Grants and Donations	7,500	7,500	-	(7,500)
Miscellaneous	5,000	5,000	-	(5,000)
Tourism:				
Other Contractual Services	90,000	140,000	57,039	(82,961)
Operating Supplies	5,000	5,000	-	(5,000)
Capital Outlay	3,139,958	13,803,108	6,676,828	(7,126,280)
Debt Service:				
Principal	1,355,000	1,355,000	1,355,000	-
Interest	738,250	738,250	738,250	-
Bond Fees	1,085	1,085	600	(485)
Total Expenditures	<u>39,026,900</u>	<u>50,179,105</u>	<u>39,154,593</u>	<u>(11,024,512)</u>
Excess of Revenues Over (Under) Expenditures	<u>(1,956,432)</u>	<u>(8,721,775)</u>	<u>223,545</u>	<u>8,945,320</u>
Other Financing Sources (Uses)				
In Lieu of Payments - Utility	<u>1,690,000</u>	<u>1,690,000</u>	<u>1,805,919</u>	<u>115,919</u>
Total Other Financing Sources (Uses)	<u>1,690,000</u>	<u>1,690,000</u>	<u>1,805,919</u>	<u>115,919</u>
Net Change in Fund Balances	(266,432)	(7,031,775)	2,029,464	9,061,239
Fund Balance - July 1, 2019	<u>16,845,879</u>	<u>16,845,879</u>	<u>16,845,879</u>	<u>-</u>
Fund Balance - June 30, 2020	<u>\$ 16,579,447</u>	<u>\$ 9,814,104</u>	<u>\$ 18,875,343</u>	<u>\$ 9,061,239</u>

See notes to the financial statements.

City of Gallatin, Tennessee
Statement of Fiduciary Net Position
Pension Trust Fund - Electric Department
June 30, 2020

Assets

Cash and cash equivalents	\$ 476,025
Receivables:	
Employee contributions	4,504
Investment income	24,332
Investments:	
Certificates of deposit	54,985
Mutual Funds	2,152,238
US government and municipal obligations	2,484,518
Corporate bonds and debentures	1,971,979
Common stocks	<u>4,327,211</u>
Total assets	<u>11,495,792</u>

Liabilities

Payables:	
Trustee/Custody Fees	669
Investment management fees	<u>13,485</u>
Total liabilities	<u>14,154</u>

Net position restricted for pensions	<u><u>\$ 11,481,638</u></u>
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City of Gallatin, Tennessee
Statement of Changes in Fiduciary Net Position
Pension Trust Fund - Electric Department
For the Fiscal Year Ended June 30, 2020

Additions

Contributions:

Employees	\$ 59,546
Employer	<u>1,050,000</u>
Total Contributions	<u>1,109,546</u>

Investment income:

Net appreciation in fair value of investments	140,779
Interest and dividends	<u>267,895</u>
	408,674
Less: investment fees	<u>(57,274)</u>
Net investment gain	351,400

Total additions	<u>1,460,946</u>
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Deductions

Benefit payments	<u>623,543</u>
Total deductions	<u>623,543</u>

Change in net position	837,403
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Total net position - beginning	<u>10,644,235</u>
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Total net position - ending	<u><u>\$ 11,481,638</u></u>
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City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies

The City of Gallatin's financial statements are prepared in accordance with generally accepted accounting principles (GAAP). The Governmental Accounting Standards Board (GASB) is responsible for establishing GAAP for state and local governments through its pronouncements (Statements and Interpretations). The more significant accounting policies established in GAAP and used by the City of Gallatin are discussed below.

A. Reporting Entity

The City of Gallatin, Tennessee (the City) operates under a Mayor-Alderman form of government and provides the following services as authorized by its charter: public safety (police and fire), street maintenance, sanitation collection and disposal, recreation, water and sewer, electricity, gas, and general administrative services. As required by generally accepted accounting principles, these financial statements present the government and its component units, entities for which the City is considered to be financially accountable. Blended component units, although legally separate entities, are, in substance, part of the City's operations.

Related Organizations

The City's officials are also responsible for appointing the members of the Board of Gallatin Housing Authority (Housing Authority), but the City's accountability for this organization does not extend beyond making the appointments. The Board of the Housing Authority is appointed by the Mayor, but the City does not provide funding, has no obligation for the debt issued by the Housing Authority, and cannot impose its will upon the operations of the Housing Authority. Accordingly, the Housing Authority has not been included in the reporting entity.

Joint Venture

The City is a participant in the Sumner County Resource Authority (Resource Authority), a joint venture, in which it retains an ongoing financial interest. The Resource Authority is a joint venture of Sumner County and the Cities of Gallatin and Hendersonville and operated a solid waste energy recovery plant. The City has no equity interest in the Resource Authority. Complete financial statements of the Resource Authority are available from the City Finance Director.

B. Government-Wide and Fund Financial Statements

Government-Wide Financial Statements

The government-wide financial statements (the Statement of Net Position and the Statement of Activities) report information on all of the activities of the City. As a rule, the effect of interfund activity has been eliminated from the government-wide financial statements. Exceptions to this general rule are payments-in-lieu of taxes and other charges between the government's utilities and various other functions of the government. Elimination of these charges would distort the direct costs and program revenues reported for the various functions concerned. Governmental activities, which normally are supported by taxes and intergovernmental revenues, are reported separately from business-type activities, which rely to a significant extent on fees and charges for support.

The statement of activities demonstrates the degree to which the direct expenses of a given program are offset by program revenues. Direct expenses are those that are clearly identifiable with a specific program. Program revenues include 1) charges to customers or applicants who purchase, use, or directly benefit from goods, services, or privileges provided by a given program and 2) operating or capital grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Taxes and other items not included among program revenues are reported instead as general revenues.

Separate financial statements are provided for governmental funds and proprietary funds. Major individual governmental funds and major individual enterprise funds are reported as separate columns in the fund financial statements.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

Fund Financial Statements

The government uses funds to report on its financial position and the results of its operations. Fund accounting is designed to demonstrate legal compliance and to aid financial management by segregating transactions related to certain government functions or activities. A fund is a separate accounting entity with a self-balancing set of accounts.

The City has its funds classified into two categories: governmental and proprietary. Each category, in turn, is divided into separate “fund types.”

Governmental funds are used to account for all or most of a government’s general activities including the collection and disbursement of earmarked monies (special revenue funds) and the acquisition or construction of general fixed assets (capital projects funds). The General Fund is used to account for all activities of the general government not accounted for in some other fund.

Proprietary funds are used to account for activities similar to those found in the private sector, where the determination of net income is necessary or useful to sound financial administration. Goods or services from such activities can be provided either to outside parties (enterprise funds) or to other departments or agencies primarily within the government (internal service funds).

The City reports the following major governmental funds:

The General Fund is the government’s primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund. The General Fund also includes the accounting for all solid waste revenues and expenditures.

The Capital Projects Fund focuses on project-to-date costs for many projects within the City. It accounts for and reports financial resources that are restricted, committed, or assigned to expenditure for capital outlays of governmental fund types including the acquisition and construction of capital facilities and other capital assets.

The City reports the following major proprietary funds:

The Electric Fund accounts for the activities of the government’s electric distribution operations.

The Water and Sewer Fund accounts for the activities associated with the water distribution system, the sewage treatment plant, sewage pumping stations, and sewage collection system.

The Gas Fund accounts for the activities of the government’s gas distribution operations.

Additionally, the City reports the following fiduciary fund:

The Electric Department’s pension trust fund is used to account for assets held for benefits related to the Gallatin Department of Electricity’s pension plan.

C. Measurement Focus and Basis of Accounting

The government-wide financial statements are reported using the economic resources measurement focus and the accrual basis of accounting, as are the proprietary fund financial statements. Revenues are recorded when earned and expenses are recorded when a liability is incurred, regardless of the timing of related cash flows. Property taxes are recognized as revenues in the year for which they are assessed. Grants and similar items are recognized as revenue as soon as all eligibility requirements imposed by the provider have been met.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

C. Measurement Focus and Basis of Accounting - continued

Governmental fund financial statements are reported using the current financial resources measurement focus and the modified accrual basis of accounting. Revenues are recognized as soon as they are both measurable and available. Revenues are considered to be available when they are collectible within the current period or soon enough thereafter to pay liabilities of the current period. For this purpose, the City considers all revenues to be available in the period for which levied if they are collected within 60 days of the end of the current fiscal period. Those revenues susceptible to accrual are property taxes, franchise taxes, special assessments, licenses, interest revenue, and charges for services. Fines, permits, and parking meter revenues are not susceptible to accrual because generally they are not measurable until received in cash. Expenditures are recorded when the related fund liability is incurred. Principal and interest on long-term debt are recorded as fund liabilities when due or when amounts have been accumulated in the debt service fund for payments to be made early in the following year. Operating statements of these funds present increases (i.e., revenues and other financing sources) and decreases (i.e., expenditures and other financing uses) in net current assets.

Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with a proprietary fund's principal ongoing operations. Operating expenses for the proprietary funds include the necessary costs to provide the services including the cost of personal and contractual services, supplies, and depreciation on capital assets. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

When both restricted and unrestricted resources are available for use, it is the City's policy to use restricted resources first, then unrestricted resources as they are needed.

D. Cash and Cash Equivalents

The City's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with maturities of three months or less from the date of acquisition. State statutes authorize the City to invest in certificates of deposit, obligations of the U.S. Treasury agencies and instrumentalities, obligations guaranteed by the U.S. government or its agencies, repurchase agreements, and the state's investment pool.

Investments for the City are reported at fair value. The State Local Government Investment Pool is operated in accordance with appropriate state laws and regulations. The reported value of the pool is the same as the fair value of the pool of shares.

E. Receivables and Payables

During the course of operations, numerous transactions occur between individual funds for goods provided or services rendered. These receivables and payables are classified as "due from other funds" or "due to other funds" on the balance sheet.

Property tax receivables are shown net of an allowance for uncollectibles. The allowance is recorded based on the past history of collections. Court fines receivable are also shown net of an allowance for uncollectibles. The allowance is recorded based on management's estimate of what portion of the outstanding receivable will be collected in the future.

The allowances for uncollectible customer accounts recorded in the proprietary funds are based on past history of uncollectible accounts and management's analysis of current accounts.

Property taxes are levied annually and mailed on October 1. The taxes are due and payable from October through February of the next year. An unperfected lien attaches by statute to property on January 1 for unpaid taxes from the prior year's levy. Taxes uncollected by March 1 the year after due may be submitted to the Chancery Court for collection. Tax liens become perfected at the time the court enters judgement.

F. Inventories and Prepaid Items

Inventories of the Water and Sewer, and Gas Funds are valued at the lower cost or market using a weighted-average flow assumption. Inventory of the Electric system is stated at average cost as determined by the moving average inventory method. Inventory of the General Fund consists of expendable supplies held for consumption. Governmental fund inventories are recorded at cost under the consumption method.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

G. Restricted Assets

The City elects to use restricted assets before unrestricted assets when the situation arises where either can be used.

Amounts accumulated for pension benefits consist of amounts held in a pension stabilization trust by the Tennessee Consolidated Retirement System (TCRS) for the benefit of the City's TCRS Hybrid Plan. The purpose of this trust is to accumulate funds to provide stabilization (smoothing) of retirement costs to the school system in times of fluctuating investment returns and market downturns. These funds are held and invested by TCRS pursuant to an irrevocable agreement and may only be used for the benefit of the City to fund retirement benefits upon approval of the TCRS Board of Directors. To date, the City has not withdrawn any funds from the trust to pay pension cost. Trust documents provide that the funds are not subject to the claims of general creditors of the City.

H. Capital Assets

Capital assets, including property, plant, and equipment, and infrastructure assets (e.g., roads, bridges, sidewalks, and similar items) are reported in the applicable governmental or business-type activities columns in the government-wide financial statements. Capital assets are defined by the government as assets with an initial, individual cost of more than \$2,500 and an estimated useful life in excess of two years. All land, construction in progress, and works of art will be included. The electric fund uses a capitalization threshold of \$2,000; water and sewer, and gas funds use a threshold of \$500; and all three funds use an estimated useful life in excess of five years. Such assets are recorded at historical cost or estimated historical cost if purchased or constructed. Donated capital assets are recorded at estimated fair market value at the date of donation.

The costs of normal maintenance and repairs that do not add to the value of the asset or materially extend assets' lives are not capitalized. Major outlays for capital assets and improvements are capitalized as projects are constructed. Interest incurred during the construction phase of capital assets of business-type activities is included as part of the capitalized value of the assets constructed.

Capital assets of the City are depreciated using the straight-line method using the following useful lives:

	Estimated Useful Life (Years)
Buildings and improvements	25-50
Transmission and distribution systems	10-50
General plant	10-50
Machinery, equipment, and rolling stock	3-10
Office furniture and equipment	3-10
Improvements other than buildings	50

I. Compensated Absences

Vacation pay is accumulated by classified full-time employees according to the following schedule:

Years Service	Annual Vacation Leave
0-1 years	5 days
2-5 years	10 days
6-10 years	12 days
11-15 years	15 days
16-18 years	18 days
19 or more years	21 days

Sick leave is accumulated at the rate of one day per month (same for the Electric fund). At retirement, an employee will be paid accumulated sick leave ranging from 20-50% based on either their age or years of service on effective date of retirement.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

J. Long-Term Obligations

In the government-wide financial statements and proprietary fund types in the fund financial statements, long-term debt and other long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund type statement of net position. Bond premiums and discounts are deferred and amortized over the life of the bonds using the effective interest method. Bonds payable are reported net of the applicable bond premium or discount. Bond issuance costs are expensed as incurred.

In the fund financial statements, governmental fund types recognize bond premiums and discounts, as well as bond issuance costs, during the current period. The face amount of debt issued is reported as other financial sources while discounts on debt issuances are reported as other financing uses. Issuance costs, whether or not withheld from the actual debt proceeds received, are reported as debt service expenditures.

K. Deferred Outflows/Inflows of Resources

In addition to assets, the statement of net position will sometimes report a separate section for deferred outflows of resources. The separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period and so will not be recognized as an outflow of resources (expense/expenditure) until then.

In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element for deferred inflows of resources represents acquisition of net position that applies to a future period and so will not be recognized as an inflow of resources (revenue) until that time.

The City reports unavailable property taxes, unavailable court fines revenue, and public safety revenues as deferred inflows of resources in the governmental fund balance sheet. In the statement of net position, unavailable property taxes related to the subsequent tax year and held evidence funds are reported. The City reports loss on bond refunding as a deferred inflow of resources in the statement of net position as well.

L. Net Position Flow Assumption

Sometimes the City will fund outlays for a particular purpose from both restricted (e.g., restricted bond or grant proceeds) and unrestricted resources. In order to calculate the amounts to report as restricted – net position and unrestricted – net position in the financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the City's policy to consider restricted – net position to have been depleted before unrestricted – net position is applied.

M. Fund Balance

As prescribed by GASB Statement No. 54, governmental funds report fund balance in classifications based primarily on the extent to which the City is bound to honor constraints on the specific purposes for which amounts in the funds can be spent. Fund balance for governmental funds can consist of the following:

Nonspendable Fund Balance

This classification includes amounts that are restricted for specific purposes stipulated by external resource providers, constitutionally or through enabling legislation. Restrictions may effectively be changed or lifted with the consent of resource providers.

Restricted Fund Balance

This classification includes amounts that are (a) not in spendable form or (b) legally or contractually required to be maintained intact. The "not in spendable form" criterion includes terms that are not expected to be converted to cash, for example: inventories, prepaid amounts, and long-term notes receivable.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

M. Fund Balance – Continued

Committed Fund Balance

This classification includes amounts that can only be used for the specific purposes determined by the City's highest level of decision-making authority (the City Council) and the highest form of authority (ordinances). Commitments may be changed or lifted only by the City taking the same formal action that imposed the constraint originally (for example: ordinance). The ordinance must be either approved or rescinded, as applicable, prior to the last day of the fiscal year for which the commitment is made. If the actual amount of the commitment is not available by June 30th, the ordinance must state the process of formula necessary to calculate the actual amount as soon as information is available.

Assigned Fund Balance

This classification includes amounts intended to be used by the City for specific purposes that are neither restricted nor committed. The City Council and its designee, the Finance Director, have the authority to assign amounts to be used for specific purposes. Assigned amounts also include all residual amounts in governmental funds (except for the General Fund and also negative amounts) that are not classified as nonspendable, restricted, or committed. Any funds assigned must be reported to the Council at the next regular meeting and recorded in the minutes. The Council has the authority to assign funds or to remove or change the assignments of the Finance Director with a simple majority vote. Upon passage of a budget ordinance where fund balance is used to source to balance the budget, the Finance Director shall record the amount as assigned fund balance.

Unassigned Fund Balance

This fund balance is the residual classification for the General Fund. It is also used to report negative fund balances in other governmental funds.

The City will maintain a minimum unassigned fund balance in the General Fund equivalent to 20% of that fiscal year's operating expenses, excluding any capital purchases. The minimum unassigned fund balance is established to protect against cash flow shortfalls related to timing of project revenue receipts and to maintain a budget stabilization commitment. In any fiscal year, it shall take the affirmative action of five or more City Council members to approve an appropriation of funds that result in the minimum unassigned general fund balance to drop below 20%. In the event the balance drops below the minimum level, the City Council will develop a plan to replenish the fund balance to the minimum level within two years. The deficiency will be funded by reducing recurring expenditures, increasing revenues or pursuing other fund sources, or a combination of the two.

N. Fund Balance Flow Assumptions

Sometimes the government will fund outlays for a particular purpose from both restricted and unrestricted resources (the total of committed, assigned, and unassigned fund balance). In order to calculate the amounts to report as restricted, committed, assigned, and unassigned fund balance in the governmental fund financial statements, a flow assumption must be made about the order in which the resources are considered to be applied. It is the government's policy to consider restricted fund balance to have been depleted before using any of the components of unrestricted fund balance. Further, when the components of unrestricted fund balance can be used for the same purpose, committed fund balance is depleted first, followed by assigned fund balance. Unassigned fund balance is applied last.

O. Net Position

Restricted net position is net position less related liabilities reported in the government-wide statement of net position that have limitations imposed on their use through constitutional provisions, enabling legislation or external restrictions imposed by creditors, grantors, contributors, legislation, or the other governments.

When both restricted and unrestricted funds are available for expenditure, restricted funds should be spent first unless legal requirements disallow it.

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and reduced by outstanding balances of debt issued to finance the acquisition, improvement, or construction of those assets.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 1. Significant Accounting Policies - continued

P. Estimates

The preparation of the financial statements in conformity with generally accepted accounting principles requires management to make estimates and assumptions that effect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Q. Pensions

City Funds

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the City's participation in the Public Employee Retirement Plan of the Tennessee Consolidated Retirement System (TCRS), and additions to/deductions from the City's fiduciary net position have been determined on the same basis as they are reported by the TCRS for the Public Employee Retirement Plan. For this purpose, benefits (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms of the Public Employee Retirement Plan of the TCRS. Investments are reported at fair value.

Gallatin Department of Electricity

The net pension liability for the department was measured as of June 30, 2018 pursuant to GASB 68, effective for years beginning after June 15, 2014, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The department chose to use this date due to the information GASB 68 now requires. The new requirement establishes standards for calculating and reporting the net pension liability and pension expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net pension liability and pension expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net pension liability reported at June 30, 2020 is the net pension liability determined at June 30, 2019 and the pension expense reflects the activity for FY 2019. This approach is made possible with the accounts deferred outflows of resources and deferred inflows of resources. This same approach will be applied consistently going forward.

R. Other Post-Employment Benefit (OPEB) Plan

Gallatin Department of Electricity

The net OPEB (Other Post-Employment Benefit) liability for the department was measured as of June 30, 2019 pursuant to GASB 75, effective for years beginning after June 15, 2017, which allows for a measurement date no earlier than the end of the employer's prior fiscal year, consistently applied from period to period. The department chose to use this date due to the information GASB 75 now requires. The new requirement establishes standards for calculating and reporting the net OPEB liability and OPEB expense in the financial statements of the employer. The data necessary to comply with the new standards presents challenges to reporting the net OPEB liability and OPEB expense on a current basis while still adhering to the deadlines for financial reporting to different agencies. Accordingly, with this implementation, the net OPEB liability reported at June 30, 2020 is the net OPEB liability determined at June 30, 2019 and the OPEB expense reflects the activity for FY 2019. This approach is made possible with the accounts deferred outflows of resources and deferred inflows of resources. This same approach will be applied consistently going forward.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 2. Reconciliation of Government-Wide and Fund Financial Statements

A. Explanation of Certain Differences Between the Balance Sheet of Governmental Funds and the Government-Wide Statement of Net Position

The governmental fund balance sheet includes a reconciliation between fund balance – total governmental funds and net position – governmental activities as reported in the government-wide statement of net position. One element of the reconciliation explains that “receivables are not available to pay for current expenditures and, therefore, are deferred in the funds.” The details of the difference are as follows:

Unavailable Property taxes	\$ 584,380
Unavailable Court Fines	<u>29,902</u>
Net adjustments to reduce fund balances - total government funds to arrive at net position - governmental activities	<u>\$ 614,282</u>

B. Explanation of Certain Differences Between the Governmental Fund Statement of Revenues, Expenditures, and Changes in Fund Balances and the Government-Wide Statement of Activities

The reconciliation of the statement of revenues, expenditures, and changes in fund balances of governmental funds to the statement of activities includes reconciliation between net changes in fund balances – total government funds and changes in net position of governmental activities as reported in the government-wide statement of activities. One element of that reconciliation explains that “governmental funds report capital outlays as expenditures; however, in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense in the current period.” The details of the difference are as follows:

Capital Outlay	\$ 17,324,244
Depreciation Expense	(4,645,964)
Loss on sale of capital assets	<u>(94,154)</u>
Net adjustments to reduce net changes in fund balance - total funds to arrive at net position - governmental activities	<u>\$ 12,584,126</u>

Note 3. Stewardship, Compliance, and Accountability

A. Budgetary Information

Annual budgets are adopted on a basis consistent with generally accepted accounting principles for the General Fund and special revenue funds excluding the capital projects funds. The City follows these procedures in establishing the budgetary data reflected in the financial statements:

1. Prior to year-end, the Director of Finance and Mayor submit to the City Council a proposed operating budget for the fiscal year commencing the following July 1st. The operating budget includes proposed expenditures and the means of financing them.
2. Public hearings are conducted to obtain taxpayer comments on the budget.
3. Prior to June 30, the budget is legally enacted through passage of an ordinance.
4. The Department Heads are authorized to transfer budgeted amounts within their departments; however, any revisions that alter the total expenditures of any department function or fund must be approved by the City Council.
5. Formal budgetary integration is employed as a management control device during the year for all funds excluding the electric fund.
6. Budgeted amounts are as originally adopted, or as amended by the City Council. Budget appropriations lapse at year end.

As an extension of the formal budgetary process, the City Council may transfer or appropriate additional funds for expenditures not anticipated at the time of budget adoption. The City’s policy is to not allow expenditures to exceed budgetary amounts at the total fund expenditure level without obtaining additional appropriation approval from the Council.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 4. Pension Plan – City Funds

A. General Information About the Pension Plan

Plan Description

Employees of the City are provided a defined benefit pension plan through the Public Employee Retirement Plan, an agent multiple-employer pension plan administered by the TCRS. The TCRS was created by state statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the TCRS. The Tennessee Treasury Department, an agency in the legislative branch of state government, administers the plans of the TCRS. The TCRS issues a publically available financial report that can be obtained at <https://treasury.tn.gov/Retirement/Boards-and-Governance/Reporting-and-Investment-Policies>.

Benefits Provided

Tennessee Code Annotated, Title 8, Chapters 34-37, establishes the benefit terms and can be amended only by the Tennessee General Assembly. The chief legislative body may adopt the benefit terms permitted by statute. Members are eligible to retire with an unreduced benefit at age 60 with 5 years of service credit or after 30 years of service credit regardless of age. Benefits are determined by a formula using the member's highest five consecutive year average compensation and the member's years of service credit. Reduced benefits for early retirement are available at age 55 and vested. Members vest with five years of service credit. Service related disability benefits are provided regardless of length of service. Five years of service is required for non-service related disability eligibility. The service related and non-service related disability benefits are determined in the same manner as a service retirement benefit but are reduced 10 percent and include projected service credits. A variety of death benefits are available under various eligibility criteria.

Member and beneficiary annuitants are entitled to automatic cost of living adjustments (COLAs) after retirement. A COLA is granted each July for annuitants retired prior to the 2nd of July of the previous year. The COLA is based on the change in the consumer price index (CPI) during the prior calendar year, capped at 3 percent, and applied to the current benefit. No COLA is granted if the change in the CPI is less than one-half percent. A one percent COLA is granted if the CPI change is between one-half percent and one percent. A member who leaves employment may withdraw their employee contributions, plus any accumulated interest.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2019, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	0
Inactive employees entitled to but not yet receiving benefits	12
Active employees	<u>201</u>
	<u><u>213</u></u>

Contributions

Contributions for employees are established in the statutes governing the TCRS and may only be changed by the Tennessee General Assembly. Employees contribute 5 percent of salary. The City makes employer contributions at the rate set by the Board of Trustees as determined by an actuarial valuation. Per the statutory provisions governing the TCRS, the employer contribution rate cannot be less than 4 percent, except in years when the maximum funded level, as established by the TCRS Board of Trustees, is reached. By law, employer contributions are required to be paid. The TCRS may intercept the City's state shared taxes if required employer contributions are not remitted. For the year ended June 30, 2020, employer contributions for the City were \$107,409 based on a rate of 1.66 percent of covered payroll. By law, employer contributions are required to be paid. The employer's actuarially determined contribution (ADC) and member contributions are expected to finance the costs of benefits earned by members during the year, the cost of administration, as well as an amortized portion of any unfunded liability.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 4. Pension Plan – City Funds - continued

B. Net Pension Liability (Asset)

The City's net pension liability (asset) was measured as of June 30, 2019, and the total pension liability (asset) used to calculate net pension liability (asset) was determined by an actuarial valuation as of that date.

Actuarial Assumptions

The total pension liability as of June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Inflation	2.5 percent
Salary Increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment Rate of Return	7.25 percent, net of investment expense, including inflation
Cost of Living Adjustments	2.25 percent, if provided

Mortality rates were based on actual experience including an adjustment for some anticipated improvement.

Actuarially determined contribution rates for the year ended June 30, 2020 are based on the results of the June 30, 2018 actuarial valuation.

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees in conjunction with the June 30, 2016 actuarial experience study. A blend of future capital market projections and historical market returns was used in a building-block method in which a best estimate of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) is developed for each major asset class. These best-estimates are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation of 2.5 percent. The best estimates of geometric real rates of return and the TCRS investment policy target asset allocation for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Long-Term Expected</u>	
	<u>Real Rate of Return</u>	<u>Target Allocation</u>
U.S. equity	5.69%	31%
Developed market international equity	5.29%	14%
Emerging market international equity	6.36%	4%
Private equity and strategic lending	5.79%	20%
U.S. fixed income	2.01%	20%
Real estate	4.32%	10%
Short-term securities	0.00%	1%
		<u>100%</u>

The long-term expected rate of return on pension plan investments was established by the TCRS Board of Trustees as 7.25 percent based on a blending of the three factors described above.

Discount Rate

The discount rate used to measure the total pension liability was 7.25 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current rate and that contributions from the City will be made at the actuarially determined contribution rate pursuant to an actuarial valuation in accordance with the funding policy of the TCRS Board of Trustees and as required to be paid by state statute. Based on those assumptions, the pension plan's fiduciary net position was projected to be available to make projected future benefit payments of current active and inactive members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 4. Pension Plan – City Funds - continued
C. Changes in Net Pension Liability (Asset)

	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (Asset) (a) - (b)
Balance at June 30, 2018	\$ -	\$ -	\$ -
Changes for the Year:			
Service Cost	-	-	-
Interest	-	-	-
Changes of Benefit Terms	426,349	-	426,349
Differences Between Expected and Actual Experience	-	-	-
Changes in Assumptions	-	-	-
Contributions - Employer	-	107,409	(107,409)
Contributions - Employee	-	323,520	(323,520)
Net Investment Income	-	15,540	(15,540)
Benefit Payments, Including Refunds of Employee Contributions	(536)	(536)	-
Administrative Expense	-	(13,018)	13,018
Other Changes	-	-	-
Net Changes	<u>425,813</u>	<u>432,915</u>	<u>(7,102)</u>
Balance at June 30, 2019	<u>\$ 425,813</u>	<u>\$ 432,915</u>	<u>\$ (7,102)</u>

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability (asset) of the City calculated using the discount rate of 7.25 percent, as well as what the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (6.25 percent) or 1-percentage-point higher (8.25 percent) than the current rate:

	1% Decrease (6.25%)	Current Discount Rate	1% Increase (8.25%)
Net Pension Liability (Asset)	\$ 109,482	\$ (7,102)	\$ (95,090)

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 4. Pension Plan – City Funds - continued

D. Pension Expense (Income) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense

For the year ended June 30, 2020, the City recognized pension expense of \$100,635.

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2020, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Differences Between Expected and Actual Experience	\$ -	\$ -
Changes in Assumptions	-	-
Net Difference Between Projected and Actual Earnings on Pension Plan Investments	-	328
Total	<u>\$ -</u>	<u>\$ 328</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Amount</u>
2021	\$ (82)
2022	(82)
2023	(82)
2024	(82)
2025	-
Thereafter	-

Note 5. Pension Plan – Gallatin Department of Electricity

A. General Information About the Pension Plan

Plan Description

The Gallatin Department of Electricity Employee's Pension Plan is a single-employer defined benefit pension plan administered by the Gallatin Electric Power Board. The Electric Plan provides retirement, disability, and death benefits to the Electric Plan members and their beneficiaries. While the Electric Plan covers substantially all Department employees, it was closed to new entrants effective March 1, 2016. The authority to establish and amend benefit provisions of the Electric Plan is assigned to the Gallatin Electric Power Board. The Electric Plan issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 615-452-5152.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2019, the following employees were covered by the benefit terms:

Inactive employees or beneficiaries currently receiving benefits	19
Inactive employees entitled to but not yet receiving benefits	2
Active employees	24
	<u>45</u>

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 5. Pension Plan – Gallatin Department of Electricity - continued

Funding Policy

The contribution requirements of the Electric Plan members and the department are established and may be amended by the Gallatin Electric Power Board. Electric Plan members are required to contribute 3% of their annual covered salary. The Department is required to contribute at an actuarially determined rate. The current rate is 16.42% of annual covered payroll. The Department contributed \$1,050,000 for the year ended June 30, 2020.

B. Net Pension Liability

The Electric Department's net pension liability was measured as of June 30, 2019, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2018.

Actuarial Assumptions

The total pension liability as of the June 30, 2019 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Salary Increases	4.00 percent per year
Investment Rate of Return	7.00 percent, compounded annually
Cost of Living Adjustments	1.50 percent per year of original benefit amount

Mortality rates were based on the SOA RP-2014 Total Data Set with projection MP-2018.

The long-term expected rate of return on pension plan investment was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

<u>Asset Class</u>	<u>Long-Term Expected Real Rate of Return</u>	<u>Target Allocation</u>
U.S. Equity	6.90%	54%
International Equity	8.40%	5%
U.S. Fixed Income	4.90%	40%
Cash	2.70%	1%
		<u>100%</u>

Discount Rate

The discount rate used to measure the total pension liability was 7.00 percent. The projection of cash flows used to determine the discount rate assumed that employee contributions will be made at the current contribution rate and that the Department contributions will be made at rates equal to the difference between actuarially determined contribution rates and the employee rate. Based on these assumptions, the pension plan's fiduciary net position was projected to be available to make all projected future benefit payments of current active and inactive employees. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 5. Pension Plan – Gallatin Department of Electricity - continued

C. Changes in Net Pension Liability

	Total Pension Liability (TPL) (a)	Plan Fiduciary Net Position (b)	Net Pension Liability (NPL) (a) - (b)
Balance at June 30, 2018	\$ 10,431,569	\$ 9,311,549	\$ 1,120,020
Changes for the Year:			
Service Cost	183,037	-	183,037
Interest	723,598	-	723,598
Difference Between Expected and Actual Experience	324,343	-	324,343
Changes in Assumptions	(28,647)	-	(28,647)
Contributions - Employer	-	1,200,000	(1,200,000)
Contributions - Employee	-	61,115	(61,115)
Net Investment Income	-	685,759	(685,759)
Benefit Payments, Including Refunds of Employee Contributions	(564,525)	(564,525)	-
Administrative Expense	-	(49,663)	49,663
Net Changes	<u>637,806</u>	<u>1,332,686</u>	<u>(694,880)</u>
Balance at June 30, 2019	<u>\$ 11,069,375</u>	<u>\$ 10,644,235</u>	<u>\$ 425,140</u>

Sensitivity of the Net Pension Liability to Changes in the Discount Rate

The following presents the net pension liability of the Department, calculated using the discount rate of 7.00 percent, as well as what the Department's net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.0 percent) of 1-percentage-point higher (8.0 percent) than the current rate:

	1% Decrease	Current Rate	1% Increase
Interest Rate	6.00%	7.00%	8.00%
Total Pension Liability	\$ 12,437,650	\$ 11,069,375	\$ 9,917,442
Plan Fiduciary Net Position	10,644,235	10,644,235	10,644,235
Net Pension Liability	1,793,415	425,140	(726,793)

D. Pension Expense (Income) and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

Pension Expense

For the year ended June 30, 2020, the Department recognized pension expense as follows:

Components of Pension Expense

Service Cost	\$ 183,037
Interest on TPL	723,598
Difference Between Expected and Actual Experience	25,819
Change of Assumptions	13,969
Employee Contributions	(61,115)
Projected Earnings on Assets	(674,068)
Difference Between Expected and Actual Earnings	92,569
Pension Plan Administrative Expense	49,663
Total Expense	<u>\$ 353,472</u>

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 5. Pension Plan – Gallatin Department of Electricity - continued

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2020, the Department reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference Between Expected and Actual Experience	\$ 366,707	\$ 169,485
Changes in Assumptions	486,248	230,483
Difference Between Projected and Actual Earnings on Pension Plan Investments	<u>-</u>	<u>16,867</u>
Total to be Amortized	852,955	416,835
Contributions Made Subsequent to the Measurement Date	<u>1,050,000</u>	<u>-</u>
Total	<u><u>\$ 1,902,955</u></u>	<u><u>\$ 416,835</u></u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

<u>Year Ended June 30,</u>	<u>Amount</u>
2021	\$ 64,170
2022	5,917
2023	34,749
2024	93,891
2025	135,533
Thereafter	101,860

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 6. Other Post-Employment Benefits – Gallatin Department of Electricity

A. General Information About the OPEB Plan

Plan Description

The Electric Department Post Retirement Medical Plan (PRMP) is a single employer defined benefit plan administered by the Department. The Plan provides supplemental health insurance premium reimbursements to eligible retirees. The criteria to determine eligibility includes years of services and employee age at date of retirement. Eligible retirees may receive up to \$150 per month for reimbursement of their supplemental health insurance premiums. The plan was closed to new entrants effective March 1, 2016. Authority to establish and amend this benefit provision is assigned to the Gallatin Electric Power Board. The PRMP issues a separate financial report that includes financial statements and required supplementary information. That report may be obtained by writing to Gallatin Department of Electricity, P.O. Box 1555, Gallatin, TN 37066 or by calling 1-615-452-5152.

Employees Covered by Benefit Terms

At the measurement date of June 30, 2019, the following employees were covered by the benefit terms:

Inactive employees currently receiving benefits	13
Active employees	<u>24</u>
	<u>37</u>

B. Total OPEB Liability

The Electric Department's total OPEB liability of \$503,327 was measured as of June 30, 2019.

Actuarial Assumptions

The total OPEB liability in the July 1, 2019 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.00 percent per year
Salary Increases	2.50 percent per year
Discount Rate	3.50 percent as of June 30, 2019
Healthcare Cost Trend Rate	None
Participation Rate	100 percent

The discount rate was based on the Bond Buyer's 20-year Bond Index.

Mortality rates were based on the RP-2014 fully generational mortality table for males and females, with improvement scale MP-2016.

C. Changes in Total OPEB Liability

	<u>Total OPEB Liability</u>
Balance at June 30, 2018	<u>\$ 472,427</u>
Changes for the Year:	
Service Cost	6,485
Interest	18,085
Changes in Assumptions	22,113
Benefit Payments	<u>(15,783)</u>
Net Changes	<u>30,900</u>
Balance at June 30, 2019	<u><u>\$ 503,327</u></u>

Changes of assumptions and other inputs reflect a change in the discount rate from 3.87% as of June 30, 2018 to 3.50% as of June 30, 2019.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 6. Other Post-Employment Benefits – Gallatin Department of Electricity - continued

C. Changes in Total OPEB Liability - continued

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following presents the total OPEB liability of the Department, as well as what the Department's total OPEB liability would be if it were calculated using a discount rate that is one percentage point lower (2.50 percent) or one percentage point higher (4.50 percent) than the current discount rate:

	<u>1% Decrease</u>	<u>Current Rate</u>	<u>1% Increase</u>
Interest Rate	2.50%	3.50%	4.50%
Total OPEB Liability	\$ 571,655	\$ 503,327	\$ 446,930

D. OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources

OPEB Expense

For the year ended June 30, 2020, the Department recognized OPEB expense of \$21,178.

Deferred Outflows of Resources and Deferred Inflows of Resources

For the year ended June 30, 2020, the Department reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference Between Expected and Actual Experience	\$ 8,155	\$ -
Changes in Assumptions	<u>19,100</u>	<u>41,970</u>
Total to be Amortized	27,255	41,970
Contributions Made Subsequent to the Measurement Date	<u>20,354</u>	<u>-</u>
Total	<u>\$ 47,609</u>	<u>\$ 41,970</u>

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in OPEB expense as follows:

<u>Year Ended June 30,</u>	<u>Amount</u>
2021	\$ (3,392)
2022	(3,392)
2023	(3,392)
2024	(3,392)
2025	(3,392)
Thereafter	2,245

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 7. Defined Contribution Plan – Gallatin Department of Electricity

A. General Information About the Defined Contribution Plan

Plan Description

The Electric Department entered into an agreement with the State of Tennessee to participate in the State of Tennessee Deferred Compensation Plan II – 401(k) Defined Contribution Plan with a ROTH option effective March 1, 2016. The Plan will be administered by the Treasurer for the State of Tennessee which has an agreement with Empower Retirement for the enrollment, deferrals, advisory services and many other administrative aspects. The Plan assets are not held by the Department and the Department does not exercise a trustee responsibility over such assets. This will be the only plan offered to employees hired after March 1, 2016 and will also be available to those employees hired before March 1, 2016 on a voluntary basis.

B. Funding Policy

The Plan allows employees to make tax deferred contributions into self-directed investments as much as allowable under the Internal Revenue Code. For employees hired after March 1, 2016, the Department will match 200% of Participant elective deferrals of up to 5% of Compensation. The vested interest of each participant, with respect to matching contributions, will be as follows:

20 Percent After One Year of Service
40 Percent After Two Years of Service
60 Percent After Three Years of Service
80 Percent After Four Years of Service
100 Percent After Five Years of Service

Any forfeitures will be used first to reduce the employer's matching contributions and then to offset plan expenses. As of June 30, 2020, there has been one forfeiture in the amount of \$2,076. For employees hired before March 1, 2016, they can make elective deferrals into the plan with no matching contribution from the Department.

C. Annual Cost

The Department's maximum contribution to the Plan is defined as up to 10% of an eligible employee's annual compensation. The Department contributed \$54,411 on behalf of the eligible employees during the fiscal year ended June 30, 2020. There were no outstanding contributions at June 30, 2020.

Note 8. Deposits and Investments

A. General Information

As of June 30, 2020, the City of Gallatin, Tennessee's Electric Department had \$4,630,578 and the General Fund had \$1,919,574 invested in certificates of deposit with local financial institutions. As of June 30, 2020, the cemetery trust fund had unrated stock investments with no maturity.

Deposits and Investments

In accordance with its formal investment policy, the City manages its exposure to declines in fair values by limiting its investments to certificates of deposit with local financial institutions.

Custodial Credit Risk

The City's policies limit deposits and investments to those instruments allowed by applicable state laws and described in Note 1. State statute required that all deposits with financial institutions must be collateralized by securities whose market value is equal to 105% of the value of uninsured deposits. The deposits must be collateralized by federal depository insurance, by the Tennessee Bank Collateral Pool, by collateral held by the City's agent in the City's name, or by the Federal Reserve Banks acting as third party agents. State statutes also authorize the City to invest in bonds, notes, or treasury bills of the United States or any of its agencies, certificates of deposit at Tennessee state chartered banks and savings and loan associations, repurchase agreements utilizing obligations of the United States or its agencies as the underlying securities and the state pooled investment fund. Statutes also require that securities underlying repurchase agreements must have a market value of at least equal to the amounts of funds invested in the repurchase transaction. As of June 30, 2020, all bank deposits were fully collateralized or insured.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 8. Deposits and Investments - continued

B. TCRS Stabilization Trust – City Funds

Legal Provisions. The City is a member of the Tennessee Consolidated Retirement System (TCRS) Stabilization Reserve Trust. The City has placed funds into the irrevocable trust as authorized by statute under Tennessee Code Annotated (TCA), Title 8, Chapters 34-37. The TCRS Board of Trustees is responsible for the proper operation and administration of the trust. Funds of trust members are held and invested in the name of the trust for the benefit of each member. Each member's funds are restricted for the payment of retirement benefits of that member's employees. Trust funds are not subject to the claims of general creditors of the City.

The trust is authorized to make investments as directed by the TCRS Board of Trustees. The City may not impose any restrictions on investments placed by the trust on their behalf.

Investment Balances. Assets of the TCRS, including the Stabilization Reserve Trust, are invested in the Tennessee Retiree Group Trust (TRGT). The TRGT is not registered with the Securities and Exchange Commission (SEC) as an investment company. The State of Tennessee has not obtained a credit quality rating for the TRGT from a nationally recognized credit ratings agency. The fair value of investment positions in the TRGT is determined daily based on the fair value of the pool's underlying portfolio. Furthermore, TCRS had not obtained or provided any legally binding guarantees to support the value of participant shares during the fiscal year. There are no restrictions on the sale or redemption of shares.

Investments are reported at fair value. Securities traded on a national exchange are valued at the last reported sales price. Investment income consists of realized and unrealized appreciation (depreciation) in the fair value of investments and interest and dividend income. Interest income is recognized when earned. Securities and securities transactions are recorded in the financial statements on a trade-date basis. The fair value of assets of the TRGT held at June 30, 2020 represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants. Assets held are categorized for fair value measurement within the fair value hierarchy established by GAAP. The hierarchy is based on the valuation inputs used to measure the fair value of the asset and give the highest priority to unadjusted quoted prices in active markets for identical assets or liabilities (Level 1 measurements) and the lowest priority to unobservable inputs (Level 3 measurements).

- Level 1 - Unadjusted quoted prices for identical assets or liabilities in active markets that can be accessed at the measurement date.
- Level 2 - Quoted prices for similar assets or liabilities in active markets; quoted prices for identical or similar assets or liabilities in markets that are not active; assets or liabilities that have a bid-ask spread price in an inactive dealer market, brokered market and principal-to-principal market; and Level 1 assets or liabilities that are adjusted.
- Level 3 - Valuations derived from valuation techniques in which significant inputs are unobservable.

Investments where fair value is measured using the Net Asset Value ("NAV") per share have no readily determinable fair value and have been determined to be calculated consistent with FASB principles for investment companies.

Where inputs used in the measurement of fair value fall into different levels of the hierarchy, fair value of the instrument in its entirety is categorized based on the lowest level input that is significant to the valuation. This assessment requires professional judgement and as such management of the TRGT developed a fair value committee that worked in conjunction with the plan's custodian and investment professionals to make these valuations. All assets held were valued individually and aggregated into classes to be represented in the table on page 49.

Short-term securities generally include investments in money market-type securities reported at cost plus accrued interest.

Equity and equity derivative securities classified in Level 1 are valued using the last reported sales prices quoted in active markets that can be accessed at the measurement date. Equity and equity derivative securities classified in Level 2 are securities whose values are derived daily from associated traded securities. Equity securities classified in Level 3 are valued with the last trade data having limited trading volume.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 8. Deposits and Investments - continued

B. TCRS Stabilization Trust – City Funds - continued

U.S. Treasury Bills, Bonds, Notes, and Futures classified in Level 1 are valued using the last reported sales prices quoted in active markets that can be accessed at the measurement date. Debt and debt derivative securities classified in Level 2 are valued using a bid-ask spread price from multiple independent brokers, dealers, or market principals, which are known to be actively involved in the market. Level 3 debt securities are valued using proprietary information, a single pricing source, or other unobservable inputs related to similar assets or liabilities.

Real estate investments classified in Level 3 are valued using the last valuations provided by external investment advisors or independent external appraisers. Generally, all direct real estate investments are appraised by a qualified independent appraiser(s) with the professional designation of Member of the Appraisal Institute (“MAI”), or its equivalent, every three (3) years beginning from the acquisition date of the property. The appraisals are performed using generally accepted valuation approaches applicable to the property type.

Investments in private mutual funds, traditional private equity funds, strategic lending funds and real estate funds that report using GAAP, the fair value, as well as the unfunded commitments, were determined using the prior quarter’s NAV, as reported by the fund managers, plus the current cash flows. These assets were then categorized by investment strategy. In instances where the fund investment reported using non-GAAP standards, the investment was valued using the same method, but was classified in Level 3.

At June 30, 2020, The City had the following investments held by the trust on its behalf:

<u>Investment</u>	<u>Weighted Average Maturity (days)</u>	<u>Maturities</u>	<u>Fair Value</u>
Investments at Fair Value:			
U.S. equity	N/A	N/A	\$ 127,723
Developed market international equity	N/A	N/A	57,682
Emerging market international equity	N/A	N/A	16,480
US. Fixed Income	N/A	N/A	82,400
Real estate	N/A	N/A	41,200
Short-term securities	N/A	N/A	4,119
Investments at Amortized Cost using the NAV:			
Private Equity and Strategic Lending	N/A	N/A	<u>82,400</u>
			<u>\$ 412,004</u>

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 8. Deposits and Investments - continued
B. TCRS Stabilization Trust – City Funds - continued

Investment by Fair Value Level	Fair Value 6/30/2020	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)	NAV
U.S. equity	\$ 127,723	\$ 127,723	\$ -	\$ -	\$ -
Developed market international equity	57,682	57,682	-	-	-
Emerging market international equity	16,480	16,480	-	-	-
US. Fixed Income	82,400	-	82,400	-	-
Real estate	41,200	-	-	41,200	-
Short-term securities	4,119	-	4,119	-	-
Private Equity and Strategic Lending	82,400	-	-	-	82,400
	<u>\$ 412,004</u>	<u>\$ 201,885</u>	<u>\$ 86,519</u>	<u>\$ 41,200</u>	<u>\$ 82,400</u>

Risks and Uncertainties. The trust's investments include various types of investment funds, which in turn invest in any combination of stock, bonds and other investments exposed to various risks, such as interest rate, credit, and market risk. Due to the level of risk associated with certain investment securities, it is at least reasonably possible that changes in the values of investment securities will occur in the near term and that such changes could materially affect the amounts reported for trust investments.

Interest Rate Risk. Interest rate risk is the risk that changes in interest rates will adversely affect the fair value of an investment. The City does not have the ability to limit trust investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Credit Risk. Credit risk is the risk that an issuer or other counterparty to an investment will not fulfill its obligations. The City does not have the ability to limit the credit ratings of individual investments made by the trust.

Concentration of Credit Risk. Concentration of credit risk is the risk of loss attributed to the magnitude of the City's investment in a single issuer. The City places no limit on the amount the City may invest in one issuer.

Custodial Credit Risk. Custodial credit risk for investments is the risk that, in the event of a failure of the counterparty to a transaction, the county will not be able to recover the value of its investments or collateral securities that are in the possession of an outside party. Pursuant to the trust agreement, investments are held in the name of the trust for the benefit of the City to pay retirement benefits of the employees.

For further information concerning the City's investments with the TCRS Stabilization Reserve Trust, audited financial statements of the Tennessee Consolidated Retirement System may be obtained at <https://comptroller.tn.gov/content/dam/cot/sa/advancedsearch/disclaimer/2020/ag19091.pdf>.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 9. Receivables

Receivables as of the year end for the government's individual major funds and nonmajor and fiduciary funds in the aggregate, including the applicable allowances for uncollectible accounts, are as follows:

	General Fund	Capital Projects Fund	Electric Division	Water & Sewer Division	Gas Division	Nonmajor and Other Funds	Total
Receivables:							
Property Taxes	\$ 13,060,510	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 13,060,510
Interest	341,787	-	-	-	-	598	342,385
Accounts	253,348	-	6,007,258	1,323,332	1,285,776	415,302	9,285,016
Fines	2,097,427	-	-	-	-	-	2,097,427
Grants	462,668	2,070,623	-	-	-	-	2,533,291
Intergovernmental	3,095,217	-	-	-	-	-	3,095,217
Gross Receivables	19,310,957	2,070,623	6,007,258	1,323,332	1,285,776	415,900	30,413,846
Less: Allowance for Uncollectibles	(2,390,662)	-	-	(53,152)	(15,324)	(10,342)	(2,469,480)
Net Total Receivables	\$ 16,920,295	\$ 2,070,623	\$ 6,007,258	\$ 1,270,180	\$ 1,270,452	\$ 405,558	\$ 27,944,366

Governmental funds report unavailable revenue in connection with receivables for revenues that are not considered to be available to liquidate liabilities of the current period. Governmental funds also defer revenue recognition in connection with resources that have been received but not yet earned (unearned revenue). At the end of the current fiscal year, various components of unavailable revenue reported in the governmental funds were as follows:

	Unavailable	Unearned
Delinquent property taxes receivable	\$ 292,568	\$ -
Interest and penalty on property taxes receivable	261,243	-
2020 property tax assessment	12,754,671	-
Other revenue collected in advance	-	55,830
Drug Fund Revenue Held	-	68,972
Court Fines	29,902	-
Total unavailable revenue for fund financial statements	\$ 13,338,384	\$ 124,802

Note 10. Capital Assets

Capital asset activity for the year ended June 30, 2020, was as follows:

	Balance June 30, 2019	Additions	Disposals	Transfers	Balance June 30, 2020
Governmental Activities					
Capital Assets Not Being Depreciated					
Land	\$ 14,362,591	\$ 2,219,447	\$ -	\$ -	\$ 16,582,038
Construction in Progress	44,711	-	-	-	44,711
Total Capital Assets Not Being Depreciated	\$ 14,407,302	\$ 2,219,447	\$ -	\$ -	\$ 16,626,749
Capital Assets Being Depreciated					
Buildings	\$ 22,554,536	\$ 819,150	\$ (3,000)	\$ -	\$ 23,370,686
Improvements Other Than Buildings	86,869,339	23,470,354	-	-	110,339,693
Vehicles	15,754,699	1,393,309	(2,103,354)	-	15,044,654
Office Equipment	2,548,772	196,965	(334,199)	-	2,411,538
Equipment	4,969,056	468,157	(1,029,336)	-	4,407,877
Total Capital Assets Being Depreciated	\$ 132,696,402	\$ 26,347,935	\$ (3,469,889)	\$ -	\$ 155,574,448

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 10. Capital Assets - Continued

	Balance June 30, 2019	Additions	Disposals	Transfers	Balance June 30, 2020
Accumulated Depreciation					
Buildings	\$ 7,629,391	\$ 1,124,490	\$ (3,000)	\$ -	\$ 8,750,881
Improvements Other Than Buildings	15,672,478	1,569,501	-	-	17,241,979
Vehicles	11,839,413	1,333,461	(2,078,511)	-	11,094,363
Office Equipment	2,251,211	229,693	(319,245)	-	2,161,659
Equipment	3,245,249	388,819	(974,979)	-	2,659,089
Total Accumulated Depreciation	<u>\$ 40,637,742</u>	<u>\$ 4,645,964</u>	<u>\$ (3,375,735)</u>	<u>\$ -</u>	<u>\$ 41,907,971</u>
Total Capital Assets Being Depreciated, Net	<u>\$ 92,058,660</u>	<u>\$21,701,971</u>	<u>\$ (94,154)</u>	<u>\$ -</u>	<u>\$ 113,666,477</u>
Total Governmental Activities, Net	<u><u>\$ 106,465,962</u></u>	<u><u>\$23,921,418</u></u>	<u><u>\$ (94,154)</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 130,293,226</u></u>
Business-Type Activities					
Capital Assets Not Being Depreciated					
Land	\$ 3,422,387	\$ 621,363	\$ -	\$ -	\$ 4,043,750
Construction in Progress	2,198,586	-	(280,005)	-	1,918,581
Total Capital Assets Not Being Depreciated	<u>\$ 5,620,973</u>	<u>\$ 621,363</u>	<u>\$ (280,005)</u>	<u>\$ -</u>	<u>\$ 5,962,331</u>
Capital Assets Being Depreciated					
Transmission Plant	\$ 780,905	\$ 138,235	\$ -	\$ -	\$ 919,140
Distribution Plant	229,274,388	10,166,857	(254,053)	-	239,187,192
General Plant	4,045,570	721,413	(117,217)	-	4,649,766
Buildings	43,110,257	-	-	-	43,110,257
Operating Equipment	3,242,166	101,293	-	-	3,343,459
Rolling Stock	3,869,393	159,242	-	-	4,028,635
Office Furniture and Equipment	705,930	-	-	-	705,930
Total Capital Assets Being Depreciated	<u>\$ 285,028,609</u>	<u>\$11,287,040</u>	<u>\$ (371,270)</u>	<u>\$ -</u>	<u>\$ 295,944,379</u>
Accumulated Depreciation					
Transmission Plant	\$ 436,042	\$ 24,745	\$ -	\$ -	\$ 460,787
Distribution Plant	88,928,622	5,541,096	(360,467)	-	94,109,251
General Plant	2,633,610	214,390	(94,248)	-	2,753,752
Buildings	15,053,934	1,153,289	-	-	16,207,223
Operating Equipment	2,363,140	154,678	-	-	2,517,818
Rolling Stock	2,897,178	408,215	-	-	3,305,393
Office Furniture and Equipment	644,669	18,178	-	-	662,847
Total Accumulated Depreciation	<u>\$ 112,957,195</u>	<u>\$ 7,514,591</u>	<u>\$ (454,715)</u>	<u>\$ -</u>	<u>\$ 120,017,071</u>
Total Capital Assets Being Depreciated, Net	<u>\$ 172,071,414</u>	<u>\$ 3,772,449</u>	<u>\$ 83,445</u>	<u>\$ -</u>	<u>\$ 175,927,308</u>
Total Business-Type Activities, Net	<u><u>\$ 177,692,387</u></u>	<u><u>\$ 4,393,812</u></u>	<u><u>\$ (196,560)</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 181,889,639</u></u>
Total Capital Assets, Net	<u><u>\$ 284,158,349</u></u>	<u><u>\$28,315,230</u></u>	<u><u>\$ (290,714)</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 312,182,865</u></u>

Included in the additions for the governmental activities are as \$11,243,138 in donated infrastructure from developers.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 10. Capital Assets – Continued

Acquisition adjustments – Acquisition adjustments represent the excess of purchase prices over depreciated cost of additions to the electric plant acquired from others. The acquisition adjustments are being amortized against income on a straight-line basis as determined by the Tennessee Valley Authority (TVA). The total cost was \$2,355,534 with the current year amortization of \$46,397 and total accumulated amortization of \$2,313,294 for an ending balance of \$42,240.

Depreciation expense was charged to functions/programs of the primary government as follows:

Governmental Activities:

General Government	\$ 1,928,524
Public Safety	1,227,264
Environmental Services	179,423
Stormwater	138,315
Highways and Streets	379,154
Parks and Recreation	793,284
Total Depreciation Expense - Governmental Activities	<u>\$ 4,645,964</u>

Business-Type Activities:

Electric	\$ 2,010,883
Water and Sewer	4,327,394
Gas	1,176,314
Total Depreciation Expense - Business-type Activities	<u>\$ 7,514,591</u>

Note 11. Interfund Receivables, Payables, and Transfers

The following is a summary of transfers during the year ended June 30, 2020:

<u>Transfers From</u>	<u>Interfund Receivable</u>	<u>Interfund Payable</u>
Water and Sewer Fund	General Fund	\$ 482,961
Gas Fund	General Fund	390,051
Electric Fund	General Fund	<u>932,412</u>
Total		\$ 1,805,424
Governmental Fund Activities Eliminated		<u>(1,805,424)</u>
Total Government-Wide		<u>\$ -</u>

The transfers between the proprietary funds and the General Fund are for the purpose of transferring in lieu of tax payments.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 12. Long-Term Debt

Governmental activities debt at June 30, 2020 is compromised of the following:

Bonds Payable

General Obligation Improvement Bonds, Series 2014, due in annual installments from 375,000 to \$1,090,000 through January 2034, interest at 2.00% to 5.00%	\$ 10,365,000
General Obligation Bonds, Series 2016, due in annual installments from 430,000 to \$700,000 through January 2036, interest at 2.00% to 5.00%	<u>9,185,000</u>
Total Bonds Payable	<u>19,550,000</u>
Total	<u><u>\$ 19,550,000</u></u>

The aforementioned bonds and notes are secured by the full faith and credit of the City. During 2020, debt service for the aforementioned debt was provided by the City's General Fund.

Business-type activities debt at June 30, 2020 is compromised of the following:

TVA Winterization Contracts

Loans from TVA for home weatherization loans made by the Electric Department to customers, paid annually over a 10-year period, at interest of 6.0% to 8.0%	\$ 41,558
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Bonds Payable

Water and Sewer Revenue Bonds, Series 2015, due in annual installments from \$500,000 to \$1,825,000 through January 2040, interest at 3.00% to 5.00%	20,420,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2014, due in annual installments from \$265,000 to \$570,000 through August 2030, interest at 2.00% to 5.00%	3,235,000
Water and Sewer Revenue Refunding and Improvement Bonds, Series 2011, due in annual installments from \$25,000 to \$635,000 through July 2032, interest at 2.00% to 3.625%	6,795,000
Gas Revenue Bonds, Series 2019, due in annual installments from \$190,000 to \$380,000 through January 2039, interest at 3.00% to 5.00%	<u>5,330,000</u>
Total	<u><u>\$ 35,821,558</u></u>

The aforementioned notes are secured by the full faith and credit of the City. During 2020, debt service for the aforementioned debt was provided solely by the City's Proprietary Funds.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 12. Long-Term Debt - continued

The annual requirements, by type of issue, to amortize all long-term debt outstanding except accrued annual leave, OPEB liability, and Net Pension Liability at June 30, 2020 are as follows:

Year Ended June 30,	Electric Department Notes		Bonds		Total	
	Principal Due	Interest	Principal Due	Interest	Principal Due	Interest
2021	\$ 21,899	\$ 2,432	\$ 3,410,000	\$ 2,094,474	\$ 3,431,899	\$ 2,096,906
2022	9,384	1,272	3,495,000	1,996,648	3,504,384	1,997,920
2023	9,030	516	3,595,000	1,860,499	3,604,030	1,861,015
2024	1,245	189	3,730,000	1,728,798	3,731,245	1,728,987
2025	-	-	3,875,000	1,567,649	3,875,000	1,567,649
2026-2030	-	-	19,325,000	5,594,939	19,325,000	5,594,939
2031-2035	-	-	14,360,000	1,993,669	14,360,000	1,993,669
2036-2040	-	-	3,240,000	301,639	3,240,000	301,639
2041	-	-	300,000	10,875	300,000	10,875
	<u>\$ 41,558</u>	<u>\$ 4,409</u>	<u>\$ 55,330,000</u>	<u>\$ 17,149,190</u>	<u>\$ 55,371,558</u>	<u>\$ 17,153,599</u>

Debt expense associated with the above bond issues was recorded as other assets and is being amortized on a straight-line basis over the life of the issue.

All significant debt covenants and restrictions as set forth in the bond agreements were compiled with. The above bonds and notes payable contain provisions that in the event of default, the lenders can exercise one or more of the following options: 1) make the outstanding bond and/or note payable with accrued interest due and payable, 2) use remedies allowed by state or federal law.

Long-term liability activity for the year ended June 30, 2020 was as follows:

	Beginning Balance	Additions	Retirements	Ending Balance	Due Within 1 Year
Governmental Activities:					
General Obligation Bonds	\$ 20,905,000	\$ -	\$ (1,355,000)	\$ 19,550,000	\$ 1,395,000
Premium on Bond Issue	1,668,132	-	(114,865)	1,553,267	114,865
Compensated Absences	1,524,465	662,475	(486,922)	1,700,018	662,475
	<u>\$ 24,097,597</u>	<u>\$ 662,475</u>	<u>\$ (1,956,787)</u>	<u>\$ 22,803,285</u>	<u>\$ 2,172,340</u>
	Beginning Balance	Additions	Retirements	Ending Balance	Due Within 1 Year
Business-Type Activities:					
TVA Winterization Contracts	\$ 70,235	\$ -	\$ (28,677)	\$ 41,558	\$ 21,899
Revenue and Tax Bonds	37,795,000	-	(2,015,000)	35,780,000	2,015,000
Premium on Bond Issue	3,434,571	-	(194,886)	3,239,685	194,886
Compensated Absences	780,276	371,306	(321,600)	829,982	301,072
	<u>\$ 42,080,082</u>	<u>\$ 371,306</u>	<u>\$ (2,560,163)</u>	<u>\$ 39,891,225</u>	<u>\$ 2,532,857</u>

Within the City's governmental activities, compensated absences are generally liquidated by the General Fund. The City complied with all significant debt covenants and restrictions as set forth in the bond agreements across all systems.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 12. Long-Term Debt - continued

The bonds payable for all systems contain provisions that in the event of default, the lender can exercise one or more of the following options: (1) Make all or any of the outstanding bonds payable balance immediately due and accrued interest at highest post maturity interest rate, (2) Use any remedy allowed by state or federal law.

Industrial Development Bonds

The City, through its Industrial Development Board, has in the past authorized issuance of various Industrial Revenue Bonds to provide financial assistance to private sector entities for the acquisition of industrial and commercial facilities deemed to be in the public interest. The bonds are secured by the property financed and payable solely from payments received on the underlying mortgage loans. Neither the City, State, nor any political subdivision thereof is obligated in any manner for repayment of the bonds. Accordingly, the bonds are not reported as liabilities in the accompanying financial statements.

Advance Refunding of Bonds

In August 2014, the City issued \$5.46 million in Water and Sewer Revenue Refunding and Improvement Bonds with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including a \$44,654 premium and \$12,704 in issuance costs, were used to advance refund \$870 thousand of outstanding Water and Sewer Revenue and Tax bonds Series 2004 with interest rates ranging from 3.375% to 3.50%. Net proceeds of \$874,336 were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds has been removed from the financial statements. This refunding decreases total debt service payments over the next 3 years by an estimated \$33 thousand resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$32 thousand.

In August 2014, the City issued \$14.185 million in General Obligation Refunding and Improvement Bond with interest rates ranging from 2.00% to 5.00%. A portion of the proceeds, including an \$884,045 premium and \$157,253 in issuance costs were used to advance refund \$22.56 million of outstanding Water and Sewer Revenue and Tax bond series 2008 with interest rates ranging from 3.50% to 5.00%. \$22.48 million of the net proceeds plus \$2.68 million of debt service reserve funds were used to purchase state and local government securities. Those securities were deposited in an irrevocable trust with an escrow agent to provide for all future debt service payments on the bonds. As a result, the bonds are considered to be defeased and the liability for those bonds have been removed from the financial statements. This refunding decreases total debt service payments over the next 12 years by an estimated \$2.15 million resulting in an economic gain (difference between the present values of the debt service payments on the old and new debt) of approximately \$1.28 million.

In prior years, the City has defeased certain bonds by placing the proceeds of new bonds in irrevocable trusts to provide for all future debt service requirement on the retired bonds. Accordingly, the trust account assets and the liability for the defeased bonds are not included in the City's financial statements. As of June 30, 2020, outstanding bonds considered as defeased were as follows:

General Obligation Public Improvement Bonds - Series 2007	\$ 5,130,000
Water and Sewer Revenue and Tax Bonds - Series 2008	\$ 20,010,000

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 13. Other Information

A. Risk Management

City of Gallatin

The City is exposed to various risks of losses related to torts, theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. The City decided it was more economically feasible to join a public entity risk pool as opposed to purchasing commercial insurance for certain general liability, auto liability, errors and omissions, workers' compensation, and physical damage coverage. The City joined the Tennessee Municipal League Risk Pool (Pool), which is a public entity risk pool established in 1979 by the Tennessee Municipal League. The City pays annual premiums to the Pool for its general, auto, and errors and omissions policies. The Pool provides the specified coverage and pays all claims from its member premiums charged or through its reinsurance policies. The City's premiums are calculated based on its prior claim history. It is the policy of the City to purchase commercial insurance for the risk of employee dishonesty and law enforcement professional liability. Settled claims have not exceeded the commercial coverage or the coverage provided by the Pool in any of the past three years.

Gallatin Department of Electricity

Gallatin Electric Department is exposed to various risks of loss relate to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees; and natural disasters. During the year ended June 30, 2020, the Utility purchased commercial insurance for all of the above risks. Settled claims have not exceeded this commercial coverage in any of the past three years and there has been no significant reduction in the amount of coverage.

B. Commitments

The City purchases natural gas under various contracts requiring the purchase of minimum quantities of natural gas from suppliers at costs based upon national index prices. Natural gas purchases exceeding the specified minimum quantities are made at the going market value. City management believes any risk associated with the minimum purchase quantities as specified in the aforementioned contracts to be minimal. Further, the City is committed under various natural gas transportation agreements requiring specified minimum transmission capacities.

As of June 30, 2020, the City entered into multiple construction contracts related to the road and sewer construction projects of approximately \$30,300,000 and has spent approximately \$13,800,000 of committed funds, with the remaining balance of approximately \$16,500,000 in outstanding commitments at June 30, 2020.

The City has entered into an agreement with the Sumner County Resource Authority (the Resource Authority), a joint venture between the City, Sumner County, and the City of Hendersonville, TN, which provides that in the event the Resource Authority's revenues are insufficient to cover the costs of operation and debt retirement the County and Cities shall pay such deficit in the proportions of 3/7, 2/7, and 2/7, respectively. These same entities have executed a "contract in Lieu of Performance Bond" with the State of Tennessee for financial assurance of the closure and post closure costs of the landfill should the Resource Authority be unable to do so.

The Resource Authority operates primarily as a solid waste transfer station. The City utilizes the Resource Authority for solid waste disposal purposes at essentially the same cost per ton as in prior years. There is uncertainty as to the future operations of the Resource Authority, as well as the costs relative to the change in operations or possible dissolution.

The Resource Authority as of June 30, 2020, which is the latest available financial statement date, has net investment in capital assets in the amount of \$2,340,649 and an unrestricted net position of \$1,264,537 as compared to \$2,340,649 and \$256,569 for the year 2019. During 2020, the City provided deficit funding in the amount of \$0 and paid the Resource Authority \$632,590 in tipping fees for solid waste.

City of Gallatin, Tennessee
Notes to the Financial Statements
June 30, 2020

Note 13. Other Information - continued

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal and state governments. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantors cannot be determined at this time; although, the City's management expects such amounts, if any, to be immaterial.

The City is a defendant in various lawsuits; however, the outcome of these lawsuits is not presently determinable, though legal counsel does not expect any possible liability to exceed the City's limits of insurance.

D. Power Contract

The Utility has a power contract with the Tennessee Valley Authority (TVA); whereby, the electric system purchases all of its electric power from TVA and is subject to certain restrictions and conditions as provided for in the power contract. Such restrictions include, but are not limited to, prohibitions against furnishings, advancing, lending, pledging, or otherwise diverting System funds, revenues, or property to other operations of the county and the purchase or payment of or providing security for indebtedness on other obligations applicable to such other operations.

Note 14. COVID-19 Outbreak

On January 30, 2020, the World Health Organization declared the COVID-19 outbreak a "Public Health Emergency of International Concern" and on March 11, 2020, declared it to be a pandemic. Actions taken around the world to help mitigate the spread of COVID-19 include restrictions on travel, and quarantines in certain areas, and forced closures for certain types of public places and businesses. COVID-19 and actions taken to mitigate it have had and are expected to continue to have an adverse impact on the economy and financial markets, including the geographical area in which the City operates. While it is unknown how long these conditions will last and what the complete financial effect will be to the City, to date the City has not experienced significant changes in its operations. While the disruption is currently expected to be temporary, there is uncertainty around the duration. The ultimate impact of the pandemic on the City's results of operations and financial position cannot be reasonably estimated at this time.

Required Supplementary Information

City of Gallatin, Tennessee
Required Supplementary Information
Schedule of Changes in the Plan's Net Pension Liability
and Related Ratios - Electric Department
Last Fiscal Year ending June 30,

	2014	2015	2016	2017	2018	2019
Total Pension Liability						
Service Cost	\$ 136,832	\$ 160,611	\$ 165,004	\$ 177,907	\$ 185,023	\$ 183,037
Interest	559,812	652,294	659,028	685,170	691,268	723,598
Changes in Benefit Terms	-	-	-	-	-	-
Differences Between Actual and Expected Experience	22,888	-	-	(295,965)	115,214	324,343
Change of Assumptions	989,264	-	(468,590)	-	-	(28,647)
Benefit Payments, Including Refunds of Employee Contributions	(496,184)	(403,705)	(445,233)	(482,369)	(492,024)	(564,525)
Net Change in Total Pension Liability	1,212,612	409,200	(89,791)	84,743	499,481	637,806
Total Pension Liability - Beginning	8,315,324	9,527,936	9,937,136	9,847,345	9,932,088	10,431,569
Total Pension Liability - Ending (a)	<u>\$ 9,527,936</u>	<u>\$ 9,937,136</u>	<u>\$ 9,847,345</u>	<u>\$ 9,932,088</u>	<u>\$ 10,431,569</u>	<u>\$ 11,069,375</u>
 Plan Fiduciary Net Position						
Contributions - Employer	\$ 257,050	\$ 385,256	\$ 666,994	\$ 1,040,000	\$ 800,000	\$ 1,200,000
Contributions - Employee	57,685	61,065	65,855	62,487	62,395	61,115
Net Investment Income	644,573	118,498	185,887	663,332	610,022	685,759
Benefit Payments, Including Refunds of Employee Contributions	(496,184)	(403,705)	(445,233)	(482,369)	(492,024)	(564,525)
Administrative Expense	(31,671)	(32,684)	(34,134)	(39,030)	(44,369)	(49,663)
Other	-	-	-	-	-	-
Net Change in Plan Fiduciary Net Position	431,453	128,430	439,369	1,244,420	936,024	1,332,686
Plan Fiduciary Net Position - Beginning	6,131,853	6,563,306	6,691,736	7,131,105	8,375,525	9,311,549
Plan Fiduciary Net Position - Ending (b)	<u>\$ 6,563,306</u>	<u>\$ 6,691,736</u>	<u>\$ 7,131,105</u>	<u>\$ 8,375,525</u>	<u>\$ 9,311,549</u>	<u>\$ 10,644,235</u>
 Net Pension Liability - Ending (a) - (b)	<u>\$ 2,964,630</u>	<u>\$ 3,245,400</u>	<u>\$ 2,716,240</u>	<u>\$ 1,556,563</u>	<u>\$ 1,120,020</u>	<u>\$ 425,140</u>
 Plan Fiduciary Net Position as a Percentage of Total Pension Liability	68.88%	67.34%	72.42%	84.33%	89.26%	96.16%
 Covered Payroll	\$ 1,934,194	\$ 1,952,736	\$ 2,030,845	\$ 2,043,550	\$ 1,958,148	\$ 2,085,475
 Net Pension Liability as a Percentage of Covered Payroll	153.27%	166.20%	133.75%	76.17%	57.20%	20.39%

*GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to the previously supplied data from the TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Required Supplementary Information
Schedule of Contributions
Last Ten Fiscal Years - Electric Department
Last Fiscal Year ending June 30,

	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Actuarially determined contributions	\$ 342,422	\$ 342,422	\$ 417,159	\$ 417,159	\$ 385,256	\$ 385,256	\$ 257,050	\$ 272,060	\$ 276,205	\$ 269,919
Contributions in relation to actuarially determined contribution	1,050,000	1,200,000	800,000	1,040,000	666,994	385,256	257,050	272,060	276,205	269,919
Contribution deficiency (excess)	<u>\$ (707,578)</u>	<u>\$ (857,578)</u>	<u>\$ (382,841)</u>	<u>\$ (622,841)</u>	<u>\$ (281,738)</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Covered-employee payroll	\$ 2,085,475	\$ 2,085,475	\$ 1,958,148	\$ 2,043,550	\$ 2,030,845	\$ 1,952,736	\$ 1,934,194	\$ 1,968,593	\$ 1,998,592	\$ 1,953,105
Contributions as a percentage of covered payroll	50.35%	57.54%	40.85%	50.89%	32.84%	19.73%	13.29%	13.82%	13.82%	13.82%

*GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to the previously supplied data from the TCRS GASB website for prior years' data, if needed.

Notes to Schedule:

Actuarially determined contribution rates are calculated as of June 30, two years prior to the end of the fiscal year in which contributions are reported.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Individual Entry Age Normal, Level Percentage of Pay
Amortization method	The amortization policy shall be that the UAAL, as of July 1, 2014 and any changes thereafter as a result of a change in assumptions or methods or benefit or plan changes, shall be amortized over a fixed period of 30 years beginning July 1, 2014. The amortization period for experience gains and losses shall be 10 years from the date of the actuarial valuation.
Asset valuation method	Market value of assets
Salary increases	4.00%
Cost of living increases	1.50%
Discount rate	7.00%
Retirement age	65
Mortality	SOA RP-2014 Total Dataset Mortality with Scale MP-2019
Disabled mortality	1965 Railroad Board Disability Annuity Mortality

City of Gallatin, Tennessee
Required Supplementary Information
Schedule of Changes in the Total OPEB Liability
and Related Ratios - Electric Department
Last Fiscal Year ending June 30,

	<u>2017</u>	<u>2018</u>	<u>2019</u>
Total OPEB Liability			
Service Cost	\$ 9,220	\$ 7,587	\$ 6,485
Interest	14,641	16,911	18,085
Changes in Benefit Terms	-	-	-
Differences Between Actual and Expected Experience	3,563	7,940	-
Changes of Assumptions or Other Inputs	(46,674)	(16,731)	22,113
Benefit Payments	(25,113)	(15,914)	(15,783)
Net Change in Total OPEB Liability	(44,363)	(207)	30,900
Total OPEB Liability - Beginning	516,997	472,634	472,427
Total OPEB Liability - Ending	<u>\$ 472,634</u>	<u>\$ 472,427</u>	<u>\$ 503,327</u>
 Covered-employee payroll	 \$ 2,043,550	 \$ 2,085,475	 \$ 2,085,475
 Total OPEB liability as a percentage of covered-employee payroll	 23.13%	 22.65%	 24.13%

Notes to Schedule:

There are no assets accumulated in a trust that meet the criteria in paragraph 4 of GASB 75 related to this OPEB plan.

This is a 10-year schedule; however the information in this schedule is not required to be presented retroactively. Years will be added to this schedule in future fiscal years until 10 years of information is available.

Changes of assumptions: Changes of assumptions and other inputs reflect the effects of changes in the discount rate each period. The following are the discounts rates used in each period:

2016	2.85%
2017	3.58%
2018	3.87%
2019	3.50%

See independent auditor's report.

City of Gallatin, Tennessee
Required Supplementary Information
Schedule of Changes in Net Pension Liability (Asset) and Related Ratios
Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS
Last Fiscal Year ending June 30,

	<u>2019</u>
Total Pension Liability	
Service Cost	\$ -
Interest	-
Changes in Benefit Terms	426,349
Differences Between Actual & Expected Experience	-
Change of Assumptions	-
Benefit Payments, including refunds of employee contributions	(536)
Net Change in Total Pension Liability	425,813
Total Pension Liability - Beginning	-
Total Pension Liability - Ending (a)	<u>\$ 425,813</u>
 Plan Fiduciary Net Position	
Contributions - Employer	\$ 107,409
Contributions - Employee	323,520
Net Investment Income	15,540
Benefit Payments, including refunds of employee contributions	(536)
Administrative Expense	(13,018)
Other	-
Net Change in Plan Fiduciary Net Position	432,915
Plan Fiduciary Net Position - Beginning	-
Plan Fiduciary Net Position - Ending (b)	<u>\$ 432,915</u>
 Net Pension Liability (Asset) - Ending (a) - (b)	<u>\$ (7,102)</u>
 Plan Fiduciary Net Position as a Percentage of Total Pension Liability	101.67%
 Covered Payroll	\$ 6,470,377
 Net Pension Liability (Asset) as a Percentage of Covered Payroll	-0.11%

Notes to Schedule:

Changes of assumptions: In 2017, amounts reported as changes of assumptions resulted from changes to the inflation rate, investment rate of return, cost-of-living adjustment and salary growth.

*GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to the previously supplied data from the TCRS GASB website for prior years' data, if needed.

City of Gallatin, Tennessee
Required Supplementary Information
Schedule of Contributions
Based on Participation in the Public Employee Hybrid Pension Plan of the TCRS
Last Fiscal Year Ending June 30,

	<u>2019</u>	<u>2020</u>
Actuarially Determined Contribution	\$ 107,409	\$ 170,527
Contributions in Relation to the Actuarially Determined Contribution	<u>107,409</u>	<u>170,527</u>
Contribution Deficiency (Excess)	<u>\$ -</u>	<u>\$ -</u>
Covered Payroll	\$ 6,470,377	\$ 10,272,333
Contributions as a Percentage Covered Payroll	1.66%	1.66%

Notes to Schedules:

GASB 68 requires a 10-year schedule for this data to be presented starting with the implementation of GASB 68. The information in this schedule is not required to be presented retroactively prior to the implementation date. Please refer to previously supplied data from TCRS GASB website for prior years' data, if needed.

Valuation Date : Actuarially determined contribution rates for the year ended June 30, 2019 were calculated based on the June 30, 2018 actuarial valuation.

Methods and assumptions used to determine contribution rates:

Actuarial cost method	Entry Age Normal
Amortization method	Level dollar, closed (not to exceed 20 years)
Remaining amortization period	Varies by Year
Asset valuation	10-year smoothed within a 20 percent corridor to market value
Inflation	2.50 percent
Salary increases	Graded salary ranges from 8.72 to 3.44 percent based on age, including inflation, averaging 4.00 percent
Investment rate of return	7.25 percent, net of investment expense, including inflation
Retirement age	Pattern of retirement determined by experience study
Mortality	Customized table based on actual experience including an adjustment for some anticipated improvement
Cost of living adjustments	2.25 percent

Changes in assumptions: In 2017, the following assumptions were changed: decreased inflation rate from 3.00 percent to 2.50 percent; decreased the investment rate of return from 7.50 percent to 7.25 percent; decreased the cost-of-living adjustment from 2.50 percent to 2.25 percent; decreased salary growth graded ranges from an average of 4.25 percent to an average of 4.00 percent; and modified mortality assumptions.

Supplementary and Other Information

Nonmajor Governmental Funds

Special Revenue Funds:

Special Revenue Funds account for specific revenues that are legally restricted to expenditure purposes. The Special Revenue Funds are:

Special Services Fund – To account for sex offender registry payments that are used for specific purposes and private donations to be used for the “Shop with a Cop” Christmas program.

Drug Fund – To account for the resources used for the operation of drug enforcement activities by the City.

Environmental Services Fund – To account for the resources used for the garbage collection activities by the City.

Stormwater Fund – To account for the stormwater fee that is to be used for stormwater maintenance and repairs throughout the City.

Industrial Development Board

The Industrial Development Board is used to account for economic development activity in the City.

Permanent Funds:

Permanent Funds account for specific revenues for which the corpus of the donation are restricted by external donors. The Permanent Funds are:

Thomas Witherspoon Fund – To account for a donation that was received to make loans to graduating seniors to be used for college.

Cemetery Trust Fund – To account for donations that were received to maintain the cemetery in perpetuity.

City of Gallatin, Tennessee

Combining Balance Sheet Non-major Governmental Funds June 30, 2020

	Special Revenue				Permanent Fund					
				Total Special Revenue Funds	Stormwater Utility Fund	Industrial Development Board	Witherspoon Loan Fund	Cemetery Trust Fund	Total Permanent Funds	Total Non-major Governmental Funds
Assets	Special Fund	Drug Fund	Environmental Services							
Cash	\$ 2,624,747	\$ 179,009	\$ 767,574	\$ 3,571,330	\$ 506,175	\$ 131,750	\$ 281,704	\$ 13,072	\$ 294,776	\$ 4,504,031
Investments	-	-	-	-	-	-	-	21,025	21,025	21,025
Receivables, Net	-	-	163,661	163,661	98,258	-	143,363	276	143,639	405,558
Inventory	-	-	22,176	22,176	-	-	-	-	-	22,176
Other Assets	-	-	-	-	-	-	10,929	-	10,929	10,929
Total Assets	<u>\$ 2,624,747</u>	<u>\$ 179,009</u>	<u>\$ 953,411</u>	<u>\$ 3,757,167</u>	<u>\$ 604,433</u>	<u>\$ 131,750</u>	<u>\$ 435,996</u>	<u>\$ 34,373</u>	<u>\$ 470,369</u>	<u>\$ 4,963,719</u>
Liabilities and Fund Equity										
Liabilities										
Accounts Payable	\$ 14,000	\$ 1,580	\$ 163,209	\$ 178,789	\$ 15,440	\$ -	\$ -	\$ -	\$ -	\$ 194,229
Performance Deposit	2,517,436	-	-	2,517,436	-	-	-	-	-	2,517,436
Unearned Evidence Funds	68,972	-	-	68,972	-	-	-	-	-	68,972
Other Liabilities	-	-	-	-	62	-	-	-	-	62
Total Liabilities	<u>2,600,408</u>	<u>1,580</u>	<u>163,209</u>	<u>2,765,197</u>	<u>15,502</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>2,780,699</u>
Fund Balances										
Nonspendable:										
Prepaid Items	-	-	-	-	-	-	10,929	-	10,929	10,929
Funds Held in Trust	-	-	-	-	-	-	15,000	21,025	36,025	36,025
Inventory	-	-	22,176	22,176	-	-	-	-	-	22,176
Restricted For:										
Funds Held in Trust	-	-	-	-	-	-	410,067	-	410,067	410,067
Environmental Services	-	-	768,026	768,026	-	-	-	-	-	768,026
Economic Development	-	-	-	-	-	131,750	-	-	-	131,750
Drug Enforcement	-	177,429	-	177,429	-	-	-	-	-	177,429
Stormwater	-	-	-	-	588,931	-	-	-	-	588,931
Assigned To:										
Police Special Projects	24,339	-	-	24,339	-	-	-	-	-	24,339
Cemetery Use	-	-	-	-	-	-	-	13,348	13,348	13,348
Total Fund Balances	<u>24,339</u>	<u>177,429</u>	<u>790,202</u>	<u>991,970</u>	<u>588,931</u>	<u>131,750</u>	<u>435,996</u>	<u>34,373</u>	<u>470,369</u>	<u>2,183,020</u>
Total Liabilities and Fund Balances	<u>\$ 2,624,747</u>	<u>\$ 179,009</u>	<u>\$ 953,411</u>	<u>\$ 3,757,167</u>	<u>\$ 604,433</u>	<u>\$ 131,750</u>	<u>\$ 435,996</u>	<u>\$ 34,373</u>	<u>\$ 470,369</u>	<u>\$ 4,963,719</u>

See independent auditor's report.

City of Gallatin, Tennessee
Combining Statement of Revenues, Expenditures, and Changes in Fund Balances
Non-major Governmental Funds
For the Year Ended June 30, 2020

	Special Revenue					Permanent Fund			Total
	Special Fund	Drug Fund	Environmental Services	Total Special Revenue Funds	Stormwater Utility Fund	Industrial Development Board	Witherspoon Loan Fund	Cemetery Trust Fund	Total Non-major Governmental Funds
Revenues									
Charges for Services	\$ -	\$ -	\$ 2,156,984	\$ 2,156,984	\$ 1,822,345	\$ -	\$ -	\$ -	\$ 3,979,329
Fines and Forfeitures	5,100	142,727	-	147,827	-	-	-	-	147,827
Other Revenue	58,405	4,904	63,091	126,400	-	107,938	13,301	1,193	248,832
Total Revenues	<u>63,505</u>	<u>147,631</u>	<u>2,220,075</u>	<u>2,431,211</u>	<u>1,822,345</u>	<u>107,938</u>	<u>13,301</u>	<u>1,193</u>	<u>4,375,988</u>
Expenditures									
Current:									
General Government	-	-	-	-	-	-	25	-	25
Public Safety	47,695	16,571	-	64,266	-	-	-	-	64,266
Environmental Services	-	-	2,004,382	2,004,382	779,000	-	-	-	2,783,382
Economic Development	-	-	-	-	-	124,198	-	-	124,198
Capital Outlay	-	33,459	-	33,459	538,114	-	-	-	571,573
Total Expenditures	<u>47,695</u>	<u>50,030</u>	<u>2,004,382</u>	<u>2,102,107</u>	<u>1,317,114</u>	<u>124,198</u>	<u>25</u>	<u>-</u>	<u>3,543,444</u>
Excess of Revenues Over (Under) Expenditures	<u>15,810</u>	<u>97,601</u>	<u>215,693</u>	<u>329,104</u>	<u>505,231</u>	<u>(16,260)</u>	<u>13,276</u>	<u>1,193</u>	<u>832,544</u>
Net Change in Fund Balances	15,810	97,601	215,693	329,104	505,231	(16,260)	13,276	1,193	832,544
Fund Balance - July 1, 2019	<u>8,529</u>	<u>79,828</u>	<u>574,509</u>	<u>662,866</u>	<u>83,700</u>	<u>148,010</u>	<u>422,720</u>	<u>33,180</u>	<u>1,350,476</u>
Fund Balance (Deficit) - June 30, 2020	<u>\$ 24,339</u>	<u>\$ 177,429</u>	<u>\$ 790,202</u>	<u>\$ 991,970</u>	<u>\$ 588,931</u>	<u>\$ 131,750</u>	<u>\$ 435,996</u>	<u>\$ 34,373</u>	<u>\$ 2,183,020</u>

See independent auditor's report.

City of Gallatin, Tennessee

Schedules of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual

Special Services Fund

For the Year Ended June 30, 2020

	Special Services Fund			
	Original Budgeted	Final Budgeted	Actual	Variance Favorable (Unfavorable)
Revenues				
Fines and Forfeitures:				
Sex Offender Registry	\$ 5,000	\$ 5,500	\$ 5,100	\$ (400)
Other:				
Donations	20,000	43,000	58,381	15,381
Interest	-	-	24	24
Total Revenues	<u>25,000</u>	<u>48,500</u>	<u>63,505</u>	<u>15,005</u>
Expenditures				
Current:				
Public Safety - Police:				
Office Supplies	5,000	5,500	5,384	116
Grants and Donations	20,000	43,000	42,311	689
Total Expenditures	<u>25,000</u>	<u>48,500</u>	<u>47,695</u>	<u>805</u>
Excess of Revenues Over (Under) Expenditures	<u>-</u>	<u>-</u>	<u>15,810</u>	<u>15,810</u>
Net Change in Fund Balance	-	-	15,810	15,810
Fund Balance - July 1, 2019	<u>-</u>	<u>-</u>	<u>8,529</u>	<u>8,529</u>
Fund Balance - June 30, 2020	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 24,339</u>	<u>\$ 24,339</u>

City of Gallatin, Tennessee

Schedules of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual

Drug Fund

For the Year Ended June 30, 2020

	Drug Fund			Variance
	Original Budgeted	Final Budgeted	Actual	Favorable (Unfavorable)
Revenues				
Fines and Forfeitures	\$ 108,000	\$ 108,000	\$ 142,727	\$ 34,727
Interest	-	-	4	4
Sale of Equipment	-	-	4,900	4,900
Total Revenues	<u>108,000</u>	<u>108,000</u>	<u>147,631</u>	<u>39,631</u>
Expenditures				
Current:				
Public Safety - Police:				
Supplies	22,000	22,000	16,571	5,429
Capital Outlay	86,000	86,000	33,459	52,541
Total Expenditures	<u>108,000</u>	<u>108,000</u>	<u>50,030</u>	<u>57,970</u>
Excess of Revenues Over (Under) Expenditures	<u>-</u>	<u>-</u>	<u>97,601</u>	<u>97,601</u>
Net Change in Fund Balance	-	-	97,601	97,601
Fund Balance - July 1, 2019	<u>-</u>	<u>-</u>	<u>79,828</u>	<u>79,828</u>
Fund Balance - June 30, 2020	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 177,429</u>	<u>\$ 177,429</u>

See independent auditor's report.

City of Gallatin, Tennessee

Schedules of Revenues, Expenditures, and Changes in Fund Balances

Budget and Actual

Environmental Services Fund

For the Year Ended June 30, 2020

	Environmental Services Fund			
	Original Budgeted	Final Budgeted	Actual	Variance Favorable (Unfavorable)
Revenues				
Charges for Services	\$ 2,060,000	\$ 2,060,000	\$ 2,156,984	\$ 96,984
Other:				
Sale of Supplies	60,000	60,000	62,293	2,293
Miscellaneous	-	-	798	798
Total Revenues	<u>2,120,000</u>	<u>2,120,000</u>	<u>2,220,075</u>	<u>100,075</u>
Expenditures				
Current:				
Environmental Services:				
Salaries	625,372	625,372	597,341	28,031
Employee Benefits and Taxes	292,830	292,830	226,727	66,103
Insurance	42,500	42,500	31,990	10,510
Utilities	19,600	19,600	15,871	3,729
Repairs and Maintenance	71,700	71,700	78,005	(6,305)
Other Contractual Services	655,000	726,701	788,544	(61,843)
Supplies	7,850	7,850	7,038	812
Gas, Oil, Diesel, etc.	93,500	93,500	75,628	17,872
Supplies for Resale	50,000	50,000	50,808	(808)
Natural Materials	75,000	75,000	58,068	16,932
Professional Services	65,826	65,826	65,826	-
Miscellaneous	3,200	3,200	8,536	(5,336)
Capital Outlay	250,000	250,000	-	250,000
Total Expenditures	<u>2,252,378</u>	<u>2,324,079</u>	<u>2,004,382</u>	<u>319,697</u>
Excess of Revenues Over (Under) Expenditures	<u>(132,378)</u>	<u>(204,079)</u>	<u>215,693</u>	<u>419,772</u>
Net Change in Fund Balance	(132,378)	(204,079)	215,693	419,772
Fund Balance - July 1, 2019	-	-	574,509	574,509
Fund Balance - June 30, 2020	<u>\$ (132,378)</u>	<u>\$ (204,079)</u>	<u>\$ 790,202</u>	<u>\$ 994,281</u>

City of Gallatin, Tennessee
Schedule of Changes in Property Taxes Receivable
For the Fiscal Year Ended June 30, 2020

Tax Levy for Year	Tax Rate	Tax Levy	Beginning Outstanding Taxes	Additions and Adjustments	Collections	Ending Outstanding Taxes	Outstanding Taxes Being Collected by Chancery Court
2019	0.80	\$ -	\$ -	\$ 12,037,339	\$ 11,763,803	\$ 273,536	\$ -
2018	0.99	11,052,748	211,919	-	119,144	92,775	92,775
2017	0.99	10,827,979	75,341	-	19,953	55,388	55,388
2016	0.99	10,619,974	31,080	-	2,218	28,862	28,862
2015	0.99	10,090,162	31,226	-	4,451	26,775	26,775
2014	0.99	9,610,494	29,556	-	2,897	26,659	26,659
2013	0.99	9,546,819	23,897	-	1,791	22,106	22,106
2012	0.99	9,413,801	22,472	-	2,188	20,284	20,284
2011	0.99	9,438,136	20,326	-	1,694	18,632	18,632
2010	0.99	8,947,608	22,610	-	1,181	21,429	21,429
2009	0.99	8,655,224	29,259	-	-	29,259	29,259
			<u>\$ 497,686</u>	<u>\$ 12,037,339</u>	<u>\$ 11,919,320</u>	<u>\$ 615,705</u>	<u>\$ 342,169</u>

Above balances represented as follows:

Considered Current Revenue

\$ 31,325

Allowance for Uncollectible Accounts

323,137

Unavailable Revenue

261,243

615,705

2020 Property Tax Assessment

12,754,671

Total Taxes Receivable

\$ 13,370,376

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Electric Rates in Force
June 30, 2020

Residential Rate Schedule:

Customer charge - per delivery point per month	\$ 16.55
Energy charge - cents per kWh	0.08722

General Power Schedule:

GSA (Demand 0-5,000 kW demand)

Customer charge - per delivery point per month	\$ 19.60
--	----------

1. Less than 50kW demand and not more than 15,000 kWh

Energy charge - cents per kWh	0.09988
-------------------------------	---------

2. Between 51 and 1,000 kW demand with energy usage over 15,000 kWh

Customer charge - per delivery point per month	\$ 60.00
--	----------

Demand charges - per kW per month

0-50 kW	-
---------	---

More than 50 to 1,000 kW, per kW	10.65
----------------------------------	-------

Energy charge - cents per kWh

First 15,000 kWh per month	0.09246
----------------------------	---------

Additional kWh per month	0.06174
--------------------------	---------

3. Between 1,001 and 5,000 kW demand

Customer charge - per delivery point per month	\$ 200.00
--	-----------

Demand charges - per kW per month

0-1,000 kW, per kW	10.70
--------------------	-------

More than 1,000 to 5,000 kW, per kW	14.87
-------------------------------------	-------

Energy charge - cents per kWh	0.06167
-------------------------------	---------

GSB (5,001-15,000 kW demand)

Customer charge - per delivery point per month	\$ 1,500.00
--	-------------

Demand charges - per kW per month

Onpeak demand	10.87
---------------	-------

Max demand - per kW per month	5.21
-------------------------------	------

Offpeak excess of contract demand - per kW per month	10.87
--	-------

Energy charge - cents per kWh

Onpeak kWh	0.07842
------------	---------

Offpeak kWh First 200 HUD	0.05351
---------------------------	---------

Offpeak kWh Next 200 HUD	0.01893
--------------------------	---------

Additional HUD	0.01552
----------------	---------

City of Gallatin, Tennessee
Schedule of Electric Rates in Force - Continued
June 30, 2020

General Power Schedule (Continued):

MSB		
Customer charge - per delivery point per month		\$ 1,500.00
Demand charges - per kW per month		
Onpeak demand		10.24
Max demand - per kW per month		2.26
Offpeak excess of contract demand - per kW per month		10.24
Energy charge - cents per kWh:		
Onpeak kWh		0.07016
Offpeak kWh First 200 HUD		0.04516
Offpeak kWh Next 200 HUD		0.01547
Additional HUD		0.01292
 MSB (Demand over 25,000 kW)		
Customer charge - per delivery point per month	\$	1,500.00
Demand charges - per kW per month		
Onpeak demand		10.24
Max demand - per kW per month		1.64
Offpeak excess of contract demand - per kW per month		10.24
Energy charge - cents per kWh:		
Onpeak kWh		0.06677
Offpeak kWh First 200 HUD		0.04176
Offpeak kWh Next 200 HUD		0.01519
Additional HUD		0.01460
 Outdoor Lighting		
73 LED	\$	10.69
113 LED		15.56
100 Watt H.P.S.		8.92
150 Watt H.P.S.		11.79
175 Watt M.V.		9.21
250 Watt H.P.S.		14.62
400 Watt H.P.S.		18.46
Outdoor lighting kWh		0.06375

Number of customers:

	<u>2020</u>	<u>2019</u>
Residential	18,877	17,899
Commercial and industrial	3,106	3,162
Street and athletic fields	56	54
Individually billed outdoor lighting	29	28
	<u>22,068</u>	<u>21,143</u>

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Water and Sewer Rates in Force
June 30, 2020

Water Division

Inside City Limits

All customers

\$ 11.92 for first 250 cubic feet

\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

Outside City Limits

All customers

\$ 17.80 for first 250 cubic feet

\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

Sewer Division

Inside City Limits

All customers

\$ 11.92 for first 250 cubic feet

\$ 3.25 per 100 cubic feet in excess of 250 cubic feet

Outside City Limits

All customers

\$ 17.80 for first 250 cubic feet

\$ 4.88 per 100 cubic feet in excess of 250 cubic feet

Number of customers:	2020	2019
Water & Sewer	15,799	15,266

City of Gallatin, Tennessee
Schedule of Gas Rates in Force
June 30, 2020

Residential and commercial - inside city

First 200 cubic	\$ 3.50
All usage over 200 cubic feet, per ccf	0.73

Residential and commercial - outside city

First 200 cubic	\$ 3.85
All usage over 200 cubic feet, per ccf	0.80

Industrial

All usage, per ccf	\$ 0.73
--------------------	---------

Preferred interruptible

All usage, per ccf	\$ 0.45
--------------------	---------

Interruptible

First 100,000 cubic feet	\$ 0.35
All usage over 200 cubic feet, per ccf	0.30

Number of customers:

	<u>2020</u>	<u>2019</u>
Residential	12,417	11,649
Commercial	899	841
Industrial	30	37
Interruptible	4	5
	<u><u>13,350</u></u>	<u><u>12,532</u></u>

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Unaccounted for Water
June 30, 2020



AWWA Free Water Audit Software:
Reporting Worksheet

WAS v5.0
 American Water Works Association
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Click to access definition
 Click to add a comment

Water Audit Report for: Gallatin Public Utilities
Reporting Year: 2020 7/2019 - 6/2020

Please enter data in the white cells below. Where available, metered values should be used; if metered values are unavailable please estimate a value. Indicate your confidence in the accuracy of the input data by grading each component (n/a or 1-10) using the drop-down list to the left of the input cell. Hover the mouse over the cell to obtain a description of the grades

All volumes to be entered as: MILLION GALLONS (US) PER YEAR

To select the correct data grading for each input, determine the highest grade where the utility meets or exceeds all criteria for that grade and all grades below it.

WATER SUPPLIED

Volume from own sources: MG/Yr
 Water imported: MG/Yr
 Water exported: MG/Yr

Master Meter and Supply Error Adjustments

Pcnt: Value: MG/Yr
 MG/Yr
 MG/Yr

Enter negative % or value for under-registration
 Enter positive % or value for over-registration

WATER SUPPLIED: MG/Yr

AUTHORIZED CONSUMPTION

Billed metered: MG/Yr
 Billed unmetered: MG/Yr
 Unbilled metered: MG/Yr
 Unbilled unmetered: MG/Yr

AUTHORIZED CONSUMPTION: MG/Yr

Click here: for help using option buttons below

Pcnt: Value: MG/Yr

Use buttons to select percentage of water supplied OR value

WATER LOSSES (Water Supplied - Authorized Consumption)

Apparent Losses

Unauthorized consumption: MG/Yr

Default option selected for unauthorized consumption - a grading of 5 is applied but not displayed

Customer metering inaccuracies: MG/Yr
 Systematic data handling errors: MG/Yr

Default option selected for Systematic data handling errors - a grading of 5 is applied but not displayed

Apparent Losses: MG/Yr

Pcnt: Value: MG/Yr

MG/Yr

Real Losses (Current Annual Real Losses or CARL)

Real Losses = Water Losses - Apparent Losses: MG/Yr

WATER LOSSES: MG/Yr

NON-REVENUE WATER

NON-REVENUE WATER: MG/Yr

= Water Losses + Unbilled Metered + Unbilled Unmetered

SYSTEM DATA

Length of mains: miles
 Number of active AND inactive service connections:
 Service connection density: conn./mile main

Are customer meters typically located at the curbside or property line? (length of service line, beyond the property boundary, that is the responsibility of the utility)

Average length of customer service line: Average length of customer service line has been set to zero and a data grading score of 10 has been applied

Average operating pressure: psi

COST DATA

Total annual cost of operating water system: \$/Year
 Customer retail unit cost (applied to Apparent Losses): \$/100 cubic feet (ccf)
 Variable production cost (applied to Real Losses): \$/Million gallons ☐ Use Customer Retail Unit Cost to value real losses

WATER AUDIT DATA VALIDITY SCORE:

*** YOUR SCORE IS: 85 out of 100 ***

A weighted scale for the components of consumption and water loss is included in the calculation of the Water Audit Data Validity Score

PRIORITY AREAS FOR ATTENTION:

Based on the information provided, audit accuracy can be improved by addressing the following components:

- 1: Volume from own sources
- 2: Unauthorized consumption
- 3: Systematic data handling errors

City of Gallatin, Tennessee
Schedule of Unaccounted for Water
June 30, 2020

AWWA Free Water Audit Software:
System Attributes and Performance Indicators

WAS v5.0

American Water Works Association.
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Water Audit Report for: **Gallatin Public Utilities**
 Reporting Year: **2020** **7/2019 - 6/2020**

*** YOUR WATER AUDIT DATA VALIDITY SCORE IS: 85 out of 100 ***

System Attributes:

Apparent Losses:	25.404	MG/Yr
+ Real Losses:	816.498	MG/Yr
= Water Losses:	841.902	MG/Yr

? Unavoidable Annual Real Losses (UARL): **118.26** MG/Yr

Annual cost of Apparent Losses: **\$129,388**

Annual cost of Real Losses: **\$195,976** Valued at Variable Production Cost

Return to Reporting Worksheet to change this assumption

Performance Indicators:

Financial:

Non-revenue water as percent by volume of Water Supplied: **37.8%**

Non-revenue water as percent by cost of operating system: **5.6%** Real Losses valued at Variable Production Cost

Operational Efficiency:

Apparent Losses per service connection per day: **4.19** gallons/connection/day

Real Losses per service connection per day: **134.68** gallons/connection/day

Real Losses per length of main per day*: **N/A**

Real Losses per service connection per day per psi pressure: **1.80** gallons/connection/day/psi

From Above, Real Losses = Current Annual Real Losses (CARL): **816.50** million gallons/year

? Infrastructure Leakage Index (ILI) [CARL/UARL]: **6.90**

* This performance indicator applies for systems with a low service connection density of less than 32 service connections/mile of pipeline

City of Gallatin, Tennessee

Schedule of Long-Term Debt, Principal, and Interest Requirements - General Obligation Debt - City

By Fiscal Year

June 30, 2020

Fiscal Year Ended June 30,	G.O. Improvement Bonds Series 2014		G.O. Bonds Series 2016		Total Requirements		
	Principal	Interest	Principal	Interest	Principal	Interest	Total
2021	\$ 910,000	\$ 339,850	\$ 485,000	\$ 344,200	\$ 1,395,000	\$ 684,050	\$ 2,079,050
2022	930,000	321,650	490,000	334,500	1,420,000	656,150	2,076,150
2023	950,000	293,750	500,000	310,000	1,450,000	603,750	2,053,750
2024	975,000	270,000	510,000	285,000	1,485,000	555,000	2,040,000
2025	1,010,000	221,250	520,000	259,500	1,530,000	480,750	2,010,750
2026	1,050,000	180,850	530,000	233,500	1,580,000	414,350	1,994,350
2027	1,090,000	138,850	540,000	207,000	1,630,000	345,850	1,975,850
2028	450,000	106,150	555,000	185,400	1,005,000	291,550	1,296,550
2029	460,000	92,650	570,000	163,200	1,030,000	255,850	1,285,850
2030	475,000	78,850	585,000	140,400	1,060,000	219,250	1,279,250
2031	490,000	64,600	600,000	117,000	1,090,000	181,600	1,271,600
2032	505,000	49,900	620,000	99,000	1,125,000	148,900	1,273,900
2033	525,000	34,119	640,000	80,400	1,165,000	114,519	1,279,519
2034	545,000	17,713	660,000	61,200	1,205,000	78,913	1,283,913
2035	-	-	680,000	41,400	680,000	41,400	721,400
2036	-	-	700,000	21,000	700,000	21,000	721,000
Total	\$ 10,365,000	\$ 2,210,182	\$ 9,185,000	\$ 2,882,700	\$ 19,550,000	\$ 5,092,882	\$ 24,642,882

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Long-Term Debt, Principal, and Interest Requirements - Proprietary Funds
By Fiscal Year
June 30, 2020

Fiscal Year Ended June 30,	Water & Sewer Department										
	Water & Sewer Revenue Bonds, Series 2011		Water & Sewer Revenue Bonds, Series 2014		Water & Sewer Revenue Bonds, Series 2015		Gas System Revenue Bonds, Series 2019		Total Requirements		
	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Principal	Interest	Total
2021	\$ 430,000	\$ 209,898	\$ 270,000	\$ 123,000	\$ 1,125,000	\$ 877,188	\$ 190,000	\$ 200,338	\$ 2,015,000	\$ 1,410,424	\$ 3,425,424
2022	440,000	196,848	275,000	109,375	1,160,000	843,437	200,000	190,838	2,075,000	1,340,498	3,415,498
2023	450,000	183,498	285,000	95,375	1,200,000	797,038	210,000	180,838	2,145,000	1,256,749	3,401,749
2024	460,000	169,848	315,000	80,375	1,255,000	749,037	215,000	174,538	2,245,000	1,173,798	3,418,798
2025	490,000	155,598	325,000	64,375	1,305,000	698,838	225,000	168,088	2,345,000	1,086,899	3,431,899
2026	505,000	141,304	330,000	49,650	1,350,000	646,637	230,000	161,338	2,415,000	998,929	3,413,929
2027	520,000	126,560	340,000	37,950	1,400,000	599,388	240,000	149,838	2,500,000	913,736	3,413,736
2028	535,000	110,401	355,000	27,525	1,460,000	543,387	255,000	137,838	2,605,000	819,151	3,424,151
2029	555,000	93,023	365,000	16,725	1,515,000	484,988	265,000	125,088	2,700,000	719,824	3,419,824
2030	570,000	74,599	375,000	5,625	1,575,000	424,387	280,000	111,838	2,800,000	616,449	3,416,449
2031	590,000	54,869	-	-	1,655,000	345,638	290,000	100,638	2,535,000	501,145	3,036,145
2032	615,000	33,781	-	-	1,735,000	262,887	305,000	89,038	2,655,000	385,706	3,040,706
2033	635,000	11,509	-	-	1,825,000	176,138	315,000	76,838	2,775,000	264,485	3,039,485
2034	-	-	-	-	230,000	84,887	325,000	64,238	555,000	149,125	704,125
2035	-	-	-	-	240,000	73,388	335,000	54,488	575,000	127,876	702,876
2036	-	-	-	-	255,000	61,387	345,000	44,438	600,000	105,825	705,825
2037	-	-	-	-	265,000	48,638	355,000	34,088	620,000	82,726	702,726
2038	-	-	-	-	280,000	35,387	370,000	23,438	650,000	58,825	708,825
2039	-	-	-	-	290,000	21,388	380,000	11,875	670,000	33,263	703,263
2040	-	-	-	-	300,000	10,875	-	-	300,000	10,875	310,875
Total	\$ 6,795,000	\$ 1,561,736	\$ 3,235,000	\$ 609,975	\$ 20,420,000	\$ 7,784,938	\$ 5,330,000	\$ 2,099,659	\$ 35,780,000	\$ 12,056,308	\$ 47,836,308

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Changes - Long-Term Debt by Individual Issue
For the Year Ended June 30, 2020

Description of Indebtedness	Original Amount of Issue	Interest Rate	Date of Issue	Last Maturity Date	Outstanding July 1, 2019	Issued During Period	Paid and/or Matured During Period	Refunded During Period	Outstanding June 30, 2020
Governmental Activities									
Bonds Payable									
General Obligation Improvement Bonds, Series 2014	\$ 14,185,000	2.00-5.00%	8/18/2014	6/30/2034	\$ 11,240,000	\$ -	\$ 875,000	\$ -	\$ 10,365,000
General Obligation Bonds, Series 2016	11,040,000	2.00-5.00%	1/20/2016	6/30/2036	9,665,000	-	480,000	-	9,185,000
Total Governmental Activities					<u>\$ 20,905,000</u>	<u>\$ -</u>	<u>\$ 1,355,000</u>	<u>\$ -</u>	<u>\$ 19,550,000</u>
Business-Type Activities									
Bonds Payable									
Water and Sewer Revenue Bonds, Series 2015	\$ 25,000,000	3.00-5.00%	5/19/2015	6/30/2040	\$ 21,510,000	\$ -	\$ 1,090,000	\$ -	\$ 20,420,000
Water and Sewer Revenue Bonds, Series 2014	14,185,000	2.00-5.00%	8/20/2014	6/30/2034	3,500,000	-	265,000	-	3,235,000
Water and Sewer Revenue Bonds, Series 2011	8,955,000	3.00-3.625%	12/28/2011	7/1/2032	7,215,000	-	420,000	-	6,795,000
Gas System Revenue Bonds, Series 2019	5,570,000	3.00-5.00%	4/9/2019	1/1/2039	5,570,000	-	240,000	-	5,330,000
Total Business-Type Activities					<u>\$ 37,795,000</u>	<u>\$ -</u>	<u>\$ 2,015,000</u>	<u>\$ -</u>	<u>\$ 35,780,000</u>
Total Long-Term Debt					<u>\$ 58,700,000</u>	<u>\$ -</u>	<u>\$ 3,370,000</u>	<u>\$ -</u>	<u>\$ 55,330,000</u>

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of Expenditures of Federal Awards
For the Fiscal Year Ended June 30, 2020

Federal Grantor / Pass-Through Grantor / Program Title	CFDA Number	Contract Number	Expenditures
Federal Emergency Management Agency			
Pass-through programs:			
Assistance to Firefighters 2018	97.044	EMW-2018-FO-04502	\$ 330,455
SAFER 2017	97.083	EMW-2017-FH-00307	550,300
Total Federal Emergency Agency			<u>880,755</u>
U.S. Department of Justice			
FBI Violent Crimes Task Force Reimbursement	16.U01	MOU	13,945
Bulletproof Vest Program - Justice Assistance Grants	16.607	2019BUBX19097015	6,023
Mental Health Collaboration Program	16.745	2018-MO-BX-0046	57,904
Total U.S. Department of Justice			<u>77,872</u>
U.S. Department of Transportation			
Passed Through the Tennessee Department of Transportation:			
Highway Planning and Construction Cluster			
Albert Gallatin / Hatten Track Extension	20.205*	STP-M-8300(70)	7,253,941
Nashville Pike Sidewalk	20.205*	EM-NH-6(130) / 83LPLM-F3-122	34,128
City Sidewalk	20.205*	TAP-M-9306(22) / 83LPLM	279,249
Safe Routes to Schools	20.205*	SRTS-4569(10) / 83LPLM	18,685
IT Signal	20.205*	83PLM-F3-110 / CM-9306(21)	169,514
Passed Through the Tennessee Highway Safety Office:			
Police Traffic Services State & Community Highway Safety Projects	20.600	Z19THS101	13,201
Police Traffic Services State & Community Highway Safety Projects	20.600	Z20THS088	13,565
Total U.S. Department of transportation			<u>7,782,283</u>
Total Federal Awards			<u>\$ 8,740,910</u>

*Denotes Major Federal Program

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of the City under programs of the federal government and State of Tennessee for the year ended June 30, 2020. The information in this Schedule is presented in accordance with the requirements of *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)*. Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

See independent auditor's report.

City of Gallatin, Tennessee
Schedule of State Financial Assistance
For the Fiscal Year Ended June 30, 2020

	<u>State Grant Number</u>	<u>Expenditures</u>
Tennessee Department of Environment and Conservation		
Local Parks and Recreation Fund	TDEC/RES LPRF 32701-03875 (GMS #2017-2782)	\$ 44,689
EDA Site Development Grant	TDEC SDGP 33007-30030	<u>8,399</u>
Total State Financial Assistance		<u>\$ 53,088</u>

Note 1. Basis of Presentation

The accompanying schedule of expenditures of state financial assistance (the "Schedule") includes the federal award and state financial assistance activity of the City under programs of the State of Tennessee for the year ended June 30, 2020. The information in this Schedule is presented in accordance with the requirements of *Title 2 U.S. Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)*. Because the Schedule presents only a selected portion of the operations of the City, it is not intended to and does not present the financial position, changes in net position, or cash flows of the City.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the modified accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. Negative amounts shown on the Schedule represent adjustments or credits made in the normal course of business to amounts reported as expenditures in prior years. The City has elected to use the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

See independent auditor's report.

Statistical Section

City of Gallatin, Tennessee
Statistical Section Summary Page
June 30, 2020

Statistical Section Summary Page:

This part of the City of Gallatin, Tennessee's Comprehensive Annual Financial Report presents detailed information as a context for understanding what the information in the financial statements, the note disclosures, and the required supplementary information says about the City's overall financial health.

	<u>Page</u>
Financial Trends Information <i>These schedules contain trend information to help the reader understand how the government's financial performance and well-being have changed over time.</i>	81
Revenue Capacity Information <i>These schedules contain information to help the reader assess the government's most significant local revenue source, the property tax.</i>	86
Debt Capacity Information <i>These schedules present information to help the reader assess the affordability of the government's current level of outstanding debt and the government's ability to issue additional debt in the future.</i>	89
Demographic and Economic Information <i>These schedules present information to help the reader understand the environment within which the government's financial activities take place.</i>	92
Operating Information <i>These schedules contain service and infrastructure data to help the reader understand how the information in the government's financial report relates to the services the government provides and the activities it performs.</i>	94

Except where noted, the information in these schedules is derived from the City's Comprehensive Annual Financial Reports for the relevant years. The information has been restated, where applicable and feasible, for the adoption of new GASB pronouncements.

City of Gallatin, Tennessee
Financial Trends Information
Net Position by Component - Last Ten Fiscal Years

	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Governmental Activities										
Net investment in capital assets	\$ 108,846,455	\$ 89,932,089	\$ 75,402,931	\$ 67,569,997	\$ 58,836,309	\$ 54,468,094	\$ 48,317,805	\$ 44,409,934	\$ 42,147,155	\$ 46,347,565
Restricted	1,512,468	1,325,054	1,298,730	1,205,180	593,324	535,180	615,631	568,020	100,024	15,000
Unrestricted	24,032,975	17,563,265	17,336,772	17,025,218	15,409,177	13,898,373	14,232,475	11,688,071	10,465,112	9,546,556
Total net position	<u>\$ 134,391,898</u>	<u>\$ 108,820,408</u>	<u>\$ 94,038,433</u>	<u>\$ 85,800,395</u>	<u>\$ 74,838,810</u>	<u>\$ 68,901,647</u>	<u>\$ 63,165,911</u>	<u>\$ 56,666,025</u>	<u>\$ 52,712,291</u>	<u>\$ 55,909,121</u>
Business-Type Activities										
Net investment in capital assets	\$ 142,206,982	\$ 136,551,453	\$ 127,605,680	\$ 120,808,485	\$ 119,097,460	\$ 112,025,506	\$ 107,506,931	\$ 103,558,594	\$ 99,420,067	\$ 99,497,736
Restricted for workers compensation adjustment	7,729	7,702	7,675	7,648	7,621	7,572	7,522	7,473	7,425	-
Unrestricted	47,714,045	37,092,490	35,652,720	37,926,071	31,826,566	35,009,804	32,232,921	28,661,288	28,194,323	26,219,039
Total net position	<u>\$ 189,928,756</u>	<u>\$ 173,651,645</u>	<u>\$ 163,266,075</u>	<u>\$ 158,742,204</u>	<u>\$ 150,931,647</u>	<u>\$ 147,042,882</u>	<u>\$ 139,747,374</u>	<u>\$ 132,227,355</u>	<u>\$ 127,621,815</u>	<u>\$ 125,716,775</u>
Primary Government										
Net investment in capital assets	\$ 251,053,437	\$ 226,483,542	\$ 203,008,611	\$ 188,378,482	\$ 177,933,769	\$ 166,493,600	\$ 155,824,736	\$ 147,968,528	\$ 141,567,222	\$ 145,845,301
Restricted	1,520,197	1,332,756	1,306,405	1,212,828	600,945	542,752	623,153	575,493	107,449	15,000
Unrestricted	71,747,020	54,655,755	52,989,492	54,951,289	47,235,743	48,908,177	46,465,396	40,349,359	38,659,435	35,765,595
Total net position	<u>\$ 324,320,654</u>	<u>\$ 282,472,053</u>	<u>\$ 257,304,508</u>	<u>\$ 244,542,599</u>	<u>\$ 225,770,457</u>	<u>\$ 215,944,529</u>	<u>\$ 202,913,285</u>	<u>\$ 188,893,380</u>	<u>\$ 180,334,106</u>	<u>\$ 181,625,896</u>

City of Gallatin, Tennessee
Financial Trend Information
Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Governmental activities:	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Revenues:										
Program revenues:										
Charges for services	\$ 8,977,852	\$ 8,356,873	\$ 7,863,631	\$ 7,418,973	\$ 6,069,552	\$ 5,538,642	\$ 6,526,770	\$ 4,075,988	\$ 4,813,637	\$ 5,342,165
Operating grants & contributions	2,923,203	2,616,883	1,865,673	1,275,976	1,064,123	1,234,427	1,527,429	1,109,040	948,083	854,869
Capital grants & contributions	20,335,480	12,308,868	6,010,371	8,921,557	4,790,834	10,285,239	3,533,738	3,975,532	1,465,557	4,020,980
General revenues:										
Property taxes	12,215,190	11,906,890	11,235,726	11,367,951	10,878,306	10,273,533	9,930,089	9,999,751	10,711,682	9,823,133
Sales taxes	12,826,752	12,145,080	11,516,561	11,064,266	10,074,289	9,330,486	8,661,499	8,014,658	7,700,686	6,874,129
Franchise taxes	465,305	487,103	468,690	466,766	448,730	421,534	385,802	360,650	379,020	356,845
Alcoholic beverage taxes	1,766,980	1,563,354	1,522,812	1,509,842	1,260,296	1,251,420	1,165,299	1,117,556	1,067,339	1,039,948
Business taxes	1,127,484	1,014,325	949,546	936,708	818,811	756,560	680,446	639,646	668,252	556,382
Income taxes	778,118	565,252	439,386	662,104	946,308	913,636	793,306	520,539	859,602	688,179
Miscellaneous taxes	-	-	-	-	-	-	-	-	-	1,572
Rental and reimbursements	-	-	-	-	-	-	-	-	-	25,863
Other sources	375,946	1,354,312	540,551	480,686	226,818	230,319	240,216	319,500	188,417	286,687
Unrestricted interest income	313,968	298,873	303,527	246,354	115,184	68,994	79,958	28,417	5,491	28,999
In lieu of taxes and transfers	1,971,409	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147	987,430	669,414
Total revenues	<u>64,077,687</u>	<u>54,228,047</u>	<u>44,351,729</u>	<u>46,050,378</u>	<u>38,333,637</u>	<u>41,850,460</u>	<u>34,973,339</u>	<u>31,544,424</u>	<u>29,795,196</u>	<u>30,569,165</u>
Expenses:										
General government	12,362,858	10,194,485	8,545,515	7,930,678	7,186,551	6,432,191	5,147,411	5,070,240	4,753,776	5,833,977
Public safety	15,280,509	15,685,627	14,939,109	14,842,150	12,701,861	12,139,618	11,778,255	11,626,014	11,090,606	10,522,520
Engineering	622,525	2,300,750	1,907,119	2,224,831	1,643,277	1,611,956	1,412,832	1,112,112	1,978,103	1,648,991
Environmental services	2,796,681	2,194,040	2,109,615	1,788,412	1,701,497	1,682,507	1,779,918	1,637,569	1,744,131	1,483,595
Animal control	-	-	-	-	-	123,665	113,487	108,023	119,396	109,535
Public Works	674,693	585,600	705,505	568,139	552,190	362,748	1,163,412	1,658,029	1,215,578	572,127
Highways, streets, and roadways	1,136,264	1,252,628	1,556,403	1,174,314	1,359,004	1,457,922	1,403,207	1,208,364	1,234,568	1,303,547
Vehicle maintenance	617,315	612,519	562,563	549,748	459,858	418,068	420,964	403,696	404,846	393,742
Parks and recreation	3,787,643	4,286,418	4,302,313	4,639,151	4,361,499	4,265,685	4,043,815	4,290,038	4,074,264	4,182,036
Economic development	572,306	816,593	615,343	448,174	1,622,199	6,770,860	444,972	280,227	254,355	222,988
Tourism	57,039	123,052	-	-	-	-	-	-	-	-
Interest on debt	598,364	702,384	765,919	923,196	808,538	653,094	481,455	433,883	472,734	484,738
Total expenses	<u>38,506,197</u>	<u>38,754,096</u>	<u>36,009,404</u>	<u>35,088,793</u>	<u>32,396,474</u>	<u>35,918,314</u>	<u>28,189,728</u>	<u>27,828,195</u>	<u>27,342,357</u>	<u>26,757,796</u>
Change in net position	<u>\$ 25,571,490</u>	<u>\$ 15,473,951</u>	<u>\$ 8,342,325</u>	<u>\$ 10,961,585</u>	<u>\$ 5,937,163</u>	<u>\$ 5,932,146</u>	<u>\$ 6,783,611</u>	<u>\$ 3,716,229</u>	<u>\$ 2,452,839</u>	<u>\$ 3,811,369</u>

City of Gallatin, Tennessee
Financial Trend Information
Change in Net Position - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

Business-Type activities:	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Revenues:										
Program revenues:										
Charges for services	\$ 96,304,597	\$ 104,274,429	\$ 102,309,298	\$ 99,131,412	\$ 94,763,804	\$ 98,670,740	\$ 100,225,082	\$ 91,501,059	\$ 87,971,678	\$ 90,017,001
Capital grants & contributions	10,898,190	4,907,752	5,623,904	3,508,042	2,490,314	1,485,205	2,317,854	1,152,932	675,644	685,151
General revenues:										
Other sources	-	-	-	147	10,000	-	487	2,603	9,359	536,533
Unrestricted interest income	328,769	229,021	197,243	134,055	142,192	108,911	95,539	121,102	146,100	153,210
Total revenues	<u>107,531,556</u>	<u>109,411,202</u>	<u>108,130,445</u>	<u>102,773,656</u>	<u>97,406,310</u>	<u>100,264,856</u>	<u>102,638,962</u>	<u>92,777,696</u>	<u>88,802,781</u>	<u>91,391,895</u>
Expenses:										
Electric	64,715,592	70,565,030	68,464,520	68,658,346	66,077,111	65,953,465	65,344,259	63,093,670	61,686,993	60,976,208
Gas	14,208,176	13,612,534	13,482,880	12,817,606	12,360,729	14,620,277	16,443,781	12,848,397	13,002,653	15,257,278
Water & Sewer	10,525,253	13,321,850	13,115,652	11,787,952	12,582,400	10,769,977	11,170,248	10,846,942	11,256,106	11,510,424
In lieu of taxes - transfer	<u>1,805,424</u>	<u>1,610,234</u>	<u>1,635,255</u>	<u>1,699,195</u>	<u>1,640,386</u>	<u>1,545,670</u>	<u>1,448,787</u>	<u>1,383,147</u>	<u>987,430</u>	<u>669,414</u>
Total expenses	<u>91,254,445</u>	<u>99,109,648</u>	<u>96,698,307</u>	<u>94,963,099</u>	<u>92,660,626</u>	<u>92,889,389</u>	<u>94,407,075</u>	<u>88,172,156</u>	<u>86,933,182</u>	<u>88,413,324</u>
Change in net position	<u>16,277,111</u>	<u>10,301,554</u>	<u>11,432,138</u>	<u>7,810,557</u>	<u>4,745,684</u>	<u>7,375,467</u>	<u>8,231,887</u>	<u>4,605,540</u>	<u>1,869,599</u>	<u>2,978,571</u>
 Total change in net position	<u><u>\$ 41,848,601</u></u>	<u><u>\$ 25,775,505</u></u>	<u><u>\$ 19,774,463</u></u>	<u><u>\$ 18,772,142</u></u>	<u><u>\$ 10,682,847</u></u>	<u><u>\$ 13,307,613</u></u>	<u><u>\$ 15,015,498</u></u>	<u><u>\$ 8,321,769</u></u>	<u><u>\$ 4,322,438</u></u>	<u><u>\$ 6,789,940</u></u>

City of Gallatin, Tennessee
Financial Trend Information
Fund Balances, Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	<u>2020</u>	<u>2019</u>	<u>2018</u>	<u>2017</u>	<u>2016</u>	<u>2015</u>	<u>2014</u>	<u>2013</u>	<u>2012</u>	<u>2011</u>
Governmental Funds										
(Post-GASB 54)										
Nonspendable	\$ 82,177	\$ 674,250	\$ 1,169,853	\$ 1,612,302	\$ 1,065,869	\$ 173,269	\$ 86,851	\$ 105,468	\$ 84,581	\$ 101,966
Restricted	6,877,193	1,289,029	1,366,992	1,176,985	583,621	531,907	579,606	531,995	455,722	352,817
Committed	103,873	156,408	156,408	284,987	209,987	205,085	205,085	226,979	184,395	173,501
Assigned	58,712	7,400,387	11,899,028	12,626,737	16,335,657	8,011,003	2,734,115	1,915,974	2,122,761	2,735,185
Unassigned	18,722,398	16,287,472	17,248,650	17,730,397	16,180,042	13,232,920	11,455,850	8,689,632	7,922,642	6,542,843
	<u>\$ 25,844,353</u>	<u>\$ 25,807,546</u>	<u>\$ 31,840,931</u>	<u>\$ 33,431,408</u>	<u>\$ 34,375,176</u>	<u>\$ 22,154,184</u>	<u>\$ 15,061,507</u>	<u>\$ 11,470,048</u>	<u>\$ 10,770,101</u>	<u>\$ 9,906,312</u>

City of Gallatin, Tennessee
Financial Trend Information
Changes in Fund Balances for Total Governmental Funds - Last Ten Fiscal Years

(Prepared using the accrual basis of accounting)

	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Revenues										
Taxes	\$ 24,907,697	\$ 23,082,274	\$ 22,304,176	\$ 21,677,227	\$ 20,117,243	\$ 18,988,744	\$ 18,393,292	\$ 17,768,774	\$ 17,262,010	\$ 20,056,287
Licenses and permits	2,279,208	2,146,030	2,542,185	2,187,478	1,093,853	760,459	467,638	402,533	315,602	247,346
Fines and penalties	691,541	737,197	785,160	922,423	983,427	1,051,142	2,556,501	884,878	1,479,913	2,307,129
Charges for services	6,005,756	5,476,634	4,534,678	4,302,069	3,984,098	3,739,436	3,481,559	2,849,243	2,993,059	2,787,690
Intergovernmental	14,437,262	10,628,819	6,717,563	6,616,702	10,457,840	14,007,953	8,668,804	6,696,213	5,742,786	3,325,809
Other	2,683,304	2,371,227	1,315,537	884,022	414,025	575,308	708,339	544,215	240,819	173,100
Total revenues	<u>51,004,768</u>	<u>44,442,181</u>	<u>38,199,299</u>	<u>36,589,921</u>	<u>37,050,486</u>	<u>39,123,042</u>	<u>34,276,133</u>	<u>29,145,856</u>	<u>28,034,189</u>	<u>28,897,361</u>
Expenditures										
General government	7,687,329	8,486,465	7,609,102	6,723,566	5,932,888	5,471,142	4,825,287	4,558,323	4,443,691	4,391,895
Public safety	15,439,576	15,118,065	14,447,340	14,122,444	12,181,199	11,707,728	11,452,818	10,770,629	10,760,468	9,960,491
Engineering	621,511	2,140,367	1,902,729	2,219,984	1,643,528	1,611,956	1,353,632	1,006,769	1,955,555	746,367
Environmental Services	2,783,382	1,993,528	1,921,514	1,788,412	1,707,426	1,704,725	1,641,126	1,525,929	1,586,909	1,434,591
Animal control	-	-	-	-	-	123,665	113,487	108,023	117,017	108,815
Public Works	670,407	358,438	429,269	330,388	294,737	360,112	453,374	264,185	592,211	155,426
Highway and streets	1,137,622	1,248,681	1,559,615	1,168,778	1,227,048	1,254,942	1,374,830	1,100,961	1,154,834	1,303,547
Vehicle maintenance	614,540	558,341	558,653	551,334	496,426	418,068	418,626	399,019	402,507	391,610
Parks and recreation	3,786,654	4,258,583	4,292,539	4,309,104	4,014,097	3,936,723	3,763,086	3,597,451	3,731,027	3,597,665
Economic development agency	557,726	813,666	743,864	445,448	1,622,169	6,769,860	444,972	280,227	254,355	211,193
Tourism	57,039	123,052	-	-	-	-	-	-	-	-
Debt Service:										
Principal	1,355,000	1,795,000	1,839,745	1,754,475	1,205,000	1,385,000	860,000	835,000	800,000	775,000
Interest	738,850	808,775	862,768	892,232	572,156	245,373	403,564	431,901	458,795	484,739
Capital outlay - capital	17,324,244	13,586,576	5,257,893	4,926,719	7,385,042	7,610,707	4,787,847	5,188,144	1,708,556	8,825,328
Total expenditures	<u>52,773,880</u>	<u>51,289,537</u>	<u>41,425,031</u>	<u>39,232,884</u>	<u>38,281,716</u>	<u>42,600,001</u>	<u>31,892,649</u>	<u>30,066,561</u>	<u>27,965,925</u>	<u>32,386,667</u>
Excess(deficiency) of revenues over (under) expenditures	<u>(1,769,112)</u>	<u>(6,847,356)</u>	<u>(3,225,732)</u>	<u>(2,642,963)</u>	<u>(1,231,230)</u>	<u>(3,476,959)</u>	<u>2,383,484</u>	<u>(920,705)</u>	<u>68,264</u>	<u>(3,489,306)</u>
Other financing sources (uses)										
Contributions	-	-	-	-	-	-	-	-	-	19,955
Premiums on bonds issued	-	-	-	-	1,163,285	884,045	-	-	-	-
Proceeds of long-term debt	-	-	-	-	11,040,000	14,185,000	-	-	-	-
Bond issuance cost	-	-	-	-	(121,358)	(155,986)	-	-	-	-
Repayment from debt refunding	-	-	-	-	-	(6,098,495)	-	-	-	-
Insurance proceeds	-	-	-	-	-	-	-	-	-	130,254
Sale of capital assets	-	-	-	-	-	-	-	-	-	38,194
In lieu of tax payments from utility*	1,805,919	1,610,234	1,635,255	1,699,195	1,640,386	1,545,670	1,448,787	1,383,147	987,430	-
Operating transfers in	-	-	-	-	-	-	2,183,420	2,866,662	1,994,252	669,414
Operating transfers out	-	-	-	-	-	-	(2,183,420)	(2,807,596)	(1,994,252)	-
Total other financing sources (uses)	<u>1,805,919</u>	<u>1,610,234</u>	<u>1,635,255</u>	<u>1,699,195</u>	<u>13,722,313</u>	<u>10,360,234</u>	<u>1,448,787</u>	<u>1,442,213</u>	<u>987,430</u>	<u>857,817</u>
Net changes in fund balances	<u>\$ 36,807</u>	<u>\$ (5,237,122)</u>	<u>\$ (1,590,477)</u>	<u>\$ (943,768)</u>	<u>\$ 12,491,083</u>	<u>\$ 6,883,275</u>	<u>\$ 3,832,271</u>	<u>\$ 521,508</u>	<u>\$ 1,055,694</u>	<u>(2,631,489)</u>
Debt service as a percentage of non-capital expenditures	6.28%	7.42%	8.08%	8.36%	6.10%	4.89%	4.89%	5.37%	5.04%	5.65%

City of Gallatin, Tennessee

Revenue Capacity Information

Assessed Value and Estimated Actual Value of Taxable Property - Last Ten Tax Years

Appraised Value					
Tax Year	Total Taxable Assessed Value	Tax-Exempt Property	Estimated Actual Taxable Value	Assessed Value as a Percentage of Actual Value	Total Direct Tax Rate*
2020	\$ 1,568,403,152	\$ 31,477,512	\$ 5,505,851,345	28.49%	\$ 0.80
2019	1,379,876,000	35,134,216	5,345,047,430	25.82%	0.80
2018	1,085,548,889	21,926,143	3,758,217,774	28.88%	0.99
2017	1,063,378,081	23,016,954	3,688,978,706	28.83%	0.99
2016	1,030,640,007	23,958,652	3,498,839,903	29.46%	0.99
2015	970,755,253	18,537,816	3,050,696,936	31.82%	0.99
2014	973,251,111	18,306,242	3,032,204,783	32.10%	0.99
2013	955,038,384	17,806,242	2,982,691,390	32.02%	0.99
2012	953,603,939	17,321,500	3,148,310,625	30.29%	0.99
2011	904,058,176	16,983,625	3,094,122,921	29.22%	0.99

* Per \$100 of assessed valuation.

Note - Property of the City is reappraised periodically. For this reason, appraised value is considered to actual value.

All information was pulled from the tax levies by the year noted.

City of Gallatin, Tennessee
Revenue Capacity Information
Principal Property Tax Payers - Current Year and Nine Years Ago

Taxpayer	2020		2011	
	Assessed Valuation	Percent of Total Valuation	Assessed Valuation	Percent of Total Valuation
Sumner Regional Medical Ctr	\$ 89,536,900	5.71%	\$ 90,499,700	10.01%
Revere At Hidden Creek LLC	61,124,600	3.90%	-	0.00%
GAP INC	52,583,300	3.35%	76,300,000	8.44%
Clayton Properties Group Inc.	45,763,467	2.92%	-	0.00%
Green Lea Prop LLC	37,768,900	2.41%	-	0.00%
Wellington Farms Apt	37,142,900	2.37%	25,494,400	2.82%
SP RGA Stoneridge LP	36,696,400	2.34%	-	0.00%
KJPL Gallatin LLC	30,445,600	1.94%	-	0.00%
Sumner Regional Medical Ctr	23,249,948	1.48%	23,058,200	2.55%
Hoeganaes Corp	15,462,776	0.99%	12,224,809	1.35%
MAA Brik	-	0.00%	25,764,200	2.85%
Stoneridge Farms At The	-	0.00%	25,020,762	2.77%
R. R. Donnelley & Sons Co	-	0.00%	9,069,734	1.00%
Isaacson/Steen Realty LLC	-	0.00%	12,781,300	1.41%
GAP INC & SUBS Ent	-	0.00%	6,146,528	0.68%
Total	\$ 429,774,791	27.40%	\$ 306,359,633	33.89%

Information was obtained from the property tax rolls for the years noted.

City of Gallatin, Tennessee
Revenue Capacity Information
Property Tax Levies and Collections - Last Ten Fiscal Years

Fiscal Year	Assessed Valuation	Total Tax Levy	Amount	Percentage of Levy	Collections in Subsequent Years	Total Collections	Total Collections as Percentage of Total Levy
2020	\$ 1,568,403,152	\$ 12,158,928	\$ 12,061,074	99.20%	\$ -	\$ 12,061,074	99.20%
2019	1,379,876,000	11,039,008	10,962,352	99.31%	62,482	11,024,834	99.87%
2018	1,085,548,889	10,746,934	10,482,842	97.54%	104,110	10,586,952	98.51%
2017	1,063,378,081	10,527,443	10,151,671	96.43%	892,798	11,044,469	104.91%
2016	1,030,640,007	10,203,336	9,756,265	95.62%	368,379	10,124,644	99.23%
2015	970,755,253	9,610,477	9,447,813	98.31%	257,653	9,705,466	100.99%
2014	973,251,111	9,635,186	9,401,063	97.57%	343,744	9,744,807	101.14%
2013	955,038,384	9,454,880	9,146,352	96.74%	377,995	9,524,347	100.73%
2012	953,603,939	9,440,679	8,792,522	93.13%	281,952	9,074,474	96.12%
2011	904,058,176	8,950,176	8,756,928	97.84%	594,036	9,350,964	104.48%

Assessed valuation amount was taken from the property tax levy for the year noted.

City of Gallatin, Tennessee
Debt Capacity Information
Ratios of Outstanding Debt by Type - Last Ten Fiscal Years

Fiscal Year	Population*	Per Capita Personal Income**	Governmental Activities			Business-Type Activities			Total Primary Government	Debt Per Capita	Percentage of personal income
			General Obligation Bonds	Notes	Total Governmental	Revenue & Tax Bonds	Notes	Total Business- Type Activities			
2020	42,918	\$ 30,203	\$ 20,905,000	\$ -	\$ 20,905,000	\$ 37,795,000	\$ -	\$ 37,795,000	\$ 58,700,000	1,367.72	4.53%
2019	40,457	28,945	22,240,000	460,000	22,700,000	33,955,000	-	33,955,000	56,655,000	1,400.38	4.84%
2018	37,351	26,544	23,555,000	895,000	24,450,000	35,785,000	-	35,785,000	60,235,000	1,612.67	6.08%
2017	35,734	26,450	24,805,000	1,310,000	26,115,000	37,560,000	57,667	37,617,667	63,732,667	1,783.53	6.74%
2016	34,473	26,708	14,570,000	1,710,000	16,280,000	38,890,000	219,944	39,109,944	55,389,944	1,606.76	6.02%
2015	33,347	26,596	6,985,000	2,090,000	9,075,000	33,185,000	382,221	33,567,221	42,642,221	1,278.74	4.81%
2014	32,307	25,534	7,480,000	2,455,000	9,935,000	34,465,000	544,498	35,009,498	44,944,498	1,391.17	5.45%
2013	31,414	22,963	7,960,000	2,810,000	10,770,000	35,705,000	706,775	36,411,775	47,181,775	1,501.93	6.54%
2012	30,278	23,465	8,420,000	3,150,000	11,570,000	31,125,000	744,902	31,869,902	43,439,902	1,434.70	6.11%
2011	30,278	23,138	8,865,000	3,480,000	12,345,000	32,265,000	993,202	33,258,202	45,603,202	1,506.15	6.51%

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee
Debt Capacity Information
Ratios of General Bonded Debt Outstanding - Last Ten Fiscal Years

Fiscal Year	Population*	Governmental Activities					Assessed Value	Ratio of General Obligation Debt to Appraised Value	Net General Obligation Debt Per Capita
		General Obligation Bonds	Notes	Total Governmental	Business-Type Activities Notes	Total Primary Government			
2020	42,918	\$ 20,905,000	\$ -	\$ 20,905,000	\$ -	\$ 20,905,000	\$ 1,568,403,152	1.33%	\$ 487.09
2019	40,457	22,240,000	460,000	22,700,000	-	22,700,000	1,379,876,000	1.65%	561.09
2018	37,351	23,555,000	895,000	24,450,000	-	24,450,000	1,085,548,889	2.25%	654.60
2017	35,734	24,805,000	1,310,000	26,115,000	57,667	26,172,667	1,063,378,081	2.46%	732.43
2016	34,473	14,570,000	1,710,000	16,280,000	219,944	16,499,944	1,030,640,007	1.60%	478.63
2015	33,347	6,985,000	2,090,000	9,075,000	382,221	9,457,221	970,755,253	0.97%	283.60
2014	32,307	7,480,000	2,455,000	9,935,000	544,498	10,479,498	973,251,111	1.08%	324.37
2013	31,414	7,960,000	2,810,000	10,770,000	706,775	11,476,775	955,038,384	1.20%	365.34
2012	30,278	8,420,000	3,150,000	11,570,000	744,902	12,314,902	953,603,939	1.29%	406.73
2011	30,278	8,865,000	3,480,000	12,345,000	993,202	13,338,202	904,058,176	1.48%	440.52

* Source for population: U.S. Census Bureau

** Personal income amounts were obtained from State estimates.

City of Gallatin, Tennessee
Debt Capacity Information
Pledged Revenue Coverage - Last Ten Fiscal Years

Fiscal Year	Utility Service Charges	Less: Operating Expenses	Net Revenue Available For Debt Service	Principal	Interest	Total	Percent of Coverage
2020	\$ 28,473,862	\$ 17,853,481	\$ 10,620,381	\$ 1,775,000	\$ 1,268,910	\$ 3,043,910	348.91%
2019	30,554,008	20,257,578	10,296,430	2,015,000	1,418,722	3,433,722	299.86%
2018	14,593,834	8,546,734	6,047,100	1,730,000	1,326,336	3,056,336	197.85%
2017	14,190,626	7,221,685	6,968,941	1,830,000	1,403,935	3,233,935	215.49%
2016	13,525,181	7,389,032	6,136,149	1,775,000	1,460,061	3,235,061	189.68%
2015	12,112,544	6,651,379	5,461,165	1,330,000	1,101,320	2,431,320	224.62%
2014	12,259,008	6,548,582	5,710,426	1,280,000	1,420,441	2,700,441	211.46%
2013	11,293,065	5,934,780	5,358,285	1,465,000	1,464,908	2,929,908	182.88%
2012	10,944,632	6,380,348	4,564,284	1,334,150	1,444,529	2,778,679	164.26%
2011	10,784,113	6,825,971	3,958,142	1,140,000	1,404,543	2,544,543	155.55%

Note: Details regarding the city's outstanding debt can be found in the notes to the financial statements. Operating expenses do not include interest, depreciation, or amortization expenses. Sales tax increment bonds are backed by the sales tax revenue produced by the sales tax rate in effect when the bonds were issued (2.5 percent) applied to the increase in retail sales in the Commons shopping area since the time.

City of Gallatin, Tennessee
Demographic and Economic Information
Demographic and Economic Statistics - Last Ten Fiscal Years

Fiscal Year	City Population*	County Population*	Personal Income**	Per Capita Personal Income**	Median Age*	County School Enrollment***	County Unemployment Rate****
2020	42,918	191,283	\$ 55,825	\$ 30,203	37.9	29,540	7.50%
2019	40,457	187,149	53,794	28,945	37.6	29,400	3.20%
2018	37,351	183,545	49,041	26,544	37.2	29,196	2.80%
2017	35,734	180,063	47,957	26,450	36.0	29,059	2.30%
2016	34,473	175,989	46,441	26,708	37.0	29,060	4.10%
2015	33,347	172,706	46,102	26,596	37.0	28,715	4.70%
2014	32,307	168,888	45,603	25,534	37.4	28,361	5.60%
2013	31,414	165,950	42,425	22,963	37.5	28,508	6.70%
2012	30,278	160,645	45,665	23,465	36.6	28,626	8.40%
2011	30,278	160,645	45,858	23,138	36.6	27,333	8.70%

* U.S. Census Bureau

** State Estimate

*** Sumner County School Board

**** Tennessee State Department of Labor, Statistical Services

Note: Population, median age, and education level information are based on surveys conducted during the last quarter of the calendar year. Personal income information is a total for the year. Unemployment rate information is an adjusted yearly average. School enrollment is based on the census at the start of the school year.

City of Gallatin, Tennessee
Demographic and Economic Information
Principal Employers - Current Year and Nine Years Ago

Employer	2020			2011		
	Employees	Rank	Percentage of Total City Employment	Employees	Rank	Percentage of Total City Employment
Sumner County Government & Schools	4,307	1	19.58%	N/A	N/A	N/A
Gap, Inc.	2,294	2	10.43%	707	2	6.26%
Sumner Regional Medical Center	1,077	3	4.90%	943	1	8.35%
ABC Group	824	4	3.75%	329	5	2.91%
Volunteer State Community College	714	5	3.25%	800	3	7.08%
ServPro Corporate	475	6	2.16%	312	6	2.76%
City of Gallatin	450	7	2.05%	358	4	3.17%
Yapp USA	343	8	1.56%	N/A	N/A	N/A
Hoeganaes Corporation	232	9	1.05%	172	10	1.52%
Simpson Strong Tie	165	10	0.75%	N/A	N/A	N/A
R. R. Donnelley & Sons Co	N/A	N/A	N/A	225	7	1.99%
ABC Technologies / Salga Plastics	N/A	N/A	N/A	217	8	1.92%
TVA Gallatin Fossil Plant	N/A	N/A	N/A	175	9	1.55%

Source: Tennessee Department of Labor Workforce & Development and City of Gallatin's Economic Development

City of Gallatin, Tennessee
Operating Information
Full-Time Equivalent City Government Employees by Function/Program - Last Ten Fiscal Years

Function/Program	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
General Government:										
Mayor's Office	3	3	3	3	3	3	3	3	3	3
Planning (Combined in 2010)	8	9	9	7	7	6	6	0	0	0
Finance	7	6	6	6	5	5	8	8	8	8
City Attorney	4	4	4	4	3	3	3	3	3	3
Recorder	6	6	7	6	6	6	7	7	7	7
Personnel	4	4	3	3	3	2	2	1	2	2
Codes	15	15	15	12	9	10	7	13	13	14
Economic Development Agency	3	3	3	3	3	2	2	2	2	2
Information Technology	8	7	7	7	6	5	0	0	0	0
Public Safety:										
Police	97	99	99	99	98	93	94	89	88	88
Fire	97	96	98	85	68	72	72	71	71	73
Public Works	52	48	50	47	48	47	49	48	49	48
Leisure Services	29	26	29	29	31	31	31	30	30	29
Engineering	9	9	8	7	6	7	6	6	6	5
Public Utilities	92	93	95	86	88	87	82	85	86	85
Golf Course	0	0	0	0	0	0	0	0	0	0
Total	434	428	436	404	384	379	372	366	368	367

Sources: PERSONNEL OFFICIAL
*AUDITS PRIOR YEARS

2011 numbers include 6 PPT employees and combines 3 IT and 5 Finance. It does not include 6 unfilled positions (total authorized manning 373 as of 6/30/11) (377 as of 7/1/11)

2012 numbers include 3 PPT employees. It does not include 9 unfilled positions (total authorized manning 377 as 6/30/12).

2013 numbers include 3 PPT employees. It does not include 11 unfilled positions (total authorized manning 377 as 6/30/13).

2016 numbers include 4 PPT employees. It does not include 12 unfilled positions (total authorized manning 396 as 6/30/16).

2017 numbers include 4 PPT employees. It does not include 15 unfilled positions (total authorized manning as 06/30/17).

City of Gallatin, Tennessee
Operating Information
Operating Indicators by Function/Program - Last Ten Fiscal Years

Function/Program	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Police										
Physical arrests	3,571	3,802	3,718	3,805	3,803	3,575	3,772	4,913	4,526	4,911
Parking violations	219	407	308	279	458	722	420	634	450	1,087
Traffic violations	17,065	15,334	13,436	13,824	17,393	22,643	13,231	20,494	19,237	23,657
* Red light camera citations	3,828	6,345	6,211	7,386	9,054	7,751	7,029	5,953	7,188	10,986
Fire										
Emergency responses	6,228	6,048	5,636	4,192	3,917	3,390	3,120	2,973	3,016	3,176
Fires extinguished	115	122	113	133	144	94	120	105	110	102
Inspections	2,530	2,526	2,423	1,658	1,664	1,413	829	1,194	1,170	731
Animal Control										
* * Animals Restrained	346	519	487	576	622	N/A	388	491	786	765
Highways and Streets										
Street resurfacing (miles)	6.64	5.20	6.00	3.31	4.60	5.75	4.50	5.60	7.60	3.00
Potholes repaired	363	315	356	314	403	324	546	122	N/A	N/A
Other Public Works										
Utility cuts repaired	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Parks and Recreation										
Athletic field permits issued	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A	N/A
Community center admissions	150,000	270,000	270,000	270,000	240,000	240,000	230,000	230,000	230,000	230,000
Community Service										
Number of organization benefited	21	18	14	10	12	16	16	16	16	16
Number of services benefited	3	3	3	5	6	4	4	4	4	4
Environmental Services										
Tons hauled	17,625	16,432	16,171	16,142	12,224	11,413	11,376	11,588	10,145	11,384
Water										
New connections	441	406	425	380	316	330	272	238	212	188
Water main breaks	45	46	37	37	37	38	40	32	36	48
Utility cuts repaired	123	83	145	100	139	138	175	142	142	171
Average daily consumption (thousands of gallons)	7,774	7,110	7,316	6,052	6,171	5,865	5,944	5,948	6,246	6,705
Peak daily consumption (thousands of gallons)	9,347	10,523	8,451	7,072	8,287	7,873	9,277	9,714	10,265	8,309
Sewer										
Average daily treatment (thousands of gallons)	8,911	7,010	6,282	5,902	5,808	6,435	6,992	6,285	5,621	5,835
Electric										
Average daily consumption (thousands of kilowatt hours)	2,020	2,237	2,254	2,244	2,194	2,186	2,184	2,176	2,164	2,146
Natural Gas										
Average daily consumption: Summer -April/October (thousands of cubic feet)	3,623	4,920	4,810	4,656	4,937	5,550	5,117	4,723	4,319	4,928
Winter-November/March (thousands of cubic feet)	8,211	8,507	10,445	7,454	7,644	9,078	9,660	8,823	6,940	9,102
Golf										
Rounds played	44,145	45,000	45,000	45,000	45,000	35,000	45,000	45,000	45,000	44,000

Sources: Various city departments

Notes: Indicators are not available for the general government function.

City of Gallatin, Tennessee
Operating Information
Capital Asset Statistics by Function/Program - Last Ten Fiscal Years

Function/Program	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Police										
Stations	1	1	1	1	1	1	1	1	1	1
Zone offices	4	4	1	1	1	1	1	1	1	1
Patrol units	96	96	91	79	78	76	73	64	77	70
Fire										
Stations	5	5	4	4	4	4	4	4	4	3
Fire trucks	11	11	9	9	9	8	8	7	7	9
Animal Control										
Trucks	2	2	2	2	2	2	2	2	2	2
Highways and Streets										
Streets (miles)	215.8	210	204	200	195.6	195.3	195	194.5	193.5	193
Streetlights	3,931	3,874	3,892	3,811	3,720	3,621	3,678	3,602	3,602	3,511
Traffic signals	411	388	380	370	362	362	354	352	352	358
Sidewalks (miles)	90	78	67	58	46.5	46	45	44	42	41
Parks and Recreation										
Acreage	598	598	532	532	532	532	532	532	532	532
Playgrounds	5	5	5	5	4	4	4	4	4	4
Baseball/softball diamonds	23	23	23	23	23	23	23	23	23	23
Soccer/football fields	8	8	8	8	8	8	8	8	8	8
Community centers	2	2	2	2	2	2	2	2	2	2
Volleyball Courts	4	4	4	4	4	4	4	4	4	4
Basketball Courts	6	6	6	6	6	6	6	6	6	6
Picnic Shelters	13	13	13	13	13	13	13	14	14	13
Tennis Courts	6	6	6	6	6	6	6	6	6	6
Horseshoe Pits	5	5	5	5	9	9	9	9	9	9
Fishing Piers	2	2	2	2	2	2	2	2	2	2
Swimming Pools	2	1	1	1	1	1	1	1	1	1
Walking Trail (miles)	8	8	8	8	8	8	8	5	5	4
Disc Golf (holes)	18	18	18	18	18	18	18	18	18	18
Model Airplane Strip	1	1	1	1	1	1	1	1	1	1
Skate Park	1	1	1	1	1	1	1	1	1	1
Environmental Services										
Refuse Trucks	24	24	23	22	22	20	21	20	19	18
Water										
Water mains (miles)	335	331	320	316	313	312	311	308	307	306
Fire hydrants	2,173	2,113	2,075	2,025	1,986	1,920	1,902	1,893	1,888	1,888
Storage capacity (thousands of gallons)	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000	13,000
Percent of Water Loss in System	25	16	16	12	13	12	15	15	20	21
Sewer										
Sewer mains (miles)	257	254	244	240	236	234	233	231	220	220
Pump Stations	41	41	41	41	41	41	40	40	40	40
Natural Gas										
Gas lines (miles)	394	389	385	382	380	376	368	363	361	360
Golf										
Acres	136	136	136	136	136	136	136	136	136	136
Holes	18	18	18	18	18	18	18	18	18	18
Driving Range	1	1	1	1	1	1	1	1	1	1

Sources: Various city departments

Note: No capital asset indicators are available for the general government.

Internal Control and Compliance Section



**Independent Auditor's Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial Statements
Performed in Accordance With *Government Auditing Standards***

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Gallatin, Tennessee (the City), as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the City's basic financial statements, and have issued our report thereon dated December 28, 2020.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the City's internal control over financial reporting (internal control) as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, we do not express an opinion on the effectiveness of the City's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the City's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 28, 2020



**Independent Auditor's Report on Compliance for Each Major Federal Program
and on Internal Control Over Compliance Required by the Uniform Guidance**

Honorable Paige Brown, Mayor, and Members of the City Council
City of Gallatin, Tennessee

Report on Compliance for Each Major Federal Program

We have audited the City of Gallatin, Tennessee (the City)'s compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of the City's major federal programs for the year ended June 30, 2020. The City's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the City's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about the City's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of the City's compliance.

Opinion on Each Major Federal Program

In our opinion, the City complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2020.

Report on Internal Control Over Compliance

Management of the City is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the City's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the City's internal control over compliance.

A *deficiency in internal control over compliance* exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Blankenship CPA Group, PLLC

Blankenship CPA Group, PLLC
Goodlettsville, Tennessee
December 28, 2020

City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs
For the Year Ended June 30, 2020

Section I. SUMMARY OF AUDITOR'S RESULTS

Financial Statements

Type of report the auditor issued on whether the financial statements audited were prepared in accordance with GAAP: Unmodified

Internal control over financial reporting:

Material weakness(es) identified? _____ Yes X No

Significant deficiency(ies) identified? _____ Yes X None Reported

Noncompliance material to financial statements noted? _____ Yes X No

Federal Awards

Internal control over major programs:

Material weakness(es) identified? _____ Yes X No

Significant deficiency(ies) identified? _____ Yes X None Reported

Type of auditor's report issued on compliance for major federal programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with section 2 CFR 200.516(a)? _____ Yes X No

Identification of major programs:

CFDA Number(s)	Name of Federal Program or Cluster
20.205	U.S. Department of Transportation/ Highway Planning and Construction Cluster

Dollar threshold used to distinguish between type A and type B programs \$750,000

Auditee qualified as low-risk auditee? _____ Yes X No

City of Gallatin, Tennessee
Schedule of Findings and Questioned Costs - Continued
For the Year Ended June 30, 2020

Section II. FINANCIAL STATEMENT FINDINGS

None.

Section III. FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

None.

City of Gallatin, Tennessee
Summary Schedule of Prior Audit Findings
June 30, 2020

I. Financial Statement Findings

Finding Number	Finding Title	Status
N/A	None	N/A

II. Federal Award Findings and Questioned Costs

Finding Number	Finding Title	Status
N/A	None	N/A

III. Compliance and Other Matters

Finding Number	Finding Title	Status
N/A	None	N/A